Azad Engineering (AZAD)

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Call: Feb 2024

AZA D ^NFebruary 14,2024
To,
The Listing Department
BSE Limited
Department of Corporate Affairs
Phiroze Jeejeebhoy Towers, Dalal Street
Mumb_ai, M,aharashtra - 400 001
Dear Sir/Ma'am,
Subject : Transcript ofAnalyst /Investor Earnings Conference call.
Reference : ISIN - INE02lJ01035; Scrip ld.-544O6L; Scrip Code-AZAD
Pursuant to Regulation 30[2] of SEBI flisting Obligations and Disclosure Requirements]
Regulations, 2015, and in continuation to our intimation dated February 03,2024 we hereby
inform you that the Company has hosted Earnings Conference call for analysts and investors on
Wednesday, February 07,2024, at 12:00 P.M. IST which was concluded on Wednesday, February
07,2024, at01:02 P.M. IST to discuss on the financials results ofthe Company for the third quarter
and nine months ended December 31.,2023.
We are enclosing herewith the Transcript of Analyst/lnvestor Earnings Conference call.
Please take the information on record.
Thanking you,
Yours truly,
For Azad Engineering Limited
Ful Kumar Gautam
(Company Secretary & Compliance)fficer)
Membership No.: A49550. To,
, The Listing Department
: National Stock Exchange of India Ltd.
; ExchangePlaza, Plot No. C/1, G Block
; Bandra-Kurla Complex, Bandra IEJ
i Mumbai, Maharashtra - 400 051
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"Azad Engineering Limited
Q3 FY '24 Earnings Conference Call"
February 07, 2024

Disclaimer: E&OE. This transcript is edited for factual errors. In case of discrepancy, the
audio recordings uploaded on the stock exchange on February 07 2024, will prevail.

MANAGEMENT : MR. RAKESH CHOPDAR -- CHAIRMAN AND CHIEF
EXECUTIVE OFFICER -- AZAD ENGINEERING LIMITED
MR. VISHNU MALPANI -- WHOLE TIME DIRECTOR -- AZAD
ENGINEERING LIMITED
MR. RONAK JAJOO -- CHIEF FINANCIAL OFFICER -- AZAD
ENGINEERING LIMITED

MODERATOR : MR. AMIT DIXIT – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to Azad Engineering Limited Q3 -FY24
Earnings Conference Call hosted by ICICI Securities Limited. This conference call may

contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risk and uncertainties that ar e difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar, then zero on your touch -tone phone. Please note that this conference is being recorded.

And I'll hand the conference over to Mr. Amit Dixit from ICICI Securities. Thank you and over to you, sir.

Amit Dixit: Thanks, Neerav. Good afternoon, everyone. On behalf of ICICI Securities, I welcome all the participants for Azad Engineering's Q3 FY24 Results Conference Call. At the outset, I would like to thank the management for giving us an opportunity to host their maiden call.

From the management side, we have with us today Mr. Rakesh Chopdar, Chairman and CEO, Mr. Vishnu Malpani, Whole Time Director, and Mr. Ronak Jajoo, Chief Financial Officer. We will have brief opening remarks from the management, post which we will open the floor for an interactive Q&A.

Without much ado, I would hand over the call to Mr. Chopdar to take this forward. Thanks and over to you, sir.

Rakesh Chopdar: Thank you, Amit. Thank you. Thank you, everyone. Good morning. This is Rakesh Chopdar, Chairman and CEO at Azad. I would like to welcome everybody and thanks for joining today on our debut earning call after our listing.

On this call, I have with me our wholetime director, Mr. Vishnu Malpani, and our CFO, Ronak Jajoo, and the SGA team our Investor Relations Advisors. The results and presentations are uploaded to the stock exchange and the company website. I hope everybody has had a chance to look at it.

We are pleased with the positive response to our initial public offering, which we wish to offer our heartfelt gratitude to all the shareholders and everyone who was part of our IPO journey. The IPO has strengthened our balance sheet and will help us to ac hieve the increased profitability through lowering interest expenses, with simultaneously blustering the planned capacity expansion.

We have achieved our highest ever quarterly performance in terms of both revenue and profit during this historic quarter, both Q3 FY24 and 9 -month FY24 revenues increased by 49% year -on-year. Our quarterly performance aligns with the consistent financial g rowth we have achieved over the years.

Before we delve further into the quarterly performance, I would like to give you some background on our company as this is our first earnings call. In the year 2008, where e started, our Azad was established and -- we were just with one machine and I was the self - operator on that, so basically it's a very scratch story. Now, 16 years, we have more than 300 machines and a thousand -plus very strong teams.

Since the inception, since the beginning, we started with very high complex components with high pressure requirements and very happy to say that in our product line, we are the only company who could break all the barriers in developing this product. It's a very, very niche product, life -critical and project -critical product, which is mainly the benchmark of our airfoil, which are 3D components and these are not 2D components.

So most of it is what we have seen in this manufacturing and engineering, where we call it as precision forged machine. Having a CNC

machine, having a forging unit, we just say that we manufacture precision components. But this product or this product line , which we are in, doesn't fall in that category.

So I have a very, you know, I'm a bit not concerned, but I would like to really reiterate on the parts. It's very important for everyone to understand what Azad actually does. It is just not a precision product. It is a life -critical product. These are the rotating parts. These are the rotating parts, which we commonly see in aircraft engines, which when we get in the plane, we can see two turbines, which are kno wn as turbine engines. And these engines have these airfoils, which is the heart and soul of an aircraft and which powers the land - based turbines or an aircraft engine, and they work in very extreme conditions.

So having said, just having a technology of a CNC machine can be produced, this part can be produced? No. In order, the customers, what we have it, they're very niche, right? And having said that, these products being very critical, so is the acceptance -- so the acceptance, the approvals, the qualifications, this is what, when it's in place, this is where

we start getting orders, and orders get revenues.
All these 15, 16 years, the hard work what Azad has done, the whole team has done, is to get the qualifications, get the approvals, which is not easy. It's not just that someone has INR500 crores or INR1,000 crores money, go buy the technology, produce this part. No, it doesn't work like that.
So for me, it's very important to make people understand this is not so easy to break these barriers and compete the world -- competing the world, which is in China, Japan, Europe,

America. So these are the countries where Azad is competing. I would say India is competing. So having said having this position, we feel very proud. And the recent addition of the Rolls -Royce contract, what we have received, these are the most critical components which are utilized in the engines of a fighter jet or our military jet. So just imagine having approvals for these kind of parts, such complex parts, companies like Rolls -Royce placing an order Azad , that's the trust Azad has gained, that's the tr ust India has gained.
So we feel very proud and I wish everyone listening to this do visit Azad facility, witness what we are trying to say. I'm sure it's not easy to understand what exactly I mean by making this statement of the product line which Azad is in today. So our products are very niche, as I mentioned, very life -critical, and all being tackled is like exotic alloys.
It's not the normal stainless steel or it's not the normal material where we see in the entire industries. So these engines are in the land based aviation, and space. For the land based , we call it as energy.
For aviation, we call that in A& D and in space. And this is widely used in many sectors and very, very regulated, very, very, you know, it's a very highly regulated industry where not everyone can break the barriers by just putting a CNC machine or just having tons of money in the pocket. Anyway, we commence our op erations in the energy sector and today we have, you know, come up a long way from in the clean energy segment, serving the nuclear, hydrogen, gas turbines, and also spread ourselves in the aviat ion.
So aviation, we just came in, right? We took the long experience in the energy segment, which has put us in a very great sweet spot that now we can handle the aviation industry. Again, these are not some simple parts. Again, this is not an armrest of a seat that an aviation industry requires. These are rotating parts of an engine. So there is a lot of difference that everyone has to understand and what it takes.
A buyer that puts in parts manufactured in Azad, manufactured in India, which goes straight in the engine, 35,000 feet a

bove in the air. And just imagine if something goes
wrong, that's what nothing goes wrong. It can be catastrophic.
So the whole idea is to make people understand, give an education, give a widespread thing that, yes, now these are the parts never seen in India before we got in here. That's why people are struggling to understand what exactly Azad does. So gentlemen, l adies and gentlemen, for me, it's very important for everyone to make you realize that please understand what Azad is doing.
And it is just a start. These qualifications are just finished. And now is the time that we are going to see a very good positioning of Azad.

Our extensive experience in manufacturing cables enables us to obtain the qualifications of new customers significantly lower lead time. So it's not just that a price comes in first. Are you cheaper?
You have a CNC shop. Are you cheaper? No. In our product, can you manufacture? Are you capable? Are you able? Can you consistently produce this part? And then the price is asked, Okay, at what cost? So that's the level of the barriers which we have to cro ss, where the price comes last, not the first.
Right. So this is what I just wanted to give a very brief background of the company. And now, as compared in the segments where we have coming in, you know, we have already had a various set of qualifications still going on and a multiple marquee customers and you name our marquee customers, we are there with them.
During this quarter, as compared to the same period last year, as a result, the contribution of this segment in the quarter has gone up by 17% in comparison and 10% in, you know, the Q2 FY24 as well as the Q3 FY23. In fact, we have recently signed, as I m entioned, you

know, on the seven years contract with the Rolls Royce, which is we are very proud that these parts have come to India. In the coming years, we expect aerospace business to contribute to our revenues on par with energy segments with oil and g as coming in second .
Again, we started with niche. We are maintaining our legacy. We would like to be in niche, where we draw our expertise. The numbers, what do you see? The perception. And moreover, the optics, the profits, the EBITDAs. Please understand and my colleague Vi shnu will take you over that. Please, please pay attention. Why this PAT is less? Why this EBITDA is less? And it's just optical. I wish that we could clarify this, that every aspect has to be understood very well.
So, that's from my side, gentlemen. I pass on, hand over to Vishnu.
Vishnu Malpani: Thank you. Thank you, Mr. Chopdar, for giving a good sense of the business to our audience.
I hope, you know, we've been able to clarify and communicate some of the questions that you might have.
While Mr. Chopda r has given us a good top -level summary of where we are headed and where we are, let me give you some texture and flavor to our end markets and what our plans ahead are because I'm guessing a lot of you must have questions on what are our end markets and pl ans. So, let me give you a quick sense of that. So, it's important to note that our end markets are highly regulated.
You know, this is a question that we keep getting from a lot of analysts that, you know, we have a very high concentration risk. But I would like to take this opportunity to come out

here and say that, you know, this industry is highly regulated and highly concentrated, right? The industry does not have a lot of large players.
If you look at energy, G E, Mitsubishi and Siemens, between the three players, 70% of the industry is covered. If you look at aerospace, you know, Boeing and Airbus together take about 91% of this industry. So, for us to find a new customer here is a challenge.
Our diversification strategy is to do with the p

roduct line that we make. Our diversification
or our uniqueness is the positioning that we've achieved because of the product line that we are manufacturing. And that's why we are unique.
Today, our esteemed clients cover about 70% of the end -user markets which we are present. So, you know, you look at whatever segment that you want, whether it is energy, aerospace, defense or oil and gas, we are working with the sector leaders there. Toda y, we address about $28 billion plus market between airfoils, engine components, hydraulic parts, flight control parts, you know, and air generation systems.
All of these, for these three or four sectors, clean energy, aerospace, defense, oil and gas, and FPS. Our core end markets are extremely robust and expanding. You would have seen that the aerospace and defense industry is growing at about 9% CAGR.
Similarly, the oil and gas industry is also growing at about 7%. So, we have a very, very robust and expanding end -user market. Today, when you compare our business and you look at our wallet share, you would see that we have less than 1% wallet share.
Now, I would like to see this as an opportunity of us scaling up to the highest levels because for us to get to this 1%, it has taken 15 years of hard work, 15 years of commitment in the business while we were constantly reinvesting to get to this point of inflection. Now, I look at this 1%, less than 1% wallet share as a great opportunity for us to move forward. So, from here, even if we are able to get to from 1% to 2%, 2% to 4%, we are looking at multiplying effect on our top line and I am sure you all u nderstand that.
So, that gives us a sense that we have an enormous headroom when it comes to growing further in our respective segments with our respective customers, especially with our product line. oing back to how do you onboard a customer? I would like to bring your attention to the fact that it takes about 30 -48 months to onboard a new customer and then you have to qualify part by part for you to get to a production stage where you start generating revenue.
For these 15 years, we have done this rigorously and gained qualification for 1400 plus components across engines, across sectors, across customers with global OEMs in energy, aerospace and defense industries. These are approvals which are very, very hard to attain

and there are only a handful players around the world that have been able to achieve it.

You see, our competition is not in India for our product line.
These barriers are only broken by global players and we are competing with those global players only. We compete with Japan, we compete with China, we compete with Europe, we compete with US -based suppliers and these are the only players around the world t hat have broken barriers and nobody from India has been able to do it.
With customer qualifications that we have for each and every stage, it is important and proven that globally, that as an organization, Azad has put ourselves positioned really well in the supply chain of these OEMs plus as a country, we have been able to p ut ourselves out there saying we can today manufacture extremely complex rotating parts for engines and for defense platforms or for commercial. And we are very proud to sort of do this.
I would like to echo Mr. Chopdar's thoughts and the fact that this is a big milestone not just for Azad but for our country and I am sure you should all be a part of it because this is a big milestone in our journey, in our building, in India building the aerospace, defense and precision engineering ecosystem for us. Azad has really forged robust customer relationships with our clientele. If you look at our top clients, we have an average relationship of over 10 years with them. We don't just w ork with our customer on one segment.
We were talking about concentration risk sometim

e back. So let's take an example of GE.
We don't just work with GE on one segment or one product line. We work with their nuclear segment, we work with their gas segment, we work with their steam segment, we work with their hydrogen segment. So this is how we are looking at diversifying it and this is only possible because of our long forged robust customer relationships over 10 years.
And why does it take 10 years?
Because guys, we need to remember that this is a part which is rotating at 30,000 feet and these parts are mission critical and life critical. That's why it takes relationship. So even if somebody has today wants to start this business, there is no shortcu t that is possible across the globe whether you are in India or Japan or China.
You would take about 15 to 17 to 20 years to get to the point that Azad has reached. As a strategic and a growth partner to our customers across these industries, we would like to inform you that we have long term relationships which have culminated into l ong term contracts with our customers. Today, our business has a visibility of not just near term, we have a visibility of 3 years, 5 years, 7 years and 10 years.
This is because our customers have signed contracts with us, we have roadmaps with each one of them and that's why you see we are investing ahead of the curve. We are investing in infrastructure, we are investing in capacity, we are investing in organizati onal building,

because we know that this business needs that kind of investment for us to cater to the growth that is coming back. We are looking at it in a very structured and a stable way.
The base is now created, we are only going to take this build on this from the strong base that we have created. Our competitive positioning is evident from a solid performance which you would see that we have not just grown our top line this quarter, you see we have also increased our EBITDA percentage which is what we kept telling and this was something that we had constantly iterated to the market that we are running a business that's a high EBITDA margin business and you would see that anytime when you are looking at our financial numbers, please keep what is optically visible versus what is happening really .
Mr. Chopdar was talking about how our PAT was optically lower. Most of the questions that we had received over our last calls or meetings etcetera was why did your PAT drop to INR8 crores in FY '23 and we constantly explained the fact that we had convertib le debentures and one of the questions that was put to us was your debt is about INR300 crores for a company of your size and we had explained to them that this is not pure debt these are convertible CCD instruments and these instruments are going to be co nverted to equity and the investor will take an exit in IPO.
And that has my friends has actually happened. You see by the end of September our gross debt was over INR300 crores and in the December quarter last year when we did our initial public offering our investors converted the convertible instruments into equity and they have taken an ex it. So today if you look at it as on day if I have to speak about it, through the IPO proceeds our debt has been completely paid off .
And today our debt is under INR30 -odd crores today that's barely anything compared to the INR300 crores that was being optically shown and that is why you see our profit today has gone up I would not say that we have grown up 6x or 7x in terms of profit this is a

consistent per formance the PAT drop in last year was an optical matter because of the coupons that we are paying on the CCD instrument and that is why it had happened. And also a couple of one time impacts that was because of redemption of debentur es.

I am sure you would have read our financials and this will be aptly clear. This is all over you will be able t

o see in Q4 because obviously we had while in December until December we had payments towards coupon that was being done to our investors on CCD. So you would have still seen some impact but in the Q4 this year, the quarter that we are going to deliver you will be able to see the PAT and the finance cost would have normalized completely and you would see an uptrend in terms of that.

Coming to our growing demand we are expanding our manufacturing facilities today you know we have four manufacturing plants in Hyderabad totalling to about 20,000 square

meters. We have acquired 170,000 square meters more on top of it which is eight times of the current capacity. We are developing our infrastructure in phases we will start with the 95,000 square meters to start with and you will see our incremental revenue for FY26 will come out of the new plant.

We plan to create dedicated customer factories, micro factories in a large factory we will be able to talk more about it during our annual call. But for now I would like to say that the infrastructure that is being created will have incremental revenue of FY26 coming here. And we plan to add our machines in a very, very phased manner. So, with this I would like to say that there is a lot that is going to happen with us.

And I think the story for Azad is unfolding we are at the brink where we are today having a wallet share of less than 1%. We are in the right kind of sectors, with the right kind of customers and product line. So we have a unique positioning. We hope that you understand what we've communicated and we will open the house for questions in some time I would now request my colleague Ronak Jajoo who is our Chief Financial Officer to maybe give a glimpse of our financial performance. Ronak, over to you.

Ronak Jajoo: Thank you, Vishnu. Firstly we will talk about the consolidated financials, highlights for the quarter. Our revenue stood at 89.2 million (Wrongly spoken on the call; Correct number is Rs.892 million) which is a 49% growth on year -on-year basis. Our revenue is growing at a healthy pace, we are positive to maintain this trajectory in times to come. And we are hopeful that we continue this growth over the years to come.

This growth is led by strong sales in both energy and aerospace segments where our energy segment grew at 36% on year -on-year basis on a large base. And our aerospace and defense registered 157% year -on-year growth at a small base. Our consumption percenta ge as a sales has reduced from 13.3% to 11.6% during the quarter.

This was mainly because of change in sales and we are glad to inform the market that we have qualified few of the Indian mills where we are getting the better price and the lead time for the raw materials has decreased drastically for the company. Our employee cost has shown an increase in the line with our growth in the top line.

Our operating excellence is the focus area for us as a result we are able to achieve certain process improvement which is resulting into the 5% reduction in other expenses. During the quarter our adjusted EBITDA increased by 87% on Y -o-Y basis to INR332.8 crores (Wrongly spoken on the call; Correct number is Rs.328 million) with 36.7% margin. And this is the highest ever EBITDA generated by the company during this particular quarter.

At the same time actual EBITDA increased by 36.7% on Y -o-Y basis INR 327 million with 36.7% margin during quarter three FY23 our actual EBITDA was impacted due to the certain one -time adjustment. We have made adjustment to EBITDA with respect to certain

non -recurring items such as fire related expenses and bridge of these items is available on slide number 13 of the presentation. PAT for the quarter increased by 339% on Y -o-Y basis to INR168 million with 18.8% margi

n.

Coming to the balance sheet the company has reduced the debt as Vishnu had mentioned to you that our gross debt on 30th September was INR324 crores. In quarter three FY24 our CCD namely Piramal who are holding our CCD as converted into the equity share wor th

INR173 crores (Wrongly spoken on the call; Correct number is Rs.171 crores) . We reduced our gross debt to INR163 crores largely due to conversion of CCDs into the equity shares. Our finance cost in quarter three stood at INR19.3 million (Wrongly spoken on the call; Correct number is Rs.193 million) including INR133 million for non -recurring items namely INR120 million towards CCDs and remaining INR13 million on account of Ind AS impact of bank term loans which we have to unwind during this particular quarter. With these two non -recurring expenses no t forming part of our future finance cost to reduce quarterly financial cost to the third.

And that will be reflected in quarter four onward results where our finance cost will be normalized and we see a better PAT margin coming forward. Looking at a nine month number, revenue from operations surged by 49% year -on-year basis to INR2,480 million as compared to the corresponding period last year.

Nine month '24 adjusted EBITDA grow in line with revenue and stood at INR857 million with margin of 34.5%. Net profit for nine month '24 was INR 437 million compared to loss of INR 64 million in nine month '23. And there was adjustment during the nine month '23, which is there in the slide number 31 if you go to the presentation.

I'm opening the floor for questions and answers now.

Moderator: Thank you very much. We'll now begin the question and answer session. The first question is from the line of Veenit from Investec. Please go ahead.

Aditya: Hi, good afternoon, Rakesh, Vishnu, and Ronak, this is Aditya from Investec. Once again, heartiest congratulations on a great IPO. Just a couple of questions, obviously very, very encouraging set of results. I want to understand that we had pretty decent gross margins this quarter, higher than what we usually used to report. So what are all the factors that have contributed to it? And would you be expecting gross margins to be sustaining at these levels or reverting back to slightly lower levels? Th at's the first question.

Vishnu Malpani: Hello Aditya, Vishnu here. Aditya thanks for your question. You see our EBITDA has gone up this year. This is because of efficiencies that we've bought in two of our expense lines. So, in terms of job work and tooling, you see there is a margin expansion. We have saved our EBITDA there.

We've been able to save about 2% -3% EBITDA between our tools, job work and power. That was a result of one backward integration that we've done in our business and the other one was lower power charges due to installing a direct line of power in our business. So we were able to save about 3% and that's why you see there is a margin exp ansion that has happened in our business this quarter. And this is a sustainable impact. This should continue.

Rakesh Chopdar: Aditya, this is Rakesh. As again, I would like to give a note to everyone that these products are not standard, right? There is a continuous innovation. There is a continuous process improvement, which is not only today, it is visible for tomorrow as well. So these are the improvement points. This is always will be available and which we are just exploring in every corner.

Aditya: Sure, understood. On the backward integration side that we refer to, it would be great if you could share some more details?

Vishnu Malpani : So, Aditya, I think it's a longish discussion. But I can tell you that we were sending out our product for a special process outside. Now what Azad has done is , we have decided to make an investment on this special process about a year and a half ago.

We invested capex on it
to develop capability, we've built capability on it, got that special process qualified with our customers. Now we are able to see an impact of this in our business because we've started producing parts on that special p rocess. And that's why you see an upliftment in the operating margins that we have for them. This will continue.

Rakesh Chopdar : Yes, this is a sustainable number. This will continue.

Aditya: Perfect, that's great. My second question is on the Rolls -Royce contract that we've won for almost seven years. Any further details that you can share on it? What could be the revenue potential? How large could it be? And how exactly the ramp -up is likely to be taking place?

Rakesh Chopdar: Yes, Aditya, this is -- please note, Rolls -Royce has got two divisions. One is a commercial and one is a defense military. So we have license, we got approval, we have a U.S. license to produce this part. Azad got the license to produce this part. And these a re very highly confidential. And we can't give you much statement as because this is a military program. This is from Rolls -Royce defense, this is not from the Rolls -Royce commercial. Of course, it falls under one group only, but we cannot reveal much detail because of the military protocols and we have a license from the U.S. government. So we have to keep a bit of things confidential, but you're most welcome to visit the facility wher e we can give you idea or we can give you some kind of guidance what exactly these parts are.

Aditya: Perfect. That's great. And for something like this also, Rakesh, would we be required or do we intend to be setting up a dedicated facility given that there's going to be confidential to them and could possibly be a pretty large opportunity?
Rakesh Chopdar: Not really. For the confidentiality, it's a standard NDA and we are right from inception as I mentioned you, we work in a very niche segment so that's a culture already built in Azad, having these confidential information. And talking about the facility, a s Vishnu also mentioned, this is just the start of a big ocean, right, and getting our foot in the door is the biggest thing it took us years of dedication and qualifications and approvals what we have got, and this is where the opportunity started. And this is something that beyond -- it's a beyond numbers what we can imagine what the numbers are. So definitely, we would love to set up a separate factory for Rolls -Royce within the new facility.
Moderator: Thank you. Next question is from the line of Kamlesh Jain from Lotus Asset Managers. Please go ahead.
Kamlesh Jain: Thanks, Rakesh and Vishnu for explanation of your business. So it's a strong set of numbers and I believe a strong future ahead.
Moderator: Kamlesh, sorry, but can you speak a little louder please?
Kamlesh Jain: Am I audible now?
Moderator: A little better.
Kamlesh Jain: Yes. So Rakesh and Vishnu for elaborate explanation of the company. And just one question on the expansion side. Like you mentioned about 1,70,000 -odd square meters, which we have recently acquired. But how the capacity would pan out over the years at those locations?
Rakesh Chopdar: Yes, see, Kamlesh, thanks for the question. As mentioned, we were aware what's coming, right? When we were finishing our gestation period of 15, 16 years. And as I mentioned earlier as well, we just put our foot in the door. And we know what is exactly coming , right? And we have to prepare well for this.
And this is not something a normal general engineering of automobile or something that we can go -- we can plan for one year or two years. But this is something that we have to plan big. As mentioned, the customer of ours, if we talk about our product line , it's so, so critical, right? It's a life critical product. It takes ages for us and it takes

ages for the
customers. Both involvement takes a lot of time to qualify and get the approvals.
That is what we finished recently. And now is the time to increase the wallet share of the capacity. So this capacity, what is a very big plan, which is we have to show -- we have to

demonstrate to the customer, look, now we're ready to take all your requirements, whatever the planning is exactly what we're trying to show that the wallet share increment.
So this is where the wallet share increment comes in, is we have a capacity, we have the manpower, we have the capex, we have got -- we are ready to take the bits and pieces of things and we are opening up a factory for you guys. And then this is where the planning comes in, like the space management is well accordance to the coming business what we can see on the rules of the customers. So it's very well planned.
Kamlesh Jain: Okay, great. But like current capacity is around 1,58,000 hours per annum, not like say -- and we have bought these land parcels like keeping in view that it would be expanded over a staggered manner. So now like say over five, six years or four, five year s, how the capacity or how the increase in revenue will pan out. I know that wallet share will also increase, new customers will also come in. But like say, over three, four or four, five years, how the revenue will pan out from this particul ar expansion?
Rakesh Chopdar: So, I think I'll just pass on to Vishnu because on the numbers, what the guidance, what I think we have to be -- I think you can take this, Vishnu.
Vishnu Malpani: Yes. So, hi Kamleshji. Thank you for your question. So, first of all, I'd like to say that, we'll be able to give you more clarity on this when we come for our annual results. I think we will talk about our growth. But since you've initiated this question, I would like to give you the comfort. So you mentioned number of 1,58,000 annual hours. I think there was a

misprint in that, this is a quarterly capacity. So our annual capacity is way over 6,00,000 hours today as a business.
And so, if you see our historical numbers, you will get a sense of how we are planning our capacity. So, just like you'll see, FY'21, we did about INR122 crores, we took it to about INR195 crores, then we took it to INR251 crores and this year, we've already done INR247 crores . So as a business, we know that the business is obviously looking at a growth at a customer level and we are constantly investing in capacity.
If you look at our energy segment revenue, we would have grown in that largely over our year -on-year number. That is because we deployed capex of about INR16, INR17 crores and that has yielded into revenue. If you look at our aerospace business, year -on-year growth, that has happened, our aerospace year -on-year quarterly growth has tripled up, that is because of the qualification.
So our growth is a factor of the capacity that we are creating and from here onwards, today, the IPO proceeds that we were looking at, we have taken out the money that is needed to deploy in plant and machinery that will take us to our FY'26, FY'27 number s without any trouble. These numbers, these capacity numbers have been committed to our customers

so we cannot obviously not create capacity. So our only job over the next two years is going to be create infrastructure, deploy machines in a staggered manner that our return on capital employed is also very effective.
Our incremental ROC in the business is targeted to be upwards or around 25% is what we are looking at.
Rakesh Chopdar: Yes, so I would like to add one more thing, Mr. Kamlesh, what you can see in the H1, what we have delivered and we are on a track which is going for this financial year. You can have a number that'll look. As ment

ioned on the capacity, these numbers, what the capacity,
what is being increased is already in, we have a roadmap from our customers. That is how this capacity has been planned . This is how that 170,000 square meters have come out. For next five years or 10 years or, the capacity wh at we have seen is a roadmap discussed with the customer.
It's not just we are just setting up a capacity. It's not just we have purchased the land. There is a calculation behind the procurement of the land. There is a calculation behind for the square meters. Why do we need so much square meters? I hope that cl arifies.
Kamlesh Jain: Great, great, great. Thanks, Rakesh and Vishnu, and wish you all the best.
Rakesh Chopdar : Thank you.
Moderator: Thank you. Next question is from the line of Rajesh Vora from Jainmay Venture. Please go ahead.
Rajesh Vora: Good afternoon, gentlemen. Congrats on very good set of numbers. And thank you especially, Mr. Chopdar , for giving us a very good overview of the company. Your business is quite impressive in what you have done in the last decade and a half. Now, what gave you strength to be patient, passionate for so long in such a hard business? And how did you manage th e risk of failure or other risks?
Rakesh Chopdar: Thanks, Rajeshji. My first thing is when I was 16, when I turned 16, I have seen enough failures, or I've seen enough of, what do you call, struggle. So I think my quota got finished there, just on a light note. And, now it's where, it got in a way where I got in this mode. And the biggest strength is like, what I can feel now after realizing, after talking to people like you and the whole world, right I'm very passionate going, that’s thank you so much for that. But also my team, what I've built over these years and the infrastructure, the culture, and, the willingness to accept challenges and, give results in a very favourable way. So that's helping me to continue this, and I hope I'll take this to great heights.

Rajesh Vora: That's very interesting. I'm sure given the way you kept going, do you have any company as a role model in your mind, like Hy -Ko Corporation of US, or Howmet Aerospace of US? Maybe you're looking to multiply your revenues and market share?
Rakesh Chopdar: Not required, Mr. Rajesh. See, I'll tell you what usually companies does a joint venture, either for money or for technology, or for the, a market, or for sales or, for a presence.
When we have achieved all the three without any support or anything, why do we need to go and, take on something?

Yes, usually in our product line, again, there's a very vast, when we say aerospace energy, there's a vast, product line differentiation in the classification of the product what we actually manufacture. As I was repeating, again, I repeat, and I feel ver y proud of saying that, we don't make armrests of a seat, we make a rotating part of an engine. So that classifies what exactly we are doing in the aerospace segment, how you are positioning the aerospace segment.
And what it took us to get these parts manufactured here in India, and being utilized globally, I mean, we don't know which parts we are manufacturing is operation in China, or Japan, or Saudi, or we don't know where they're operational. And we feel great about it. And to follow someone, trust me, if we try to follow someone, we exactly do what others do.
And that's way, that gives a result that Azad is the only company, I'm very proud of India, that we broke these barriers. As we represent, as we go out of Japan, no one knows us in India, trust me. No one exactly has an idea of what exactly Azad does. But when you go to Japan, you ask Mitsubishi , hey, how is Azad? You go to GE, you go to America, you go and ask GEs, you go and ask Rolls Royce, you go and ask, what does Azad do? And they say, wow, they really like, we are ve

ry, very happy with the company.
So this is what the problem, what also we are facing is the positioning of Azad. That's where we are facing trouble, but I'm sure over the coming time, we all will realize what exactly we are doing. I'm waiting for that day. And let the numbers speak on it. That's what the best way is.
Moderator: Thank you. Rajesh, sorry to interrupt you, I'll request you to come back for a follow -up question.
Rajesh Vora: Look forward to meet you and visit your facility.
Rakesh Chopdar: More than welcome, Rajesh.
Moderator: Thank you. Next question is from line of Pritesh from Lucky Investments, please go ahead.

Pritesh: Sir, the assets on ground that you have in your balance sheet, which shows let's say last year ended at about INR250 crores , what is the asset turn usually your business operates at?
Vishnu Malpani: Yes, hello, so this is Vishnu here. So if you look at our business in a segmental way, you know, energy, aerospace, defense and oil and gas. Energy is a business historically has had an asset turn of around 1.5 per plant or machine. And for the product that we are now doing and building qualifications for, this asset turn will go upwards from 1.5 to 1.7 on the energy sector.
Now on the aerospace and defense, you see the products that we are currently making have an asset turn of 2 to 2.5. So at a blended level, when you see our business in FY'26 or FY'27, you see it will get to a point where our asset turn will blend it will be around 1.7.
Pritesh: And we do only machining, right? We get the forging made from out?
Vishnu Malpani: No, no, this is totally, this is blended is what I'm saying 1.75. Yes, forging is done in house. Everything is done in house. Yes, everything is done in house.
Pritesh: The entire part, whatever is forged is your final output will be a machine part only.
Vishnu Malpani: Yes, Yes, it is a mix. It depends on the customer's requirement. But yes, we do forging, we do machining, we do special processes. So it's an end to end 360 degree ecosystem that Azad is trying to create for our OEMs.
Rakesh Chopdar: Yes, gentlemen, so this is what we are trying to say. It's not just product, we also give solution with the product.
Pritesh: Okay, my second question is, sir, on the working capital, it's, you know, in the last three years number, it's all over the place. But usually, incrementally, what working capital cycle will you operate at?
Vishnu Malpani: So if you look at a business, and again, I think, see, the idea is to look at it from an energy perspective, because energy business, we've done it for 15 years. And in 15 years, you know, we've gotten it to a point where our cash to cash conversion cycle is about 130 to 140 days. And this business, working capital cycle for this segment will only progressively come down slowly, because we are indigenizing our raw material purchase.
Now, as soon as that happens, the working capital burden on the business will become lower. Our aerospace and defense, and oil and gas business are under qualification. So while you are qualifying these parts by part, what happens is you have an inventory buildup, and also there is an impact on this.

So that's why the working capital cycle seems elongated at that point. But if you see for this quarter, you will see there is a dip in our working capital cycle even on the aerospace side. And then this will progressively come down.
And in FY '26, FY '27, the entire business will be at a blended asset on, sorry, working capital cycle or a cash conversion cycle of 130 to 140 days.
Pritesh: Okay, so your blended cycle incrementally should move towards 130, 140 days.
Vishnu Malpani: Today, blended will get to 130, 140 days. Increase, see, what happens is energy, we ar

e,
our quantum of revenue versus our quantum of qualification is very different than compared to aerospace. Aerospace, last quarter has done about INR15 odd crores, but t he quantum of qualification is there.
That's why you see this impact there. But at a blended level, our business will become 130 to 140 days of cash -to-cash conversion cycle in FY25 , Yes, progressively it will come down with every quarter and every year passing by.
Pritesh: Just follow on, what is your, what is the realizations per kg that you work on?
Vishnu Malpani: So we don't track…
Pritesh: of the machine part?
Rakesh Chopdar: No, it doesn't go that way. It goes as product per piece. It doesn't go by per kg.
Pritesh: Okay, so Yes, I'll come back. Thank you very much.
Rakesh Chopdar: Thanks.
Moderator: Thank you. Next question is from Bala Murali Krishna from Oman Investment Advisors. Please go ahead.
Bala Murali Krishna: Yes, good afternoon. And congratulations on great set of numbers. I would like to know that, in the defense and aerospace sector, what could be the percentage of contribution or the down the line, three, four years, what are you expecting from that sector?
Rakesh Chopdar: Yes, thank you so much for the question. Again, we would like to start. Azad started from 2008, right?
And it took a footprint in the energy sector first. And as it took longer and longer time to cover all the parts, part by part qualification approvals and all, it took a lot of time. Only 1920 is where we stepped in aerospace. But the beauty of Azad is, we are not a startup in

aerospace. Only the center of excellence for manufacturing airfoils. So everyone has to understand what airfoil is.
It's a three dimensional product, right? And this three dimensional product, it is very highly regulated product. So having that experience, when we went entered in the aerospace sector, though it looks, the number looks smaller, but that's going to scale up drastically in the coming time.
And that's evident, you know, you can see the Rolls Royce contract, which has come for seven years. And we're bound to supply these parts and many more in pipeline, right? So in these sectors, the growth is very massive in next coming three to five years.
Bala Murali Krishna: Okay, that's understood. And just a follow up on that. So the incremental revenue in this sector will be like, suppose it is aerospace sector.
So that depends on the additional products you develop or depends on the OEMs for the additional aircrafts the OEMs are producing.
Rakesh Chopdar: Yes. So, sir, what numbers we are talking are very large, right? They are very, very massive. What has been taken in consideration, the next three to five years, we already have it in hand.
And you know, this is all is going to be add ons. And this is what we are trying to, you know, make sure that the growth which is lined up for the coming years is already secured.
Bala Murali Krishna: Okay, good sir. And lastly on this, any other new product development which is already developed and which is under evolution by the OEMs?
Rakesh Chopdar: The example I give you, one example, what contract we have signed, like, you know, any X company, any one of the engine manufacturers. Okay, one of the engine manufacturers got say, 10 different models of the engines, right? One may go in A320, one may go in A350 aircraft, one may go in 777, one may go in 380.
You know, there are many crafts, many varieties of commercial and defense aircrafts. And every engine is designed as per the aircraft design. Right? So we started with just a few of the engines, maybe one or two. But they've got 10 more engines. To cover this one or two, you know, that itself is massive. Just imagine by one OEM, if we look at those 10 different

engines, then 10 different, you know, requirements coming in. So th

at's what Vishnu was
mentioning you, that the TAM which Azad is connected is mor e than 28 million, 30 million.
When the team is talking about the TAM, what the market size is only related to Azad.

It's not that we have picked up the entire, the world's TAM and been presenting. No, the
time what we have been showing or what we have been, what has been shown is only
related to us. Only related to the product line where Azad is playing.
Bala Murali Krishna: That's good, sir. That's a great idea. Thank you. I'd like to visit your facility also.
Rakesh Chopdar : Sure, sir, more than welcome. You'll love it. I can tell you, you'll love it
Bala Murali Krishna: . Thank you. Thanks a lot and all the best.
Moderator: Thank you. The next question is from Neel Mehta from ICICI Securities. Please go ahead.
Neel Mehta: Hi. Very hearty congratulations on the numbers.
Rakesh Chopdar : Thank you.
Neel Mehta: My main question is only one because most of them are already answered. While we see
most of the top line coming from exports, that is Japan number one and US number two
and then Europe, do we see any major impact from the Red Sea crisis going ahead or
etcetera?
Rakesh Chopdar: Sorry, can you be a little louder, please? Prices are increasing, what, sorry?
Neel Mehta: So sorry. I'm asking that the major exports from the top line are going to Japan, Europe and
US. Do we see any impact from the Red Sea crisis or the logistical supply chain breakup?
Rakesh Chopdar: No, there will be no t. Again, very, very good question, but I could answer in a very generic
way. Azad all the products during COVID also, we fell under essentials. These parts what
we manufacture are majorly used in power generation and wherever there are things like
that, it doesn't affect anywhere because this business what exactly is in the aviation or it is
in the energy business, they all are majorly in the essential areas. So we will not have any
impact of any kind of thing which is g oing to affect the business.
Neel Mehta: Okay, thank you so much, sir.
Moderator: Thank you. The next question is from the line of Amit Dixit from ICICI Securities. Please go
ahead.
Amit Dixit: Yes, hi, and thanks for the opportunity. I have just one question. While we are deepening
our presence in a defense space, in domestic arena as well, we have a formidable defense
ecosystem coming up, particularly in aerospace with the joint venture between GE and
HAL being talked about later on maybe for Safran and HAL.

And incidentally, one of them is our customer already and the other one we are working
with. So just wanted to understand on a very, very broad framework that what kind of
opportunity do we see here? Because the numbers that are being talked about at least on
the aircraft side, these are quite formidable and this opportunity extends maybe up to a
FY40 . So just wanted, if you could give a little bit of color on this that would be helpful.
Rakesh Chopdar: Good question, Mr. Amit. You know, you have helped me make understand better about
Azad now. Now, what engine has come to India? It's F404 and 414. From GE, which is
coming to HAL. This engine is utilized not only in our LCA, it is utilized in various other
aircrafts being manufactured by other nations, like Sweden or let's talk about any
European countries or where the same engine is utilized in the various other countries for
their different indigenous manufactured fighter jets.
Now, when Azad is positioned as a global supplier, what does a global supplier mean? Since
the parts which are being supplied by GE to entire world, they are global supply chain
system where Azad is well -positioned. So the parts what we manufacture will go in an
engine of 404 or a 414.
That may go to India or that may go to Swede

n or that may go to whichever country they
want to sell these engines to. We may not know. Best part is having this control of these
approvals and things where Azad is, again, very well -positioned.
So we definitely have a very significant role to be played in this kind of programs. Example,
I'll give you one thing which has happened to three years back or four years back. We got
an order from General Electric s.

And we got an RFQ. We know we bid for a project. And when we bid for the project, and it was for 800 megawatt into three units. So 2,400 megawatt, and we won the order, competing China and Poland in Europe. So we won the order. When the purchase order got printed and when we received the purchase order, you know what to my surprise was? Azad is in Telangana, Azad is in India. To our surprise, those projects were of NTPC Telangana, placed order on GE, which was manufactured in Poland. So our airfoils went all the way to Poland, got assembled, came back to Telangana.
So such examples, that's the beauty of our great positioning, what I was talking about. We are positioning globally. Our parts, what we manufacture and supply goes to which part of the world, we will not know.
Amit Dixit: So just to follow up on this, while we are at it, the government's endeavor is to push up Atmanirbharta in different space. Also, there is an increased level of digitalization. And we are already, as you mentioned, 404, 414 and Safran will be co -produced, co-developed in

India. So I think we have an excellent opportunity over here to kind of emphasize our position.
Rakesh Chopdar: So I would say this is an add -on to us. This will be a great bonus to us. And we'll be happy to serve this. And best part is we have immense experience already. So I think we can handle it. But one thing, Azad would like to maintain the legacy of the compl ex parts. And we would like to continue that. And it is a great opportunity till very long run. It's not just today, tomorrow, one year, two years. So it is a very, as you rightly said, this may go up to 2030, '40, '50.
Amit Dixit: Great. And the last one, if I can squeeze, is that after Russia -Ukraine war, and with Palestine -Israel conflict also flaring, and now there are reports of US also attacking Syria, or whatever. So in this arms race, do you see any traction in ordering for u s going ahead?
Rakesh Chopdar: No, no, Mr. Amit. It doesn't come at all in our cases or some. Only, you know, when Ukraine - Russia war came in, you know where we faced the problem the most? When we were raising funds.
All the investors were, they went away here and there, but our customers were still there. On a lighter note, you know, I'm just saying to you that that was the time we were raising money on the, we were on the verge of raising money. So what we found diffe rence is in the financial fraternity, not in our customer fraternity. It was on a lighter note, guys.
Amit Dixit: Okay, sure. That's it from my side. Thank you, and all the best.
Moderator: Thank you very much. I now hand the conference over to the management for closing comments.
Amit Dixit: So I would like to request Mr. Chopdar to go ahead and give the closing comments.
Rakesh Chopdar: Okay, thank you so much, everyone, for your time and spending time with us during this call. It was quite informative, and being the first call of ours, and we will get more trained, you know, what to speak, what not to speak.
We were a bit confused, and, you know, maybe we could give all the appropriate answers, but if not, apologies for that, and any other things are there, guys, are most welcome to visit us. With this, I conclude the call, and if you have any further queries, please contact SGA our investor relation advisors. Thank you all for joining us today. Take care. Thanks, everyone.
Moderator: Thank you very much. On b

ehalf of ICICI Securities Limited, that concludes this conference.
Thank you for joining us. You may now disconnect your lines. Thank you.

Call: May 2024

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Dear Sir/Ma'am,
subject : Transcript of Analyst /Investor Earnings conference call.
Reference : ISIN - INE02IJ01035; Scrip td-544061; Scrip Code-AZAD
Pursuant to Regulation 30(2) of SEBI (Listing Obligations and Disclosure Requirements) Regulations,20LS, and in continuation to our intimation dated May 18, 2024 we hereby inform you that the Company has hosted Earnings Conference call for analysts and investors on Wednesday, May 22,2024, at 1t:00 A.M. IST which was concluded on Wednesday, May 22,2024, at t2:t0 P.M. IST to discuss on the financials results of the Company for the 4th quarter and year ended March 37,2024.
We are enclosing herewith the Transcript of Analyst/lnvestor Earnings Conference call.
Please take the information on record.
Thanking you,
Yours truly,
For Azad Engineering Limited
Ful Kumar Gautam
(Company Secretary & Compliance)fficer)
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"Azad Engineering Limited
Q4 FY '24 Earnings Conference Call "
May 22, 202 4

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 22 May 2024 will prevail

MANAGEMENT : MR. RAKESH CHOPDAR – CHAIRMAN AND CHIEF EXECUTIVE OFFICER – AZAD ENGINEERING LIMITED
MR. VISHNU MALPANI – WHOLE -TIME DIRECTOR - AZAD ENGINEERING LIMITED
MR. RONAK JAJOO - CHIEF FINANCIAL OFFICER - AZAD ENGINEERING LIMITED

MODERATOR : MR. AMIT DIXIT – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to Azad Engineering Limited Q4 FY '24 Earnings Conference Call, hosted by ICICI Securities. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are n ot the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference has been recorded.

I now hand the conference over to Mr. Amit Dixit from ICICI Securities. Thank you and over to you, sir.

Amit Dixit: Thanks, Manuja. Good morning, everyone. On behalf of ICICI Securities, I welcome all the participants for Azad Engineering's Q4 FY '24 conference call. At the outset, I would like to thank the management for giving us an opportunity to host this call. From the management today, we have with us Mr. Rakesh Chopdar, Chairman and CEO, Mr. Vishnu Malpani, Whole -Time Director, and Mr. Ronak Jajoo, Chief Financi al Officer. We will have brief opening remarks from the management, post which we will open the floor for an interactive Q&A.

Without much ado, I would hand over the call to Mr. Chopdar to take this forward. Thanks and over to you, sir.

Rakesh Chopdar : Thank you, Mr. Amit. Good morning, everyone. This is Rakesh Chopdar, Chairman and CEO at Azad. I welcome and thanks for joining today on the Annual Earning Call . On this call, we are joined by Mr. Vishnu Malpani, Whole -Time Director, Mr. Ronak Jajoo, our CFO, and the team SGA, our Investor Relations Advisors. The results and presentations are uploaded on the Stock Exchange and the company website. I hope everybod y has had a chance to look at it.

I wish to update on a few points on the IPO success and our financial performance. So this year, we embarked on a monumental journey with a successful completion of our IPO. This milestone was meticulously planned and executed at the perfect moment after y ears of preparation. I would also like to take this opportunity to give you a quick overview of our financial performance, which will be covered in detail by my colleagues later in the call.

Our dedication and hard work are now bearing fruits, and I'm thrilled to share that we have achieved our best -ever performance, both quarterly a nd annually with a top -line of INR340.7 crores in FY '24 and INR92.8 crores in Q4 FY '24.

The initial plan for FY '24 and FY '25, the growth trajectory plan was around 25% to 30%. And I'm happy to share the FY '24 plan has been achieved, and we are on track to achieve the FY '25 numbers with a growth of 25% to 30% in the top -line within our existing facility. The last leg of growth, the next leg of the growth, will come through our upcoming facility in -- from FY '26.

Talking on the business vertical, on the energy sector achievements, as you all are aware, our new manufacturing facility in Hyderabad, which will be 10 times the capacity of our existing facility, is under construction and development. We are building ded icated factories for our key clients within our boundary. The first factories foundation stone was laid by Mitsubishi Heavy Industries team, and now we have more customers wanting to block capacity with us by requesting for an exclusive dedicated unit indi vidually.

In the meantime, we are running with full or almost no capacity, and we will do as usual business, and are eagerly waiting for capacity expansion in our new facility for the next level

of growth
from FY '26. A significant highlight in the energy vertical was the foundation stone laying of our new lean manufacturing facility. It was an honor to have The Global President & CEO of GE VERNOVA Steam Power to facilitate this event.

This facility represents a major step forward in our growth within the energy sector and demonstrates Azad strategic importance in the global supply chain, and the demand can be seen through the executed long -term contracts. Along with the overall development, we secured a notable contract from GE VERNOVA Steam Power Business. The Phase 1 of the program value d was around 35 million for over seven years for the supply of high complex rotating airfoils for the nuclear industrial thermal power industries.

We have signed another M oU for Phase 2. This large order underscores the scalability of Azad's business and our strong relationship with GE VERNOVA . Aerospace defense milestones, I would just like to mention on the aerospace defense sector, we achieved a significant milestone by securing a seven -year contract from Rolls -Royce for the defense and the military aircraft engines, as mentioned in our prev ious call.

It's important to understand that a contract with Rolls -Royce extends beyond the contract value. This partnership opens a big door of opportunities and potential for us, marking the beginning of a long -term relationship with vast potential. In the coming years, by capturing more engine programs, very soon we can anticipate such programs from the commercial civil aircraft engine as well.

Additionally, we have signed key strategic nation -wide contracts, demonstrating our commitments to contribute to national projects of importance and reinforcing our position as key industry player in aerospace and defense.

For the oil and gas sectors, in the oil and gas sector, we have achieved substantial success with two major contracts from Baker Hughes. These contracts are expected to generate significant business value over the next five years. These are to not only enh ance our current revenue stream, but also positions as well for future opportunities in this vertical. Venturing into this sector was part of our diversification strategy, and I'm happy to share that we are on track to achieve this goal.

Most important, the infrastructure and capacity expansion. This point is very, very important for everyone to understand. Now, let me take a moment to update you all on the infrastructure and capacity expansion efforts, which were key points during our IP O.

We made ambitious promises, and I'm proud to report that we have not only met, but exceeded those commitments. The foundation stone of the new lean manufacturing facility at the Tuniki Bollaram in Hyderabad is just the beginning. The state -of-the-art facility will include dedicated factories within the larger factory, tailored especially for our customers. Phase 1 is progressing well, aligning with our strategic vision for long -term growth. Our inve stment in infrastructure and capacity enhance our producti on capabilities and strengthen our ability to meet the increasing demand across our diverse business verticals.

This expansion is crucial as we build a robust order book, providing clear visibility into our future revenue streams. The order book has increased significantly from approx. INR1,800 crores to INR2,000 crores, which was in March '23, and today it's INR3,000 plus crores as on March '24. Hence, the upcoming facilities, is of critical importance for the next level of growth.

On the capability expansion, I'm excited to announce that we have expanded our capabilities through a strategic acquisition. We have integrated a Special Processes and Coating Company in our portfolio by acquiring the assets of VTC Surface Technologies.

This has led to a formation of new subsidiary Azad VTC, which wi

ll now cater to our captive

Special Process and Coating requirements, as well as the global demand from other OEMs and suppliers. This is the first of its kind for Azad. And we are thrilled about the potential this development holds, as this capability strengthens our supply chain and reduces dependability. This move, Azad, has given a lot of comfort and confidence to our customers on their timely delivery.

Over on the business performance and future order book, since inception of 16 years ago, Azad Engineering has made tremendous strides across all sectors. Our relentless pursuit of excellence has positioned us as leaders in the industry, with a solid portf olio of high complex components, meeting stringent precision requirements. We have grown sustainably from INR122 crores in FY '21 to INR340 crores in FY '24, representing 2.8x in three years, at a CAGR of 41% in top line.

Similarly, from P AT of INR11.5 crores in FY '21 to INR58.6 crores in FY '24, representing, a 5x in three years at a CAGR of 72.1%. Our ongoing business is supported by solid order books of over INR3,000 crores plus, providing clear visibility into future revenue streams. The strength of our balance sheet, fostered by the IPO, has enabled us to significantly improve profitability. During the years, we d elivered revenue growth of 35% , with a six -fold jump in the PAT. This quarter's results reflect our strong financial performance, with ample room for further margin improvement. On a long -term basis, our EBITDA is expected to be in the range of 33% to 35%, depending on the product reve nue mix. In conclusion, the journey of Azad is one of presence, innovation, and growth. We remain committed to delivering exceptional value to all the stakeholders, and I am confident, that the best is y et to come.

Thank you, and now I hand over to Mr. Vishnu Malpani, our Whole -Time Director, to take this conversation further.

Vishnu Malpani: Thank you, Mr. Chopdar, and we welcome everyone for this earnings call for annual earnings call. I want to begin by giving you a quick recap of our product portfolio. It is a basket of very niche, project -and life -critical products. Broadly speaking, the m arket for our key products is highly regulated and has a TAM of over $28 billion.

With a wallet share of below 1% of this TAM, there is a lot of scope for us to grow further. Our recent order wins that Mr. Chopdar spoke about are a reflection of Azad's readiness to grab a larger piece of this TAM, in every sector that we are operating in, whether it's power generation, aerospace & defense, or oil and gas.

As a result of our continuous business growth, our product mix is evolving as well. And you can see that with the diversification amongst our business verticals. Energy segment where we had a head start, contributed to 72% of our revenues in Q4 FY24, whereas Aerospace and Defense segment, which has delivered significant growth this year, contributed to about 16% of our top line in total.

Starting Q4 FY24, we are seeing some revenues coming in the oil and gas sector as well. During the fourth quarter, this contributed to about 5% of our top line. This is just the beginning of Azad in both aerospace, defense, and oil and gas sectors. We are confident that we have built in our business the momentum and we will continue to deliver 25% to 30% revenue growth annually over the next few years sustaining.

We have a robust pipeline of products under discussion for which qualifications and approvals are updated. The pipeline continues to add our order book and revenues on a regular basis. With the shift in our business mix, we anticipate an improvement both in our working capital and as well as ROCs. Further, following the IPO, our balance sheet has strengthened significantly. And this has helped us to reduce our finance costs largely.

Our finance cost, which

was INR47.3 crores in FY‘24, is expected to come down drastically in FY‘25. Going forward, the total interest costs would be to the tune of approximately INR3 crores a quarter, which is in line with our Q4 recurring finance costs. T his would be a fair representation of our financial performance going forward, both in terms of profitability and returns profile.

Now, I hand over the call to Mr. Ronak Jajoo to talk further about our financial performance. Ronak, over to you.

Ronak Jajoo: Thank you, Vishnu. Firstly, let me talk about consolidated financial highlights for the full year. Revenue from operations grew by 35% to INR340 crores, which is ever our highest performance annually in our company. As explained by Vishnu, this was led b y substantial growth in the energy and oil and gas segments which increased to INR285 crores in FY’24 to INR219 crores in FY’23, thereby increasing 30% year -on-year basis.

The Aerospace and Defense segments recorded a robust growth of 95% in FY‘24. The revenue increased from INR23 crores in FY’23 to INR44 crores in FY‘24. During the year, our EBITDA margin has expanded on account of operating leverage and process efficiency , resulting in adjusted EBITDA margins improved from 31.6% in FY23 to 34.3% in FY‘24, and this is the highest level of EBITDA margins we have achieved during our history.

Going forward, we continue to maintain healthy EBITDA margins in the range of 33% to 35%.

We are working on various initiatives such as local sourcing, as I told you last time, process improvement, further qualifications of new products, especially in aero space and the oil and gas segment where we have recently signed a long -term contract with the global OEMs.

With our investment towards the special process into the Azad VTC Private Limited which we have announced recently, which will help to reduce the job work charges from H2 FY’25 and onwards, and also it will help us to smooth line our logistics because whe never we send the parts outside for job work, it saves the logistics hassles.

The company has reduced its debt significantly during the year and I am glad to share that in Q3FY’24, our past CCD investor namely Piramal has converted their CCDs into equity worth INR160 crores. Further, utilizing the IPO profit and internal accruals, we have redeemed our term loans to the tune of INR72 crores till date in FY’24.

As a result of our total finance cost for the year including, includes INR29 crores of non - recurring cost towards interest and on CCDs and the one -time impact of IND AS on term loan closures that we have closed, we have short closed the loans. The non -recurring interest cost is largely extended were neutralized by one -time income of INR27 crores pertaining to sales of subsidiaries, sales of land.

IND AS impact of loans and loan closures. A large portion of these non -recurring items is coming in Q3 FY'24 numbers. I am glad to share that adjusted CCD excluding the impact of these non -recurring items grew by 68.7% (Wrongly spoken on the call; the correct number is 69.4%) to INR83 crores during the year. Our PAT for the year stood at INR 59 crores with 17.2% margin. We expect PAT margin to improve from H2 of FY'2025 onward on account of lower finance cost and improving our efficiencies.

Looking at the quarterly number, revenue stood at INR93 crores, which is a 9% growth on year -on-year basis. This growth is led by strong sales in both energy and aerospace segments. The consumption has slightly increased from 12.5% to 17% due to change in product mix and revenue mix. Employee cost has decreased during the quarter as I mentioned last quarter also that we are working on various initiatives.

And this has decreased by 2.17% compared to Q3 FY'24. Operating expenses was in line with the business. During the quarter EBITDA stood at – sorry during the quarter EBITDA stood

INR31 crores with 33.8% margin. The appreciation had slightly increased as we have done capex during the year which resulting into increase in sales and capacity. PAT for the quarter stood at INR15 crores with 16% margin which is our long -term ambitions and we try to improve it further during the quarter.

With this I conclude our presentation and open the floor for question and answers. Happy to take.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Bala Murali Krishna from Oman Investment Advisors. Please go ahead.

Bala Murali Krishna: Yes. First of all, I have two book -keeping questions. For this non -recurring finance cost, when can we expect it to be zero? And one more thing is the receivable side, I think trade receivables are almost at 50% of the FY'24 revenue. So is it a normal scenario or do we have any one -off for this kind of trade receivables in this qu arter?

Ronak Jajoo : Yes. So, one -time income (Wrongly spoken on the call; it should be read as one -time interest) has already been finished because we have repaid all the CCDs and there is no Piramal effect going forward. So, going forward, you see the normalized finance cost from Q1 onwards and the same is also reflected in this quarter. Coming to the receivable part, we have a normal cycle of around 120 days to 150 days credit to our customers. And if you see, we have done almost around 180 crores of sales in H2. That is what is reflected in our rec eivables.

Bala Murali Krishna: Okay. Understood. Yes, Yes. And second on this deals, which you have won with Rolls -Royce and two more deals. And one deal, we have disclosed the contract value and remaining three deals, on a broad basis, what could be the potential of these three deals? Like we have in this last deal, we have around INR300 crores potential. So what could be any combined revenue potential of the three deals which we have won since January?

Vishnu Malpani : So I'd like to say that during the call, Mr. Chopdar briefed that our total order book is upwards of close to about INR3,000 -plus crores. So if that is what you're asking. So all of these contracts put together that we're signing with our customers have a to tal cumulative value of over INR3,000 crores. Now these contracts have to be executed over three years, five years, seven years or 10 years, depending on the duration of the contract. These are long -term contracts.

Bala Murali Krishna: Okay. Understood. So whether we are developing any new products to grab more valid shares of the existing customers? Can you throw some light on that? And lastly, on this new facility, when we can expect it to be on the commission stage?

Rakesh Chopdar : Yes. So as we mentioned, let's take an example of Rolls -Royce. Now Rolls -Royce is one of the key customers to us. And we are very proud to say that we got this very critical components of engine to India. And if you see, there are two aspects in this. One, ge tting the foot in the door, right? So there are so many engines being manufactured by Rolls -Royce in the military application, defense applications.

So we got a chance for the first to enter in the engine programs. Now the example, just giving an example of say for example, they've got 10 engines and they've given us two engines to participate and start the production cycle of that, development and pro duction. So as we develop, as we produce, the doors were open for 10, not for two. So if you see it and look at a longer picture, it is very, very good to see the longer picture, not just for this one contract. There are many more, which are in the pipelin e.

Then comes the civil, the commercial aircraft engines. So this is a step, first step, which got our foot in the door. That was the most important. And now it is all that we start producing parts and the qu

alification goes on. And you can see the revenues c oming from FY'25 from this and the new facility, which is coming up, which we are anticipating to get the FY'26 revenues out of it.

Bala Murali Krishna: All right. Understood. Lastly on this, Baker Hughes , they are our existing customer or they are new customer to us?
Rakesh Chopdar : So, see, in oil and gas, as we penetrated 2020, we were trying to build this as a diversification. And again, there are very critical parts in the oil and gas divisions. The facility what we have, the equipment what we have is very fungible and we just pic ked up the parts which are required as very high specialized components.
So in oil and gas also, we found that there are certain components, which are very high critical in application. And this facility can be utilized the best way to produce those parts. So it was a strategic call of picking up Baker Hughes for coming up. An d as we entered with them, the audit cleared and all the leadership meeting happened, and then we entered in a very long -term agreement. So it was a strategic call. It was very well planned.
Bala Murali Krishna: Okay. That's all. Thank you.
Moderator: Thank you. The next question is from the line of Kamlesh Jain from Lotus Asset Managers. Please go ahead.
Kamlesh Jain: Yes. Congrats for the excellent performance on financial year. So just one question on the part of the order book. So how long or for what period this order book is executable? Like say over next three years, four years?
Rakesh Chopdar : Yes. So major, if you see, it can be from three, five to seven maximum. These are the years which we sign up these order books. And this, as I mentioned in the previous question also, as we are just adding up that, now as I told you in Rolls -Royce, we got two engine programs. We can expect another six or eight or 10 engine programs. So these are certain things we are blocking the capacity with these contracts.
Kamlesh Jain: And sir, like how much would be the capex we would be spending like over the next four, five years? Because spending on capex would result in your revenue getting or order book getting executed. And as you have mentioned earlier as well that you have 2x asset turn. So how much capex would be paying for the next five years?
Rakesh Chopdar : For this year, we have planned to deploy INR120 crores. And as these equipment are very specialized, right, as we all know that we are into very specialized things. We have deployed the proceeds of IPOs from the first quarter of this year. So as I mentione d earlier also, the FY'24 -'25 was very well planned that we will have a 25% -30% growth these two years, which we have successfully picked up FY'24 and on track for FY '25. Now, whatever the capex we have planned is for -- it will be increme ntal from FY'26. So this capex, if you see the effect, it will come from FY'26 from the new facility.
Kamlesh Jain: But, like say, as we want to reach like INR4,000 -odd crores top line in like the next five years, then we need to spend roughly around -- incremental, like say, roughly around INR1,800 -odd crores capex. So are we on that path if we want to achieve incremen tal turnover of INR3,600 crores over the next five years, then we need to spend roughly around INR1,800 crores capex.

Rakesh Chopdar : Not necessarily, Mr. Kamlesh. That depends on the product mix. So what we have done is, whatever the orders and contracts we have committed and we have taken and we have already committed to our customers, these capex is planned only specific to the contra cts what we already have it. This is nothing called future. Whatever we have signed up, whatever orders we have, the capex is very well planned for that particular thing. As and when the product mix changes, as and when we go and see like,

we are into military and defense now. In commercial aspect, we will have a different kind of investments.
Then if you go in oil and gas, there is a different kind of investment. So we are well diversified and we try to take the most advantage of the facility what we have, which can cater to all the three, four segments which we are in. We are not depending on one particular, the whole facility doesn't depend only on one particular vertical. All the four can be, this facility can utilize all the four verticals. So that was the original plan.
Kamlesh Jain: Great, sir. And best of luck for the future. Thank you.
Moderator: Thank you. The next question is from the line of Mahesh Bendre from LIC Mutal Fund. Please go ahead.
Mahesh Bendre: Hi, sir. Thank you so much for the opportunity. Sir, you mentioned that the new facility, expanded facility, which is like 10x in terms of manufacturing capacity compared to what currently will operationally FY'26. So FY'26 could be the year when it will start contributing or is it FY'27 when the contribution will come?

Rakesh Chopdar : Thank you for your question. Sir, from day one we have been -- past when we, I remember, I recollect the days when we started. That FY'24 and FY'25, what existing capacity we have, the growth of 25% to 30% per annum, that is what we have projected. And all this planning and the proceeds what we are utilizing is incremental from FY'26. And if we have got into 10x, if you look at the order book, this is we have it as on date, right?
And there are many more which are lined up. There are many more, as I mentioned from defense, we are going into civil, we are going to commercial, we are going in many directions. So the growth is very big, massive. So to cater that, then we have a plan, b ecause factories cannot be built now and then. When we have already visualized 10x size, so there is a basis behind it why we have chosen to go 10x. So the incremental will come from FY'26.
Mahesh Bendre: And sir, what is the current capacity utilization of existing facility?
Rakesh Chopdar : It's around 80% to 85%.
Mahesh Bendre: Okay. So still we are expecting 25% growth in FY'25.
Rakesh Chopdar : Yes. This was the plan. This was the plan from day one. This was the plan from FY'24 . We had a thing that we will grow 25 -30%, but, you know, luckily we grew 35 %. The same thing with FY '25, we are on track.
Mahesh Bendre: So FY '26 and FY '27 could be quantum year for us in terms of…

Rakesh Chopdar : Yes, you can see a big, I think you can notice a shift and a movement, I could say that, from FY '26.
Mahesh Bendre: Sure. Thank you so much, sir.
Rakesh Chopdar : Yes.
Moderator: Thank you. The next question is from the line of Jeevan Patwa from Sahasrar Capital. Please go ahead.
Jeevan Patwa: Yes. Congratulations, keep up for the good state of numbers. So, I just want to understand what is composition of the order book. How much is it from the aerospace and defense and how much is from power and how much is from oil and gas?
Rakesh Chopdar : Yes. So I can give you some tentative numbers, right? And I can just, just a minute, I'll just open the page. If you notice, we have oil and gas and energy. If I club this both, that's amounting to around INR1,500 crores and around INR1,700 crores from the aero space and defense. These are all signed. Hello, am I audible?
Moderator: The participant got disconnected. Next question is from the line of Prasheel Gandhi from Anand Rathi. Please go ahead. Prasheel, please go ahead.
Prasheel Gandhi: Yes. So just one question from my end. So on a segment -wise basis, could you give a bit more color to your revenue guidance? We have guided for a 25% -30% growth, but could you give a segment -wise guidance on how you are seeing growth in each segment?
Vishnu Malpani : Yes. So, okay. I'm happy to do that. So overall, as a

business, like Mr. Chopdar was saying,
when we, -- so you would have seen that, you know, we've grown from about INR122 crores in FY '21 to about INR340 crores in FY '24, right? So this has been the growth. Now we anticipate the blended growth for the business is going to be 25% to 30% even this year, right? But if you look at each of our segments, so Energy business will continue to grow at 25% to 30%.
Aerospace, also has a larger growth , but you can assume that it will grow at least about 35% to 40%. Oil and gas, because the base is smaller, it could potentially go 2x or 3x also.
Prasheel Gandhi: Okay. Thank you, sir.
Vishnu Malpani : Yes.
Prasheel Gandhi: Thank you very much.
Rakesh Chopdar : You're welcome.
Moderator: Thank you. The next question is from the line of Dipak Saha from DRChoksey Finserv Private Limited. Please go ahead.
Dipak Saha: Yes. So first of all, congrats on a good set of numbers for FY '24. My first question on the inventory side, so if you can share the break -up, you have INR132 crores worth of frozen inventory. So how much will be your raw material, work in progress and fi nished goods?

Ronak Jajoo : Yes, sure. I will do. So you have to understand this inventory into two parts. One is the Aero inventory, as you mentioned that this is for the long -term, where we are using the particular inventory for the that’s why part, where we have to order the minim um order quantity and it has to be checked for longer period of time. And to be very precise on your question, we have raw material to the tune of around INR52 to INR53 crores, work in progress to the tune of INR61 crores and balance our other consumables and scrap inventory to the tune of around INR15 crores, INR16 crores.

And also we have signed long -term contracts with the GE this year, as we have mentioned in our press release. So we are keeping some stuff for those particular contracts. That's why the inventory is looking slightly higher at the end of March end.

Dipak Saha: Okay. So sir what I was trying to understand out of it so for the qualification stage, as you said, you need to get a lot of inventory, so how much out of this would be for the qualification?

Ronak Jajoo : Total, it will be around INR35 crores, roughly INR30 to INR35 crores number you can take for the qualification part.

Dipak Saha: INR30 to INR35 crores?

Ronak Jajoo : Yes.

Dipak Saha: Got it. Okay. And the sir second question is, earlier call you alluded to the fact that we are targeting for indigenization of raw materials to normalize the working capital to much more better numbers. So what is the progress on that?

Ronak Jajoo : We have done quite a good progress in Q4 of this year, where we have got two of our key raw material qualified with the Indian partner. And we are on the track and probably in FY '25 and FY '26 you will see the impact on the inventory side. Because whatever we have to purchase, we have already p laced the order based on the previous PO's and previous order books.

And the further increase on the incremental purchase, what we do, we start from FY '25 onwards, because they have just got qualified and we can't place the order right now, because we have already placed on the existing supplier as the lead -time for these inventories are a bit higher.

Dipak Saha: Okay. And one last thing from my end Sir . So you have delivered in a recent year 35% of growth in FY '24. We are talking 25% -30% sustainably for the next two years, right? And we have INR3,000 crores order book. And when we look at your balance sheet, specifically on the trade payables side, we have seen those numbers going down. So filter days are kind of going down.

So, when we are targeting this kind of growth, on the other side are filter days going down and debtor days are also kind of in dicating. So will we be able to sustain at this level of debt l

evels

that we hold right now? Or we might resort to higher level of debt going ahead to manage the working capital?

Vishnu Malpani: So, Vishnu here, I am just trying to understand. I think the number of trade payables or the number that you are sharing, can you just expand on that because we didn't quite catch that?

Dipak Saha: So if you see your base payable on FY '22 was 576 and for FY '24, it's around 396, right? So, as an effect, if you compare with COGS, then your cash conversion cycle is going up for FY '24.

So, how we are going to manage this? Is there any change with the creditor days or creditor terms that we are getting less number of days as far as this thing is concerned from the suppliers?

So that's why I was trying to understand how it will impact us to manage the working capital for FY '25 and FY '26. Ho w does it work? If you can share some color.

Ronak Jajoo : Yes. So if you see my strategy today, it's around INR70 crores plus in my balance sheet and we have enough cushion available to manage the FY '25 number. And for FY '26, as we mentioned that we have already have a proceeds from IPO plus, we can take the additional working capital lines from th e bank as my current debt is close to what working capital debt is zero. And there is a term that hardly of around INR25 to INR30 crores in my book at point some time. So, we have a sufficient cushion available for the growth and that should not be a probl em for us going forward.

Moderator: Thank you, sir. The next question is from the line of Vishal Singh from Makrana Capital. Please go ahead.

Mickey : Hey, guys. This is Mickey here, not Vishal. Congratulations on a good set of numbers. I specifically had two questions, guys. So, number one, assuming in fiscal '25 you grow at 30% and I clearly remember you had said that for you fiscal '24 -'25 was the year where capacity is going to be constrained. So given that you were at INR340 -odd crores for fiscal '24, I slap in one booked by 30% that gets you for fiscal year '25 at approximately INR445 crores. Given that we are long term investors and you me ntioned that starting fiscal year '26 will be the inflection point.

I mean, what kind of revenues are you guys projecting for fiscal year '26 to demonstrate that it is really an inflection point from a revenue perspective? That's my first question.

Rakesh Chopdar : Yes, Mickey , I think you're right and thanks for the question. Right from day one, we have been saying fiscal '24 -'25 has been very well planned and we have achieved fiscal '24 as per the plan and on track for fiscal '25. So we are quite happy with what we have planned, we achieved in fiscal '24 and will be achieving in fiscal '25. There are no constraints in that.

Now, if you see that we are deploying around INR120 crores this year and this is incremental to whatever we are doing for FY '26, FY '25, this will be seen from FY '26. So this is a continuous process. As you notice that these machines, equipment, they ar e not on the shelf. They have certain delivery times and it will come in phased manner. And you can see the deployment of these revenues. We can, if you show and take you more in detail. If you try to see the asset turn, what we have been talking and based on the asset turn, more and more equipment, as quickly as possible, we try to get in the facility.

Today, we have massive order books, we have massive customer base and we are really coming up in a very great show. You could see April 24th, the president and CEO of GE Vernova are coming in, blocking the capacity. That gives a big, big gesture to our business and to India that she came in all the way, did the ceremony, flew back in six hours.

That means they want us to raise this facility as soon as possible. Now, it depends on various factors on the equipment

. Now, these equipment are majorly imported . And we have a long -term delivery. So we are now very, very desperate to get this capacity up and running as we have to deliver these contracts. So it is that more quickly the equipment comes in, more performance you can see in this case.

Mickey : And then my second question is, just from a quarterly perspective, how does one, like I know you guys think a lot from a yearly perspective, but listen, you are a public company now. So from a quarterly perspective, in terms of your revenue and numbers, ho w should one project this? Is there seasonality? There's no seasonality. Obviously, there has been a little bit slowdown in your Q3 to Q4. So I'm just trying to figure out, like from a public company, now that you have to give out quarterly results , how should one factor the growth in?

Vishnu Malpani: Thanks, Mickey , for the question, Vishnu here. I'd like to say that, first of all, in our business, there's no seasonality. I think there, this might be arising, this question probably I'm guessing might be arising out of a smaller growth that you would have seen from F Y '23 Q4 to FY '24 Q4.

But I would like to clarify that, when we are looking at, say, a 9% growth from FY '23 -Q4 to this year, there was, the base that was taken, the base quarter, if you look at our four quarters for last financial year, we were doing on an average of about IN R55 crores in quarter one, quarter two, quarter three. While we were able to add some capacity last year, the quarter's actual capacity was closer to INR75 crores, but because some deliveries had pushed to Q4, the quarter had become elevated to about INR84 crores. If you normalize it, it should have been about INR70 crores for FY '23 Q4.

Now, when you compare ourselves from a INR70 crores normalized quarter from last year to, say, a INR92 crores of quarter, you will be able to see a growth that we have been talking about, which is about 30%. So, that is one. So, the elevated base, which w asn't normalized for last year, is actually leading to this, wrong growth number that is coming out.

But ideally, it is about INR70 crores for last year's quarter and about INR92 crores, which is about 30% growth. However, the other thing that I want to say is quarter -on-quarter in our business, there are sometimes shipments based on the customer's requi rements are either pulled or pushed out. So, that's why when you're evaluating our business, I would say that you look at a longer period, maybe club two quarters or look at a longer horizon because we are constantly growing at this rate.

And that's why it's important. So, we have zero seasonality and the elevated base of last year would have led to, say, optical smaller growth. But if you have to evaluate for us for FY '24, I would recommend that look at FY '24 over, say, the next two qua rters. Maybe you can look at the June quarter and the next quarter put together to see how we are able to grow at this rate. I hope, I'm able to answer.

Mickey : Absolutely. And just one last question from a margin perspective. Obviously, there has been some variability. So, both at a gross margin level and an EBITDA margin level, like what is the band that we should be factoring in for fiscal year '25 and '26?

Vishnu Malpanni : So, I mean, I wouldn't say that there has been a lot of variability in our business. I think for us the change in the variability is because of the product of the revenue mix whenever there is, but even if the product and the revenue mix changes the range would be anywhere between 33% to 36% to 37% that's it. So, this is the only range that our EBITDA margin is going to be at and our gross margin despite the change in revenue mix etc will always be between 82% to 86%.

Rakesh Chopdar: Another one point I would like to add here mickey is these numbers what we are telling you is like

we already signed the contract. So, these numbers are already secured all the value order book that we have taken is all secured. So, that's one big advantage.
Mickey : These numbers also include a fiscal year 26 and beyond which is the inflection point, correct?
Rakesh Chopdar : All the order book that we have in hand. We have a strategy. We follow the same for everyone. So, all the order book signed has this number.
Vishnu Malpani : I mean, I would just like to expand this a little further. So, if you look at it from FY21 our EBITDA margin was closer to 30%. If you look at this year, we have delivered one of the highest ever EBITDA margins for us in the year. We were internally proje cting we were targeting about 110 crores, but we have been able to deliver about INR117 crores which is over delivery because of certain margin expansion that has happened on operating leverage that we were able to get. If you look at our revenue numbers also our internal target was to hit 340 and we were successfully able to do it. Now, we are on to along with the revenue numbers. I think one of the important things that we should all be focusing on is okay while we have hit our numbers and we have met our targets, there are a lot of qualitative developments that have happened in the business.
We placed our foot in Rolls Royce. We signed two additional contracts with Baker Hughes. We are doing strategic defense contracts There is a lot of improvement. We have done an acquisition for Azad VTC which will improve our margins further. So, there is a lot of developments that are probably not visible in the numbers that have been showcased, but there is a lot of work that has happened in this year which should probably help us in FY25 -26, and on and on going on.
Mickey : I agree with everything you are saying. All I am just saying is that starting fiscal 26 is going to be a big inflection point in terms of the capacity and the revenue. Given all the internal developments you have done.
Moderator: Sorry to interrupt, Mr. Vishal. I request you to rejoin the queue.
Mickey : Margins should be able to be sustained, right?
Rakesh Chopdar: Absolutely. Yes, absolutely.
Mickey : Okay, great. Thank you, guys.

Rakesh Chopdar: Thank you.
Moderator: Thank you. The next question is from the line of Abhijit Mitra from Aionios Alpha Investment Management. Please go ahead.
Abhijit Mitra: Yes, thanks for taking my question. I hope I am audible.
Rakesh Chopdar: Yes.
Abhijit Mitra: Yes, so just to understand I think one of the previous participants tried to probe on this. Your current working capital days is 206 or 210 in that range. And when you are talking of a 10x revenue over, say a 4 -year period or 5 -year period that is an incr emental revenue of almost 3500 crores, an incremental working capital requirement of…
Vishnu Malpani : Sir, we are talking about 10x capacity addition. We are not talking about 10x growth in the next 2 year.
Abhijit Mitra: Yes, so essentially the INR4000 crores revenue target is by which year? Sorry, if you can…
Vishnu Malpani : Okay. So I would just like to clarify that we are talking about — so currently our business is constrained for capacity. We have limited capacities and with the contracts and the demand that we are seeing for our customers, we are coming up with a facility which will add 10 times more capacity.
Now this 10 times more capacity is obviously going to be made over a standard period and will be filled over time. We don't mean that it will be filled over the next 4 years or 5 years. Our business will continue to grow at 25%, 30% this year. And then onc e we are at an inflection point in FY26 you will see that the growth rate improves from 30% to a higher number and it will continue at that rate for a few years.
Abhijit Mitra: Got it. That's very clear. And secondly, just to unders

tand the nature of this working capital as you scale up you will have to maintain this nature of working capital intensity or you can improve on it?
Vishnu Malpani : No, so the working capital intensity of the business is a function of what is your qualifications that you are doing. Qualification in our business is where the working capital gets stretched because you are supposed to stock material, you are supposed to buy minimum order q uantity, whereas, it takes a couple of years to get your product qualified.
So basis this, once the product qualification is there and your production ramps up, you will see that progressively the working capital comes down. Ideally, we expect our business's

working capital on a blended level to be anywhere between 140 days to 150 days of cash to cash.

And our energy business vertical was already at that point. Now with some of the stocking programs that we are doing to improve our relationship and business with our customers, it could look like it has stretched a little, but the ideal business working c apital cash to cash

conversion cycle should be anywhere between 140 days to 150 days overall, which you will eventually see.

Abhijit Mitra: Got it. And the last question is the margin guidance, which you are giving 33% to 36%, I mean, what are the risks to that margin guidance? Are there any open -ended clause on the commodity or on the currency or anything else that you feel can impede this gu idance?

Vishnu Malpani : So, if you look at our historical numbers, we have always sustained these margins. These margins have been able to sustain, because when we sign up with our customers over a longer period contract or a long -term contract, these prices have been fixed agree d upon. And over time, we are only bringing more operating leverage, which helps us improve our margin further.

During the process when we are taking an order for our customer, our margins are fixed. So we do not take an order where we do not meet our margin criteria. And over time, we only help improve the margin further through our operational excellence and oper ating leverage in our business. So 33% to 36%, 37%, the range, which are shared will be sustained for a longer period of time.

Moderator: Thank you. The next question is from the line of Alisha Mahawla from Envision Capital. Please go ahead.

Alisha Mahawla: Sure. Sir, the capex that we are doing in Hyderabad for 10x capacity, is the total capex only INR120 crores?

Vishnu Malpani : No. Let me clarify this. So we are coming up with a 10x capacity. INR120 crores is the deployment that we are going to be doing in FY '25, which will result, which will improve our revenues for FY ' 26. The longer, these machines that we deploy in our business, these are high - end specially all the CNC machines. They have a longer -- they have a longer duration for deployment and production.

So when we order these machines, so we are going to be investing INR120 crores in plant and machinery only. I want to be specific. For the infrastructure development we are going to be deploying about INR80 crores to INR100 crores. So INR80 to 100 crores w ill develop the infrastructure, whereas this financial year, INR120 crores will be deployed in plant and machinery.

And over time, whenever we have to build capacity, it does not make sense for us to deploy INR500 crores and create a capacity because obviously there has to be a progressive way that this plant and the ecosystem is developed. So right now, the initial st art will be INR120 crores in the current year, and then next year will be further, and we will continue to do that.

Alisha Mahawla: Understood. So in a phase -wise manner, every year about INR100 crores – INR120 crores will go in plant and machinery, but the investment of INR80 crores to INR100 crores will probably also be incurred in this year only for t

he plant to be ready in 2026.

Vishnu Malpani : Yes, we have already started deploying that from last year because the infrastructure was started. So there will also be deployment in infrastructure this year, but plant and machinery, we will have to deploy about INR120 crores.

Rakesh Chopdar : And one more point we would like to be clear is this is not just for FY '26. It's from FY '26. The infrastructure which is getting built is just not for FY '26. It's a massive plant which is coming up. And we can't build factories one by one. So there are a lot of plans which I'm happy to, if you could, if you travel to Hyderabad, we can show you all the plans in detail.

Alisha Mahawla: And tentatively, in FY '26, when do we expect this first phase to be ready?

Rakesh Chopdar: From FY '26, ma'am.

Alisha Mahawla: In H2?

Vishnu Malpani : No. So you will be able to see incremental revenue of FY '26 coming out of the new facility. So whatever growth, say when we do 25% to 30% growth in FY '25, and say let's say that number is X, on X, any incremental revenue that we are targeting for FY '26 will come out of the newer facility, which will be our inflection point.

And then you will be able to see that the rate of growth for us in our business will be faster. See, our business has a sustained growth of 25%, 30%, because the market is very large. And we can continue to grow at this rate for a very long period of time with sustained margins and the top of the line clientele and product line. So I think the way to look at business would be, on these lines.

Alisha Mahawla: Understood. And just last question, the contract that was signed with Rolls -Royce, GE Vernova, Baker Hughes, et cetera, will these also start from FY '26 from the new capacity?

Rakesh Chopdar: Yes, ma'am. As you can notice, there are five and seven years. So that covers in that period of time.

Alisha Mahawla: Yes, but are they starting in FY '25 or are they….

Rakesh Chopdar: No. A few of them can start from next year also, FY '25 also. So there are certain parts which have growth from FY '25, some are required from FY '26. So it's a very staggered and planned.

And these contracts are not signed just today. There is a hard work of last one year we've been negotiating with them.

And as we show them capacity, right. This is not just they'll just give you a contract, just like that. So we showed them plan. We are raising money. We have this is our factory coming up. This is the plant which is coming up. And when audit happens, they come, they watch, they see. And then only the contracts are signed.

We would have taken this contract last year, but we told them, yes. we are raising money. So we need all the strong capital to execute all this. So all this has been it just doesn't come like that, ma'am. These companies are large companies. They see each and every corner and then only sign up with you.

Vishnu Malpani : And there are, I mean, we have delivery commitments. So whenever a customer signs a contract, they are busy on what needs to be delivered at what time. So there is a very, very detailed schedule which has been agreed between our customers and us. And we w ork towards it on a similar basis for every contract.

Alisha Mahawla: Understood. And this capex of INR120 crores, INR60 crores we raised in IPO. And for the balance, are we going to now again need some debt, because there's going to be at least INR120 crores every year plus infra

Ronak Jajoo : Yes. We have to take the incremental debt. Right now, there is no debt, hardly around INR 37 crores (Wrongly spoken on the call; Correct number is 37 crores) in the balance sheet. So we have sufficient room available for the new debt.

Moderator: Thank you. The next question is from the line of Chirag from Neo Multi Family Offic

e. Please go ahead.

Chirag: Yes. Hi. So if you can give me a breakup of margins in terms of segment wise? So let's say currently you are getting a revenue contribution on from Aerospace & Defense of around 20% - 30%. So how much could that go to in the next three to four years or so? And what impact would it have on your margins?

Vishnu Malpani : Look. So we don't look at margins on a vertical level. So if you look at our business, right, this year we delivered some level of diversification or if you have to say 82% of our revenue this year was from Energy and 12.9%, was from Aerospace. And until last year, it was about 87% - 88% from Energy.

So we were never looking at margins at a segment level. We always looked at it blended, because the way we go for our parts is also similar in both the verticals. However, going forward, our plan is that once we are able to scale, you know, aerospace and defense to the level of upwards of INR75 crores -INR80 crores, we would start tracking the margins separately for the business as well.

Because until then, large part of our focus is towards qualification, you know, which optically might not give you the right indication for margins at a segment level because qualification is a zero revenue business. You have to invest a lot in terms of m anpower, your resources, etc. So until we are able to reach a scale where the business reaches upwards of INR70 crores -INR75 crores, it does not make sense for us to look at margins at a segment level.

However, we don't see that number far off, you know. So maybe in a year's time or so, we should be able to track segment level revenues. But again, we will not be able to track this for oil and gas because oil and gas is now very, very small, it is blende d with energy.

When oil and gas also reaches, you know, a point where we start delivering and the quantum of qualification versus revenue is comparable, then we will start doing it separately. But to give you some comfort, our blended margins are always going to be in t he range of 33% -36% despite any change in revenue mix or segment mix whatsoever.

Chirag: And you currently have a wallet share of roughly 1% in your existing TAM. So what are the opportunities and challenges that you see in terms of growing your wallet share and how much could it go to over the next few years?
Rakesh Chopdar: Yes, so I'll take this. If you notice when we say the TAM and the wallet share, signing contracts and getting these orders, that is evident to show that we are now ready to take up. And now the customer believes us. And now this is where they give us the comp lete program of allotting these orders to us for the long term. So this comes step by step. As I mentioned, in 2022, we were sitting at around 23, we were sitting at INR2,000 crores. This year we did INR3,000 crores. This INR1,000 crores comes from certain developments which we did this year. And so on, this will keep on continuing. So when we say 10X capacity, then you can imagine. You can imagine what order we will be sitting after next year and following year.
Vishnu Malpani : And just to add to what Mr. Chopdar was saying, I think for us, what are the ingredients that you need for an organization to scale up? You look at capital, you look at contracts, you look at customers, you look at capability, and then you look at capacit y. Today as an organization, we have all the four boxes that we have checked, and capacity is coming up. So that is going to lead us to a higher expansion in our wallet share. It is not a function of reduced demand.
We have more demand than what we can supply. Even if we were to set up capacity immediately, it is going to get consumed. You can see how our customers have been growing, and how each of these segments or industries are growing. So we work with the top cu stomers in every sector. Every sector is

having tremendous growth. Our customers are growing.
So for us to grow, we only need to add capacity. And that is why one of our questions that had come up is, once the new capacity comes up, that is going to be an inflection point. Having said that, growing 25%, 30%. Since 2021 till today, we have grown at 40%. Hopefully, this growth will continue when you see the inflection point as well. That is something that I would say. It is only capacity that needs to be added.
Chirag: So do you foresee any risk in terms of competition or any other risk in achieving your goals of increasing wallet share?
Rakesh Chopdar: Competition. We have competition in China, Europe, Japan, and America. That is our competition. So if we compete, we compete these four regions, four countries, I would say.
Vishnu Malpani - And we do not see any risk from that perspective because our revenues for the next few years have been signed up already.
So we do not have to look for, for example, the numbers that we are targeting in FY25. We already have the purchasing orders and the contracts with us. So that is committed. So we do not see a risk from that perspective. See, that is what I was saying. Co ming back to this, like in my previous answer, I was saying for us to grow, we need customers, contracts, orders, which is there with us.

These products have been qualified. The only thing that is needed to be added is capacity. And for us to add capacity, we needed capital, which we have raised, and now we are deploying that. So we do not see any risk in execution from that perspective.
Chirag: Okay, thank you.
Moderator: Thank you. Due to time constraints, that will be the last question for the day. I would now like to hand the conference over to Mr. Amit Dixit from ICICI Securities. Thank you, and over to you, sir.
Amit Dixit: Yes, thanks, Manuja. I would like to thank everyone for attending the call and fruitful discussion we had today. I can see that there is a long queue still over there, so you can get in touch with the management or SGA for your queries. I would now like to hand over the call to Mr. Chopdar for any closing comments. Over to you, sir.
Rakesh Chopdar: Thank you, Mr. Amit. Thanks, everyone, for joining this call. What I believe is like, as I mentioned before, the plan, what we are planning, 24, 25, 26, 27, we are perfectly on track, and we expect, and as we go through FY24, we will achieve as per the plan and on track on FY2 5 and on track on FY26. So we have all the ingredients.
It's just the capacity. We are very eagerly waiting to add the capacity. We have enough orders. We have big, big, you know, demand in the global supply chain. Even now, there are so many customers sitting next door and asking us, when are you going to add the capacity, contracts up, orders in place, capital in place. So I think it's a very beautiful journey going ahead, and there is a lot of excitement coming weeks and things, and you will listen what's going, what steps is yet

to come yet.
So that is what I wanted to give a last message. It's really, really a wonderful journey we covered, and there's a long way ahead to cover up.
Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2024

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August 14,2024
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i Mumbai, Maharashtra - 400 001 , Mumbai, Maharashtra - 400 051 :
Dear Sir/Ma'am,
Subiect : Transcript of Analyst /Investor Earnings Conference call.
Reference : ISIN - INE02II01035; Scrip ld-54406t; Scrip Code-AZAD
Pursuant to Regulation 30[2) of SEBI flisting Obligations and Disclosure Requirements)
Regulations,20tS, and in continuation to our intimation dated August 05,2024 we hereby inform you that the Company has hosted Earnings Conference call for analysts and investors on Friday, August 09,2024, at 03:00 P.M. IST which was concluded on Friday, August 09,2024, at 03:55 P.M. IST to discuss on the financials results of the Company for the 1st quarter ended |une 30, 2024.
We are enclosing herewith the Transcript of Analyst/lnvestor Earnings Conference call.
Please take the information on record.
Thanking you,
Yours truly,
For Azad Engineering Limited
Ful Kumar Gautam
(Compqny Secretary & Compliance)fftcer)
Membership No.: A49550

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"Azad Engineering Q1 Financial Year 20 25 Conference Call"

August 0 9, 2024

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on August 9 2024, will prevail.

MANAGEMENT : MR. RAKESH CHOPDAR – CHAIRMAN AND CHIEF EXECUTIVE OFFICER , AZAD ENGINEERING
MR. VISHNU MALPANI – WHOLE -TIME DIRECTOR , AZAD ENGINEERING
MR. RONAK JAJOO – CHIEF FINANCIAL OFFICER , AZAD ENGINEERING
MODERATOR : MR. AMIT DIXIT – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Azad Engineering Q1 FY '25 Conference Call , hosted by ICICI Securities.
As a reminder, all participant lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Dixit from ICICI Securities. Thank you, and over to you, sir.
Amit Dixit: Thanks, Sumit. Good afternoon, everyone. On behalf of ICICI Securities, I welcome all the participants for Azad Engineering's Q1 FY '25 Conference Call.
At the outset, I would like to thank the Management for giving us an opportunity to host this call.
From the management, today we have with us Mr. Rakesh Chopdar – Chairman and CEO , Mr. Vishnu Malpani – Whole -Time Director , and Mr. Ronak Jajoo – Chief Financial Officer.
We will have brief opening remarks from the management , post which we will open the floor for an interactive Q&A session.
Without much ado, I would hand over the call to Mr. Chopdar to take this forward. Over to you, sir.
Rakesh Chopdar: Thanks, Amit. Thank you very much. Good afternoon, everybody. Welcome, and thanks for joining today on our Quarter 1 Earnings Call .
On this call I have our Whole -Time Director – Mr. Vishnu Malpani , our CFO – Mr. Ronak Jajoo ; and Team SGA – our Investor Relationship Advisor.
The Results and Presentations are uploaded on the Stock Exchange and the Company website. I hope everybody has had a chance to look at it.
I am pleased to share that Azad demonstrated its best -ever quarter in terms of revenues and profitability. During the quarter, our top -line increased by 30% on a year -on-year basis to Rs. 98 crores. We witnessed a similar growth trend in the operating profits as well.
The PAT has more than doubled on a year -on-year basis to Rs. 17 crores. As indicated previously, this is largely due to the reduction in finance cost post IPO. We expect to maintain this growth trajectory throughout the year.

The road ahead is very promising as we continue to have a robust order book of more than Rs. 3,300 crores plus distributed among the business verticals. We are continuously working on qualifications and approval to further strengthen our order book.
Some of our major order wins, which are part of the above order book includes :
The recent one is a prominent contract from Siemens Energy Global , Germany , for a tenure of five years to manufacture and supply critical rotating components for a global requirement in demand of their advanced gas and thermal turbine engines .
An order from GTRE/DRDO for manufacturing and assembly of a turbojet engine. Now, this is a very, very exciting opportunity and this is going to take Azad into a very different league. This is a landmark contract for us, for India, as this marks our entry from component manufacture to an integrated assembly, complete assembly . And the best part is , we move to the propulsion system. We have expanded our manufacturing capabilities by vertically integrating to offer end -to-end manufacturing of a complete assembly gas advanced turbo engine as we play an important role in this mission as a single -source industry partner, to GTRE /DRDO. This is a very critical component and a nation -pride component. This will be utilized in various Defense applications. So , a lot of programs where Defense applications are being utilized.
A seven -year contract with Rolls -Royce for the Defense and military aircraft engines . Two major contracts from Baker Hughes . A contract from GE Vernova for supply of high -complex rotating airf

oils for the Nuclear , industrial, and thermal power industries.
All these above represent very good progress, which has secured Azad's growth for the coming years. These contracts reflect Azad's win in terms of new customers, segments, and geographies. And we expect them to generate significant business value over the next coming years. Further, we have orders from our existing customers for existing products, as well as the new products, which we are adding progressively.
As a company, we are focused on consistently expanding our capabilities in terms of processes. Towards this, we have recently acquired the assets of Leo Prime Private Limited (wrongly spoken on the call; correct terminology is Leo Primecomp Private Limited) through our subsid iary, Azad Prime Private Limited. Azad Engineering holds a 51% stake in this company, and erstwhile owner, shall , who holds the remaining stake. It is notable that this company has the capability to manufacture and supply large -size cri tical advanced technology parts in addition to our existing portfolio of small to medium -size mission -critical life -critical components.
This acquisition, in fact, will expand our product portfolio in the Nuclear , gas, thermal, and Oil & Gas sectors . And enable us to service our existing customers as well as the new ones. Thereby, we believe this will also help us improve our overall asset turnover. Likewise, we have added a subsidiary Azad VTC, for special processes and coatings, which will help us reduce job work

charge as well as the dependency. As these special processes and coatings are, only a few companies in India have the qualification as they are depending on the other special processes house worldwide. So, this is a very good advantage for Azad now.
Now, let me take a moment to update on the expansion front :
As stated previously, we are coming up with a new facility that is 10x existing facility in a phased manner. We are on track to complete the expansion phase and will be ready by and from FY '26. With orders in hand and pipeline of validations, we have high visibility on the utilization of the first phase . They are strategically positioned with a well -diversified portfolio that spans across high growth sectors driven by strategic partnerships, industry qualifications, and long -term contracts.
These diverse engagements solidify Azad's standing as a very key player in Energy , Nuclear , Aerospace , Defense , and Oil & Gas .
Energy :
We hold very long -term contracts with all major industry players across various product segments, reinforcing our significant presence in this sector.
Nuclear :
With our recent approval from EDF, we are exceptionally well -positioned and are ready to capitalize the upcoming boom and the growth opportunities within the Nuclear industry.
Aerospace and Defense :
We are just transitioning from manufacturing rotating engine components to comprehensive engine manufacturing and assembly, showcasing our expanded capabilities in this field of both Defense and civil aircraft engines.
Oil & Gas :
Our two major contracts with Baker Hughes are enhancing our capabilities and setting the stage for further scaling in this sector of all the Class A components.
Finally, we are pleased to reaffirm our guidance of 25% , 30% revenue growth for FY '25 alongside an anticipated improvement in our margin profiles.
That's all I have to say for this. And now, I hand it over to Mr. Vishnu Malpani – our Whole -Time Director, to take this conversation further.

Vishnu Malpani: Thank you, Mr. Chopdar, for your strategic insights. Good afternoon, everyone. I am thrilled to join you today to discuss the remarkable progress we have made in this quarter and our ambitious outlook for the future.
As Mr. Chopdar mentioned, we

are in a period of unprecedented growth and transformation , driven by a relentless focus on scaling our capabilities and expanding our market presence.
Today, I will take you through the numbers that underscore our performance and strategic decisions that are fueling our momentum.
From the substantial increase in the order book to key customer acquisitions and sectoral gains, we are operating from a position of strength. But more importantly, I will highlight why we believe this is just the beginning of a sustained period of high growth for Azad. Let us dive into the details quickly.
We are dominating the market by unleashing unprecedented growth. Azad is not just another precision manufacturing player. We are redefining the market. As we have emphasized earlier, our competition isn't local , our competition isn't in India. We are operating at a global scale, competing, matching, and exceeding the standards of companies based in the U.S., Europe, China, Japan, and other leading geographies.
Our growth strategy is laser -focused on five critical pillars, we call it “5C” internally. And these 5Cs are :
• Customers.
• Contracts.
• Capability.
• Capacity.
• Consistency .
Today, I am proud to announce that we have exceeded expectations across all of these areas :

Our order book has skyrocketed from Rs. 2,000 crores a few quarters earlier to over Rs. 3,300 crores today, driven by strategic contracts and key customer acquisitions, including industry giants such as Rolls -Royce for their Defense platforms , and another key aero engine OEM, which for confidentiality reasons, I will not be able to name, we have onboarded them for their commercial platform for manufacturing life -critical rotating parts. With our current wallet share of less than 1% in a TAM of $28 billion, we are only beginning to scratch the surface of our potential.

Now, let me talk about some strategic acquisitions and diversification that we have done :

Diversification isn't just a strategy for Azad , it is our pathway to dominance. By strategically shifting our business mix across verticals, we are not only reinforcing our existing verticals, but also seizing new opportunities. Recent opportunity that Mr. Chopdar talked about with GTRE/DRDO under Ministry of Defense for supplying of a complete jet engine is a massive opportunity for us, for India. This will not just improve our target addressable market further, because now, from component manufacturing, we are moving into the propulsion industry as well. Please note that this is just the first step, and there is tremendous potential to be unlocked. Our recent acquisitions have strengthened our portfolio and extended our global reach. This isn't just growth , it's calculated expansion that cements our industry leadership.

Taking this further, let us dive into our exclusive performance and strong forward momentum :
Reflecting on our performance, the numbers speak volumes. Compared to the same quarter last year, we have achieved approximately 30% growth in our top -line and a 30% increase in our EBITDA , with PAT surging by 2.3x. Just four years ago we were delivering Rs. 100 crores to Rs. 120 crores annually. Now, we are closing in on Rs. 100 crores revenue in just one quarter. This is nearly 4x growth over four years. And this is a powerful testament to our strategic execution capabilities, relentless drive and rest as sured, we are just getting started.
:
Azad is poised for sustained high growth. Looking ahead, we are more confident than ever in our ability to sustain aggressive growth. Our guidance of 25% to 30% annual growth isn't just ambitious, it's achievable, backed by our track record of execution excellence and the strength of our current order book. This momentum is also only the beginning.
:
Now, let me talk about consistency, which is the foundation of our suc

cess :
Finally, the bedrock of our strategy is consistency. It's not just enough to achieve growth, we are committed to sustaining and building on that growth year -after-year. Consistency for us means that every contract that we sign, every customer relationship that we build, and every capability that we develop is underpinned by a razor -sharp focus on quality and execution. It is this unwavering consistency that fuels our confidence in Azad's future. With sectoral tailwinds and an expanding global market across sectors, power, Nuclear , Aerospace and Defense , and Oil & Gas , Azad is positioned not just to grow, but to dominate in the years ahead.
With this, I would like to conclude and thank all of you who have joined us and for your continued trust in Azad as we embark on this exciting journey of transformative growth.

I would now like to move this on to our CFO – Mr. Ronak Jajoo, for his insights on the financials.
Ronak Jajoo: Thank you, Vishnu. Firstly, we will talk about our standalone financials highlight for Q1 FY '25.
Let us start with Revenue :
Revenue from operations grew by 30% to Rs. 98 crore in Quarter 1 FY '25 on year -on-year basis, which essentially means ARR of Rs. 400 crore per annum on an annualized basis. As explained by Vishnu, during the quarter, Aerospace and Defense contributed around 19% of our total revenue, which is in line with our long -term diversification plan. Our long -term guidance to the market for sales growth will be in the range of 25% to 30% on a year -on-year basis for a longer period of time.
EBITDA:
The EBITDA and adjusted EBITDA margins for the last three quarters and FY '24 remained very stable across the period at a range of 34%. Our long -term guidance to the market for EBITDA margins will be in the range of 33% to 36% , depending upon product and sector mix.
Let us talk about our three major Operating Cost Heads over the past three quarters :
Quarter 1 FY '25, quarter four FY '24, Quarter 1 FY '24. Employee expenses as a percentage of sales were between 20.5% to 21.2%, which are quite consistent. The raw material and other expenses put together have been in the range of 45.1% to 45.7%, which again show a mark of consistency in our performance. The adjusted EBITDA grew by 29% to Rs. 34 crore compared to Rs. 26 crore in Quarter 1 FY '24, with sustainable margins of 35%. EBITDA was adjusted for one - time expenses of FOREX restatement and provision f or credit impairment of trade receivables as per the I ndAS guidelines.
Let us talk about Depreciation:
Depreciation has increased on account of capacity added during quarter four FY '24 and Quarter 1

FY '25, which helped us to achieve our gross margins. The finance cost mainly represent s interest towards working capital, term loans, and there are no one -time impacts in this particular quarter, which was there in previous two quarters. Let us come to the PAT , PAT stood at Rs. 17 crores with 17% margin compared to Rs. 7 crores in Quarter 1 FY '24, with a margin of 10% at that moment of time.

As a Summary:

I would like to reaffirm a few of the points. We, as a company, have achieved a sales growth of 40% between FY '21 to FY '24. For FY '25, our Chairman and CEO – Mr. Chopdar and Vishnu

Malpani, who is our Whole time Director has already given a guidance of 25% to 30% , and over the long -term we are going to sustain this particular growth.

The business is diversifying both on product and sector mix , and same is reflected in Quarter 1 FY '25 numbers. The adjusted margins are quite consistent over a period of time, and we are growing at a healthy growth of 35%. The PAT margins grew over a period, and in Quarter 1 FY '25 we ha d achieved a 70% PAT margins and going forward, we will sustain these margins on a long -t

erm

basis. The adjusted ROCE of the business is over 20% -plus over the period , and the same will be sustained in a long -term basis.

With this, I conclude the Presentation from Azad 's side, and I will open the doors for questions -and-answers.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Dipak Saha from DRChoksey Finserv Private Limited. Please go ahead.

Dipak Saha: First of all, congratulations on a good set of numbers. Just one question I have. The recent deal that you have signed with GTRE, if you can share some of the criticality and complexities on this particular thing given your entry into the propulsion system . And who all are there in terms of the incoming players in India especially , if you can give certain details as globally we are making this kind of components involving propulsion system particularly for this kind of product. That's the two on ly question that I have. Thank you.

Rakesh Chopdar: Okay. On this GTRE/DRDO, this is a complete engine. Just as a layman to make you understand what this engine looks like, you have seen Tejas aircraft or any of the military aircraft, it has an engine, right? And that engine is classified with its thrust, w hat size of thrust it is. So, this is a complete engine, it can fly a missile, it can fly UAV, or it can fly a drone, it can fly many things. So, this is something that I cannot speak much about it at this call, but to just give you an idea , this is a complete engine. So, making components, integrating, assembling and get ready to fit, that's the scope of this work.

Vishnu Malpani: And just to add to Mr. Chopdar's point, one important thing to note is that when we received this order, we were chosen amongst the top Defense companies in India. We competed against them , and today we have been chosen as the single -source industry partner for development cum production.

Dipak Saha: Okay. And just one follow -up on that. Your current capabilities that you have are well equipped for executing this kind of a project on the propulsion system side?

Vishnu Malpani: Yes. So, if you look at our product portfolio, you will see that we have been making all of these critical components for various customers internally. Now, that is why, for us, getting this entire engine manufacturing was easier because Azad is obviously manufacturing most of these critical components for other players.

Rakesh Chopdar: And when the technical assessment happened by DRDO and GTRE, and they could see all these parts and capabilities already existing in Azad, and that's where we could compete everyone in the line and we could win this, because the capability is all set. It's not something new we have to learn in this, it's just assembly and all. We have to take guidance from GTRE, DRDO. Thus component manufacturing, we are very well -versed with. So, we are very, very confident on making this a success. We wish and hope that in 2026, we see this engine fly.

Moderator: Thank you. The next question is from the line of Bala Murali Krishna from Oman Investment Advisors. Please go ahead. Hello, please go ahead. As the line of the Bala Murali Krishna is not audible, we will move to the next question. The next question is from the line of Pranav Shrimal from PINC Wealth Advisory. Please go ahead.

Pranav Shrimal: I had just a couple of questions. One, so we have seen a significant increase in our revenue from Aerospace and Defense . If you could just give some background as to which sector are we seeing the growth in? Is it the Defense sector , is it the Aerospace sector?

Vishnu Malpani: So, for us we are doing both in terms of commercial as well as Defense . So, you are seeing growth in the Aerospace sector because, like we had emphasized on a previous call, that we are in the process of

qualifications, and we anticipate that once the qualifications are completed, Aerospace will continue to grow at a much, much faster rate than the other verticals. So, this is a reason because of that. And we are focusing on a mix of both , Defense and commercial.

Pranav Shrimal: So, is there a way, if you could just give me a break -up from Aerospace and Defense or is that not possible?

Vishnu Malpani: No. So, see, today we look at business broadly in three sectoral terms, Energy , Aerospace and Defense and Oil & Gas . We intend to separate this into separate verticals only after we cross the threshold of about Rs. 75 crores to about Rs. 80 crores in every sector. Until then, we look at it at a blended level because it does not make sense to look at a vertical at a lower number and then call it a separate vertical. So, as of now, we look at it blended only.

Pranav Shrimal: And just one last question. Do we have any plans to open up subsidiaries in Europe or a manufacturing hub in Europe? Would that be feasible in the long -term for us considering it will be a longer transportation time, better cost?

Vishnu Malpani: Yes. So, see, we are in the process, so we get a lot of opportunities that come to us, right? So, as of now, all our manufacturing units are based out of India and Hyderabad. And two recent acquisitions have happened in Vizag, in Chennai. So, as of now, we do not have an active plan, we are not. But we are hopeful, any assets that come and that are interesting, we might be -- we are open to --

Rakesh Chopdar: Yes. What I can add to Vishnu is, like as our customer base is spread across the global area , so what happens sometimes, as you know that we are in the critical components, right , and the entry

barriers are very, very high. And it takes a lot of time to qualify both from our side as well as the customer side. So, what happens is, if one qualification is done with one supplier, it's not easy to switch to someone else. So, they would not continue that long. However, there are some opportunities which keep on coming to us from our customers. Like one of the OEM will tell us, hey, are you interested to buy this company , he's our qualified supplier in Europe or maybe South Africa or maybe America ? They keep telling us, can you take over this company so that we do not have to redo the qualification. So, these opportunities keep on coming to us, right? This comes from our customers.

Pranav Shrimal: But it's not feasible at the moment? Or is it not something which will --

Rakesh Chopdar: No, we keep on exploring. We are open to it and we are keen to explore that. It's an ongoing thing.

Vishnu Malpani: So, we evaluate it like we evaluate any other opportunity that comes to us, like the ones that we did in India. So, we are in the process of evaluating assets that come to us. And then whenever we strike the right opportunity, I think location should not be a barrier for us.

Rakesh Chopdar: Yes, that does not matter for us.

Moderator: Thank you. The next question is from the line of Kamlesh Jain from Lotus Asset Managers. Please go ahead.

Kamlesh Jain: And congrats on very strong set of numbers. So, just one question on the part of your comments, which you have made in the presentation, where you highlighted that our other expenses have increased primarily because of the higher freight rates because of the Red Sea disruption. So, I believe our metal is majorly sold on the basis of ex -plant. So, does really the freight part come into play because ou r business model is primarily on the ex -plant basis?

Ronak Jajoo: Yes. Hi. This is on the account of , we have a job work which are a special process for which we have to send our part. And in aero, there are a lot of processes for which we have to send for the coating and all those things. Therefore, the logistic s cost h

as increased. On the account of that, we have acquired a company, VTC, where we started qualifying for those particular process es. A nd going forward, we see that this cost will normalize again.

Kamlesh Jain: And secondly, on our new facility, like what particular like construction rate we have reached at that particular location? What is the schedule for commissioning of that particular facility?

Vishnu Malpani: So, we are on track. Mr. Chopdar also mentioned during his minutes that we are on track there and you would see that the revenue in FY '26 will also be contributed through the new facility. We are on target and at least we will be ahead by a couple of months in terms of what our target date was. So, we are at point there. In FY '26, you will see incremental revenue of that financial year coming out of the new facility.

Kamlesh Jain: And for FY '25, we continue to maintain that we will grow at 25% odd ?

Vishnu Malpani: Yes, we are maintaining our guidance, and we are very confident about a 25% to 30% range.
Kamlesh Jain: And lastly, like it's more of a bookkeeping. On the margin side, like since our listing, the margins have come off from a level of 37% odd to 33.5%. So, where do we see our margins going forward?
Vishnu Malpani: So, our range of EBITDA margins has been always consistent in the range of 33% to 35%, right? Now, because of the product mix that changes sometimes at a quarterly level based on customer priorities, etc., you will see that it moved up by 100 basis points to 150 basis points and that's why we talked about the range. And this is sustainable because for us, this is a part of a long -term contract and the prices, and everything has been secured and agreed. So, EBITDA margins for us will be sustained at this level for a longer period of time.
Ronak Jajoo: And just to add to this particular point, in this quarter, we had a FOREX loss of Rs. 50 lakhs because we had 80% export sales, and we have to restate our receivables and net debt. So, that is on account of that.
Moderator: Thank you. The next question is from the line of Jatin from Sahasrar Capital. Please go ahead.
Jatin: Hi. Sir, so my first question is on the lines, a large OEM delayed the delivery of their engines to one of the system integrators in India. Will this affect us in any way?
Vishnu Malpani : Sorry, you are not very audible. Can you speak again, please?
Jatin: So, one of the large OEMs delayed the delivery of their engines to the system integrators in India for jet fighters. Will this affect us in any way?
Rakesh Chopdar: No. I mean, is this question related to the order what we have got from GTRE or DRDO?
Jatin: Not exactly, sir, not pertaining to that.
Rakesh Chopdar: No, nothing to do with us.
Jatin: Okay. And the second question was on the lines of capabilities. The kind of engine we are supposed to make with the DRDO, are they in line or at comparable the ones which will be used in, let us say, Tejas or AMCA or TEDBF in the future?
Rakesh Chopdar: No, they all are different segments. Every engine has thrust, and the design of these engines are basis what application is. So, it could be confidential for both GTRE/DRDO and us to name the programs, because we do not want to name the programs. We need the data to run the programs, right? So, this is what we do. This will be used in various platforms.
Jatin: Okay. So, I guess, the platforms also would not be named ?

Rakesh Chopdar: No.
Moderator: Thank you. The next question is from the line of Aman Soni from Nvest Analytics Advisory LLP. Please go ahead.
Aman Soni: Congrats for the good set of numbers. My question is, is there any update on delivery timeline for the first batch of fully integrated ATGG engines? This was initially scheduled to commence in e

arly calendar year 2026. And what is the size of the opportunity in this?
Vishnu Malpani: So, in terms of the timeline, we are looking at FY '26 for delivering the first set of engines, right? So, that is correct. So , we cannot share when exactly we will be doing it, but yes, it is towards the first half of FY '26 is what we are looking at, right? And beyond that, we would not be able to share a lot of information. And the other thing to look at it is, you should think of it as an opportunity for us to move into a complete end -to-end engine manufacturing from , say, component manu facturing. So, you should be able to assess the opportunity size when it comes to propulsion industry, etc. So, this is our first step, and we are obviously very excited about it. The opportunity is massive. I would not be able to comment on the size of the same contract for confidentiality purposes . But then logically, you would understand that this is a large, massive opportunity for us.
Aman Soni: My second question is, given that the company previously imported 50% to 55% of its raw material and has aimed to reduce this to 40% in Financial Year '2 4, could you provide any update on the current status of the company's import content?
Vishnu Malpani: Sorry, can you repeat that question again, please?
Aman Soni: The company previously imported 50% to 55% of its raw material. What is the current status of the raw material imported?
Vishnu Malpani: Okay. So, you are asking about the import of raw material?
Aman Soni: Yes, sir.
Vishnu Malpani: Yes. So, import of raw material. So, this was as a part of our efforts towards optimizing our working capital numbers. So, we wanted to work on our cash -to-cash conversion cycle and to improve our set of operations. We were looking at indigenizing some of the raw material grades to India. We have been able to successfully indigenize two or three raw material grades with two companies. One of them is Sunflag and the other one is Star Wire. So, you will see that gradually our import percentage of raw materials will come down. This will not just have impacts on this, but we will have better control over our supply chain. We will be able to optimize our working capital cycle also because of the sailing time, the payment terms, etc., also become much more in control with us than they are today.

Moderator: Thank you. The next question is from the line of Bala Murali Krishna from Oman Investment Advisors. Please go ahead.
Bala Murali Krishna: Yes. Regarding the recent order wins from the Rolls -Royce to Siemens Energy and GTRE, so I think GTRE, you told about the supply of engines timeline, but what about the remaining orders when already we started supplying the components to the customer or when we can expect the supply of the components to the customer? Any timeline on these orders?
Rakesh Chopdar: Yes. So, these are all rolling orders. When we sign a contract, that is effective from the day we sign, right? If parts, which we have already qualified, there are two ways of signing a contract. Either you get qualified and sign a contract or you take a contract a nd qualify the parts. So, few in the aviation and Defense contract being Rolls -Royce being very prestigious, right? And the components are very, very critical, right? So, those qualifications will be done by calendar year '25 and t he revenue you can see from FY '26 for these components.
And on the Energy part, these are 50% to 60% already qualified. And new families keep on getting added as we increase the capacity. So, it's a mix, it's always a mix of qualified and non -qualified parts and thing. So, the day you sign a contract, it is effective from the same date. I need to define a long list of items if I want to answer all your questions in detail , it's a very long answer for this.
Bala Murali Krishna: And reg

arding the component manufacturing to the entire jet engine assembly, could you please elaborate a little bit on this? So, earlier what was the bill of material of the jet engine? And what would the bill of material from our side now for the complete jet engine assembly?
Rakesh Chopdar: We will be the first engine company to do this. I do not think so , as far as my knowledge is there, I am not confirming what I am saying at the moment, is what I feel is that we will be the first in the country to do this , complete assembly of the jet engine. I do not think any private players have done it before. I am not sure on what I am saying just now, but this is what I feel. So, this is very exciting , as I mentioned in my call, in my statement . This is very, very exciting for us. We are very super excited to make this engine.
Bala Murali Krishna: And one more thing regarding this commercial aircraft in your opening remarks, is that something that we are also initiating some engine assembly for that commercial aircraft also?
Rakesh Chopdar: No, no, sorry, sorry. For except DRDO, GTRE, we are not making any complete engine. We are making a lot of rotating components. And if you see an engine, what you feel is rotating components as you can see, which arise when you enter the aircraft what rotates. So, these components are very critical. So, we make a lot of components for the civil aircraft engines and the Defense military aircraft engines.
Moderator: Thank you. The next question is from the line of Kamlesh Jain from Lotus Asset Managers. Please go ahead.

Kamlesh Jain: Yes. Rakesh ji, just one particular thing , like over the years we have grown at a massive pace, but if we just want to compare with like , say, one of the best, which is Howmet. So, how identical we are in terms of a business model with Howmet? How differently things we are doing as compared to this particular BO? So, just wanted to understand business model because in case of Howmet, so they are like say across the value chain right from the forging part and in terms of like conceptualizing th e design thing, the OEM as well. So, how are we placed in terms of the value chain as compared to the Howmet?
Rakesh Chopdar: Kamlesh Ji, Howmet's revenue you are aware how much revenue they do. And Howmet is one company working similar to Azad, I mean , that's one company. But one day Howmet was also in the same position where Azad is today, I am sure. And the vision what we have , and as Vishnu mentioned, we compete the world, not India. We compete China, we compete Europe, Korea, America. So , we have started the journey, and you can imagine , Howmet also was one day where Azad is today . And definitely there's a huge, massive scope for Azad to reach that height.
Kamlesh Jain: What capabilities we are building in like , say, what investments or what efforts are we putting in right from the like say, forging or like workflow, shop floor , people , and all th e designing part? So, if you can throw some light on that particular aspect.
Rakesh Chopdar: Every aspect has to grow. And when you see Kamlesh ji, how much revenues, it's all in billions I think so, right?
Kamlesh Jain: Yes.
Rakesh Chopdar: Right. So, definitely there is massive capacity to be in the billions game, let it be forging, let it be manpower, let it be machines, let it be flooring, right? So, this has all been accounted and that's the reason we are first moving to 10x size, right? So, we have this in mind how massive growth we are sitting on the part. The best part is , we are in the same league. We are too small before our

competitors who are ages, ages, decades, decades old companies . And everyone passed through where Azad is today, right? So, the massive scope is there and that's why the confidence what we are taking and moving ahead is this is all of what we are talking now.

Vishnu Malpani: And we are also reporting the business similarly. And while we are optically able to only see increase in capacity, you will see that we are also building organizational function, hiring across the organization at key levels to sort of manage or address th e growth that we are seeing in the coming years. So, we are very well -positioned. We are looking at it from all aspects. We gave a glimpse of it in our speeches as well .

Kamlesh Jain: And lastly, like how much CAPEX we are looking over next three, five years in total?

Vishnu Malpani: So, I will take you back to our discussion of last quarter where we had charted out a plan for FY '27. And for FY '27 we had raised a primary of Rs. 240 crores and this was to be deployed towards infrastructure and capacity. And now, we are planning how do we go beyond FY '27 ? And given

the increase in contracts, given in the customer wins, given in our capability expansion, we are now doing the math of how you go from FY '27 and beyond, and what is the necessary CAPEX that is required.

Rakesh Chopdar: So, I think Kamlesh ji, as you are mentioning Howmet, so they are in billions and we are in millions. So , definitely there is a story from million to billion.

Kamlesh Jain: But if you can pinpoint some CAPEX as well, that would be very helpful. So, that would be visible in your CAPEX as well. So, that was the whole purpose behind that.

Vishnu Malpani: Sure. And if you have any more specific questions, you can always write to us via ICICI Securities and we will be more than happy to sort of address that question in case you want more information on it.

Moderator: Thank you. The next question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: Yes. Hi. Thanks for taking my question. Just a couple of them. One is related to us foraying into now complete engine. Now, in India, we are all aware that the engine ecosystem particularly is developing pretty fast. And particularly in different space there are various tie -ups on the anvil , and they include some of the OEMs with which we already have contracts , we are already supplying to them. So, if you could just highlight some of the opportunities that we see in Indian Defense space in part icular, that would be very helpful.

Rakesh Chopdar: Good question, Amit ji. See, actually, if you notice these engines now, it is under development stage within India, right? But India is still using these engines , so that means India is importing these engines as finished and setting up using it in various platforms. Now, once these engines get proven, and first thing is import gets stopped, right? And this becomes an imposed substitute that these engines will no mor e be imported, and it will be made in India and used in India. However, for Azad, that's one plus point. But if you notice, Azad is a global player. Azad plays in a global platform. These engine requirements, capabilities once built, I am definitely sure with our existing customers, like all these giants, all these OEMs, Azad is already a prominent player in this field. We just go and need to , one day we just need to inform them, hey, guys, we already have this engine capability also being added to the portfolio of Azad.

That opens a different ballgame, right? It's not just for India , this capability is going to serve for the global market. Maybe where India is importing at the moment from that OEM, we may go and supply back to those OEMs. That really makes a very different story, right? Just like if you can see the Nuclear boom which is going to come, we are the only company EDF approved. EDF is a French Government organization which controls the major Nuclear plants. And all this big boom is coming up in Nuclear . So, we are in a good position in almost all these niche areas.

Vishnu Malpani: And I would say, Amit ji, I think it's important to look at Azad as not a player that is only focusing on the Defense play. We are an organization that is very well -positioned across all sectors , whether you look at power, Nuclear , Aerospace , Defense , Oil & Gas . Today, we have opportunities in every sector. And particularly, each of these sectors, we are looking at massive opportunities. You look at how our order book has been increasing quarter -on-quarter. This is based on the opportunities that we are looking at. And we are also currently working on some nation pride contracts, which we will not be able to share a lot of information on. But then, I would say it's exciting to be at this point for Azad.

Rakesh Chopdar: Moreover, I would like to add one more thing, Amit ji, it's like, Azad plays not only just in Defense , not only just in aviation, not only just in Energy , not only just in Oil & Gas , we are there everywhere, wherever there is niche. Now all these four sectors in the niche areas, Azad is dominant and building capabilities to just increase the wallet share now. So, it's a beautiful story from all the core segments. I hope we answered y our questions.

Amit Dixit: No, great to hear that. One more question that I have is, and that is on essentially Oil & Gas . Now, while Energy , as we understand it, power sector and Aerospace have been discultivated quite a bit. But your recent wins, if I look at it, they have been on Oil & Gas , at least the recent five, six orders. So, just if you could give a little bit of more color on this that where do we see this particular segment evolving? Because it has just started for us, and given the TAM, it can have significan t opportunities. So , just if you could highlight where we are focused here, which area we are looking at, because that can be a very interesting opportunity.

Rakesh Chopdar: Definitely. I think, as Vishnu mentioned, just adding a CNC machine, we regard as a precision manufacturing. That's fine , precision is there everywhere. But when you look at the parts, it's like how beautifully you utilize the technology available and produce a part consistently at a cost, maintaining your margins, maintaining your deliveries with the setup, with the investmen ts, what we do. It's very important to make a match and mix of these kind of things. And sustaining is a big question . Everybody asks, is it sustainable? So, this is where Azad specializes in, in sustaining things.

Now, if you look at the Oil & Gas sector, there are many, many areas in Oil & Gas sector. But where Azad plays is also very important in Class A. When I say Class A, these parts go and operate 32,000 feet below the ground, right? And we can imagine these parts being so critically drilling, going deep in the well, and something goes wro ng in those parts. So, a lot of engineering and processes are required to make these parts right every time, consistently. Similarly, talk about 32,000 feet above the ground o n the aviation, 32,000 feet below the ground, in Oil & Gas , and of course in Nuclear . So, we can just see that where Azad is a key player , it's not only a component supplier, Azad is a solution provider.

Vishnu Malpani: And Amit ji, just to add to what Mr. Chopdar said, these parts are extremely niche part s. The contracts that we signed on, our customers were making this in -house, and we will be the most

critical player supplying them. As a part of our realization, you will see that this year we would start contributing revenue from Oil & Gas as well. Last financial year, we contributed roughly about Rs. 3.5 crores. This financial year, you should be able to see that some of these parts that we have qualified, we would be moving that into production very, very quickly.

Amit Dixi

t: Thank you. That's a very comprehensive answer. Thank you, and all the best.

Moderator: Thank you. That was the last question. I would now like to hand the conference over to Mr. Amit for the closing remarks.

Amit Dixit: Yes. Hi. Thanks, everyone, for attending this call . And thanks to the management for the fruitful discussion that we had today. I would now like to hand over the call to Mr. Chopdar for any closing remarks. Over to you, sir.

Rakesh Chopdar: That's all. Thank you so much, Amit, for hosting this, and thanks a lot SGA team and thanks to all of everyone who has joined this call and took time to talk to us, listen to us. We are very happy and delighted and we will keep on here and be excited. So, I hope that we continue this good work. Thank you so much.

Vishnu Malpani: And please, remember, I think, Azad is just getting started.

Rakesh Chopdar: Yes, it just started.

Vishnu Malpani: Thank you.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us . And you may now disconnect your lines. Thank you.

Call: Nov 2024

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i Bandra-Kurla Complex, Bandra (E)
Mumbai, Maharashtra - 400 051
Dear Sir/Ma'am,
subject : Transcript of Analyst /Investor Earnings conference call.
Reference : ISIN - INE02I|01035; Scrip td-S44O6L; Scrip Code-AZAD
Pursuant to Regulation 30[2) of SEBI [Listing Obligations and Disclosure Requirements)
Regulations,20tS, and in continuation to our intimation dated November 06, ZOZ4 we hereby
inform you that the Company has hosted Earnings Conference call for analysts and investors on
Tuesday, November L2,2024, at L2:00 P.M. IST which was concluded on Tuesday, November l-2,
2024,at 01:00 P.M. IST to discuss on the financials results of the Companyfor the Znd quarter ended
September 30,2024.
We are enclosing herewith the Transcript of Analyst/lnvestor Earnings Conference call.
Please take the information on record.
Thanking you,
Yours truly,
For Azad Engineering Limited
Ful Kumar Gautam
(Company Secretary & Compliance Officer)
Membership No.: A49550November L9,2024
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“Azad Engineering Limited Q2 FY25 Earnings
Conference Call ”

November 12, 202 4

E&OE: This transcript is edited for factual errors. In case of discrepancy, the
audio recordings uploaded on the stock exchange on November 12, 2024, will
prevail.

MANAGEMENT : MR. RAKESH CHOPDAR – CHAIRMAN & CEO, AZAD ENGINEERING LIMITED
MR. VISHNU MALPANI – WHOLE -TIME DIRECTOR , AZAD ENGINEERING LIMITED
MR. RONAK JAJOO – CHIEF FINANCIAL OFFICER , AZAD ENGINEERING LIMITED

MODERATORS : MR. AMIT DIXIT – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to Azad Engineering Q2 FY25 Conference Call hosted by ICICI Securities.
This conference call may contain forward -looking statement s about the Company which are based on the belief, opinion and expectation of the Company as on date of this call. Th ese statement s are not guarantees of future performance and involve risk s and uncertainties that are difficult to predict.
As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Amit Dixit from ICICI Securities . Thank you and over to you, sir.
Amit Dixit : Thank you. Good afternoon, everyone. On behalf of ICICI Securit ies, I welcome all the participants for today's call.
At the outset, I would like to thank the Management for giving us an opportunity to host this Call.
From the Management , today we have with us , Mr. Rakesh Chop dar – Chairman and CEO ; Mr. Vishnu Malpani – Whole -Time Director and Mr. Rona k Jajoo – Chief Financial Officer.
We will have brief "Opening Remarks " from the Management post which we will open the floor for an interactive Q&A .
Without much ado, I would hand over the call to Mr. Cho pdar to take this forward. Over to you, sir.
Rakesh Chopdar : Thank you so much. Thanks a lot. Good afternoon and Season Greetings to everyone. Welcome and thanks for joining today on Q2 Earnings Call. On this call, we are joined by our Mr. Vishnu Malpani – Whole -Time Director and our CFO, Mr. Rona k Jajoo and SGA team, our Investor Relations Advisors.
The "Results and Presentations " are uploaded on the Stock Exchange and the Company website. I hope everybody had a chance to look at it.

We have delivered a strong performance in this quarter with our revenues growing significantly to Rs. 111 crores demonstrated robust growth on a year-on-year b asis, showcasing a growth of 35%. Adjusted EBITDA for this quarter stands at Rs. 41 crores.
Further, the PAT has grown from Rs. 19 .5 crores in Q2 FY 24 to Rs. 21 crores in Q2 FY 25, showcasing a growth of 8%. We have come a long way in our journey from doing business of Rs. 100 crores per annum to Rs. 100 crores per quarter, demonstrating an exponential growth in the last few years. This progression is a result of our commitment to excellence and our persistence and dedication. We spent the initial few years concentrating on getting our products qualifi ed and approved and today we are in this unprec edented growth phase. The growth momentum has just started and we are confident that we will be able to capture a larger pie of our customers wallet share by leveraging our capabilities to better serve our customers' needs with our new and existing facilities in place.
Allow me to spend some minutes on the new orders that we have won during this quarter :
We are honored to share that we have signed a M oU with Baker Hughes, Kingdom of Saudi Arabia in the presence of His Royal Highness Prince Abdulaziz bin Salman, Al Saud, Minister of Energy and distinguished officials and committee members of local content forum at Riyadh, Saudi Arabia. This arrangement, amongst other things, enables us to set up a facility to manufacturing supply of precision components , sub-assemblies , assemblies to cater requirements within the Kingdom of Saudi Arabia.
Another remarkable achievement, we bagged an order win from Mitsubishi Heavy Industries Japan. This is approximately Rs. 7 00 crores order which will be executed over 5 years. This win is a testament of Azad's grit an

d vision as we are the only critical suppliers in India for airfoils .
This demonstrates Mitsubishi's continuous confidence in us as an efficient strategic supplier and carry ing forward the long outstanding partnership within them, which was started in the way back 2012. This order is a way for them to block our capacities in the dedicated upcoming manufacturing plant that we are building for them in our new upcoming facility to foundation stone laid in the year 2022.
Additionally, we secured $16 million order from Honeywell to manufacturing supply complex components for the aerospace and defense requirements. Another critical contract with Siemens Energy to manufacture supply complex , rotating components for the energy sector for the tenure of 5 years. These things not only demonstrate our strategic partnership we have built with the OEMs , but also reflect our growth journey. Way back , I recollect , I started Azad with just one

machine and today , we have become a global leader in providing high precision engineered components and solutions for the largest OEMs across energy, defense, oil, and gas sectors.

I am ve ry happy to share that just now , Azad Engineering has received a signed supply agreement with Arabelle Solution France, a French Company for the supply of criti cal and highly complex rotating stationary components to meet the global demand in the nuclear power generation industry. The value of the supply agreement for its term is valued approximately 40 million, that is INR 340 crores. This supply agreement had initiated a strategic collaborat ion with Arabelle Solutions France. With the above wins, our order book stands at Rs. 4,200 crores as on today, adding this Rs. 340 somewhere around Rs. 4,500 crores . We are confident that it will continue to increase significantly as we have a strong pipeline of contracts with our key customers.

To update you on our CAPEX plan for the new upcoming plan t:

The civil work is progressing as per the plan in line with the order book and the deliveries . We have placed orders for the machines and other equipment . Everything is on track to start commissioning at our factory beginning Q1 of FY 26. On the expansion front, as you all are aware, we are increasing our capacity to 10 x and as an update , we are well on track . And we will start generating revenues from our new plant from FY26. Further, we continue to provide a guidance of 25 %-30% for FY25 with improvement in our margins due to operating leverage, process efficiency along with backward integration.

Now , I hand over the call to Mr. Vishnu Malpani - our Whole Time Director to take this conversation further.

Vishnu Malpani : Thank you, Mr. Chopd ar and Season Greetings to everyone.

Good afternoon and welcome to our Earnings Call for Azad Engineering . Azad s tory has always been about breaking new grounds and that journey continues . From being one of the first Indian companies to be able to manufacture complex and critical components such as 3D airfoils to now building a plant with 10 x more capacity for these life and mission critical components , our progress has nothing short of being extraordinary. Today , we are a trusted partner to some of the world's biggest OEM, whether i t is the energy sector, aerospace and defense sector, or the oil and gas sector and our commitment to innovation remains stronger than ever. We have worked very hard in our business to diversify, and it started to pay off .

Our energy business, which contributed to about 78 %-79% of our revenue in the first half of FY25, continues to grow at a very healthy rate with major orders from companies such as Mitsubishi, G E and Siemen s, we are on a path for increasing our wallet share in this segment from the current 1 %-1.5% to about 2 %-5%. Similarly, with Baker Hughes, we are strengthening our position i

n the oil and gas sector with tremendous potential and opportunities of setting up a manufacturing plant outside of India as well.

Our aerospace and defense business has more than doubled in the last year, now accounting for 16%-17% of our revenue. Key orders from clients such as Rolls Royce , GTRE, DRDO, Honeywell among others will drive further growth in this sector. And I think it is important to note that we are not just making life critical and mission critical components , we are also moving to full assembly. We are on our verge to be manufacturing an engine end to end for GTR E moving up the value chain in manufacturing as well. B ut this is just the beginning. Our new facility will unlock even more growth, allowing us to serve our current customers better while opening doors to near opportunities and markets. Two smart acquisitions that Mr. Chop dar mentioned of Leo Primecomp and VTC Surface Technologies, we are building deeper capabilities and creating new avenues for growth.

We are not here to settle for the status quo. Our goal is very clear to grow our addressable m arket from $28 billion to approach much higher number and to increase our wallet share from 1 %-2% to 5%. We are on our part to become something far greater than we are today. Together , we are building , not just a Company , we are building the future.

I would li ke to now hand over to Mr. Ronak Jajoo - our Chief Financial Officer, to discuss the key highlights on our financials. Thank you.

Ronak Jajoo : Thank you, Vishnu.

Let me talk about our “Financial Highlight ” for Quarter 2 FY25:

Revenue from operations came at around Rs. 111 crores in Quarter 2 FY25. The blended average growth rate in H1 FY25 is 32.17% and we compared it to H1 FY24. The blended average growth rate for Quarter 2 FY25 is 34.5% compared to Quarter 2 FY24. The blended average growth rate for Quarter 2 FY25 is 13.21 compared to quarter 1 FY 25. The other income mainly consist s of interest income and foreign c urrency fluctuation during the H1 FY 25. In H1 FY24, it was hig her on account of sell of our two sub sidiaries and land , which has resulted into Rs. 9.8 crores of other income during that period. EBITDA improved due to operating leverage and the process improvement and stand at Rs. 41 crores in Quarter 2 FY25 .

The EBITDA margin has increased by 200 b ps during the last quarter to this quarter. This improvement is largely driven by operating leverage in employee cost , tools expenses and job work expenses. The finance costs mainly represent the interest toward the working capital and term loan in our books, as there are no Piramal CCD which was converted into the equity during the IPO process.

The adjusted PBT for Quarter 2 FY25 stood at Rs. 31.4 crores and there is a n improvement of 273 b ps which is in line with our EBITDA margin improvement as explained earlier. Profit after tax stood at Rs. 21 crore with 19% of healthy PAT margins. Our net debt position as on 30th

September is Rs. 112 crore s. Working capital is at peak in this particular quarter and they will be tapered down as major qualifications has been completed and we are able to indigenize the raw material with one of the miller s as I explained in the earlier call s. Now , I would like to open the floor for questions and answers. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Balamurali Krishna from Oman Investment Advisors. Please go ahead.

Balamurali Krishna : My question is regarding the new facilities which are coming on stream , so this B ollaram facility you told in F Y26, in which quarter we can expect that to be on stream and by when , we can expect to reach the optimum level ? Second is on Sangareddy new facility

also , what is the plan for that one?

Rakesh Chopdar : The first facility, what we are building at Tuniki Bollaram that is going in a phase wise ma nner because it is a very large facility, right and we are setting out dedicated facilities for every customer. So, what we have inten t to do is the facility for G E Steam power system is SPS , GE Vernova that is the first facility which is going to come up . It will be ready in the calendar year of 25 , in the first quarter of , I think by January, February, the facility should be done and from March that will be operation al and then similarly every 2-3 months , we wi ll be having one facility for Mitsubishi machine and this is the progressive it cannot be done all at a time right. So, do you understand what I am trying to say Mr. Ba lakrishna .

Balamurali Krishna : Regarding the Sangareddy facility ?

Rakesh Chopdar : We are going to finish this first an d then take up that facility . So, we are going phase wise. So, this will be a continued process. So, first it will come GE Steam Power system then it will come for Mitsubishi and all the customers are lined up. I can't name them because we have not disclosed them yet, but every customer has their own facility in our own factory. So, it is a factory within the factories. End of th at you can expect from FY26, the incremental value, the incremental sales wil l be added up from the new facility in a nutshell, if I want to answer you.

Balamurali Krishna : And regarding this order wins that you are listed, so we have been a lot of orders, your amount, we know that value so almost over 5 years to 7 -8 origin. So, from FY26 onwards we can expect the execution of all these orders ?

Rakesh Chopdar : Yes, that is the plan, Mr. Balakrishna. So, FY26 onwards, you will see an incremental revenue coming up from the new facility, which we are adding as the capacity what we are building is 10x size with what existing it is.

Balamurali Krishna : So, then we can expect a good means jump in the numbers from FY26 as co mpared to the existing guidance?

Rakesh Chopdar : Yes, it is interesting. Hopefully , everything goes well as we have planned and till now, whatever planned everything is on track.

Balamurali Krishna : And lastly , on this Baker Hughes agreement, so you ar e going to set up a plant in Saudi Arabia, right?

Rakesh Chopdar : Yes, we already signed the MoU . We are now planning to set up a shop in Saudi Arabia.

Balamurali Krishna : But my concern is that like in Gulf or Saudi Arabia , so the cost of production would be much higher as compared to India, s o it can impact the margins slightly ?

Rakesh Chopdar : No, nothing is going to happen, and this requirement is basically for Saudi Arabia in Saudi Arabia, right. And the pricing structure is not as India structure, correct. So, what we see is the technology, everything is ours, right? So, we have our own way of manufacturing. It doesn't matter if it is in Saudi Arabia, it is in India, or it is in US or Europe . For us, it doesn't matter .

Balamurali Krishna : Lastly, one small suggestion, sir . So, in order wins, in few orders, we are not getting the value of order. So, it would be helpful ?
Rakesh Chopdar : We can't disclose with Mr. Balakrishna. We can't disclose . What we can disclose , we are disclosing . We just now uploaded it on our website. We got a contract from Arabelle French Company . We got a large contract of Rs. 340 crores .
Moderator : Thank you. The next question is from the line of Jeevan Pa twa from Sahasrar Capital. Please go ahead.
Jeevan Patwa : Just one question on this. So, we are now saying we have won the contract with Arabelle Solution, which is for nuclear power. So, are we exploring any domestic opportunities in the same sector and the area?
Rakesh Chopdar : This contract , Arabelle S olution , is a complet

e EDF. I hope you have h eard about EDF ; it is a part of EDF. It is a French government Company and EDF and Arabelle controls the major nuclear power across the world. So, it is a pride moment for us to have this contract for nuclear power. It is very stringent and to getting approvals from EDF is very stringent, right. So, this is where we stand for and this is just the beginning of this last contract, and I can tell you the boom which is coming up in the power generation is quite crazy. Coming to the second question of yours on the domestic , look, we have only have BHEL what you will come to know very soon because we are in talks with the very senior management of BHEL . There are many parts which BHEL still imports, right. So, we got into collaboration with them and what Azad is manufacturing, exporting and what there are some components which BHEL is importing. So,

we had a discussion with them and hopefully we could track something which is coming up big from BHEL as well.
Jeevan Patwa : And secondly on the Saudi, so we are going to set up manufacturing facility in Saudi. So, any color on that, how big it would be, what will be the investment and what would be the potential?
Rakesh Chopdar : I can't give you much details Jeevan , but I can tell you one thing , I can give you an idea of labor that this requirement is nothing to do with what with the existing business what we are doing with Baker Hughes . So, this is for the Kingdom within the Kingdom . And they do not have many manufacturing facilities. It is not just see what Azad plays a role. Aza d plays a role where it is not just technology where you can buy, you have money, you buy technology, and you start playing in parts . It is not that , we value add, we value add in the process engineering and all. That is the skill set what Azad has got . Its very rare . So, this is where Baker Hughes selected us to set up a facility where we can give provide solutions to them. So, whatever business will come in, it is for Saudi , within the Saudi. So, this is quite large, long as I can't disclose any numbers right now, but it is quite significant.
Moderator : Thank you. The next question is from the line of Kamlesh Jain from Lotus Asset managers. Please go ahead.
Kamlesh Jain : Sir, just one question on the part that we have a very ambitious target of around 10 x capacity growth. So, what would be our CAPEX spread over the next like say , 3-4 or 4 -5 years?
Rakesh Chopdar : CAPEX again depends on the business cases, right . As Vishnu mentioned like we are going in component manufacturing. That is of course that is on track when we are going in assemblies, we are going in sub -assemblies. So, every business case has its own business case of investments. So, it is a very detailed discussion, and you ar e most welcome to visit Azad, so that we can showcase you all these things, what exactly we are talking about, it is very difficult to justify one particular investme nt and one particular customer. So, it is very diversified, right . Azad is playing multiple roles in multiple verticals . So, every vertical has its own set of investments, so it is very well planned, very detail planned.
Kamlesh Jain : You have a balance of roughly around Rs. 200 crore s CAPEX in this particular year. So, going forward like over next 3 -4 years like how the CAPEX would be there because you have stated your?
Rakesh Chopdar : That is what I was trying to say , Mr. Kamlesh that we a re doing phase wise, right, as Mr. Balakrishna also asked the same question, all the CAPEX is not going to get consumed ones, it is phase wise like it is not small to pretty workable, it is 10x. A nd every customer has his large controller which should give Rs. 800 crores . So, we are investing ahead of the curve to balance their requirements , same thing we signed

big contracts with Arabelle. This is for again large

contracts. So, these contracts are coming because we are building a capacity . So, hard part was

done already back , long back and that is how what Vishnu was mentioning, w e are increasing the wallet share within the customers from 1 % to 3% to 5% to 10%. That is the reason this is a very well laid out 10 x capacity. There is a plan behind this 10x capacity. So, I request your presence in Azad, then we can discuss more in detail. I can share you all the things because it is not just one customer , I would have g iven you one number.
Kamlesh Jain : And the last , on the debt side, like say our debt lend in this quarter has risen to roughly around Rs. 127 odd crores and I do appreciate that you had a CAPEX of roughly around Rs. 127 crore in this quarter and like sir, going forward as we expand and increase our CAPEX, s o what is the debt level for net debt to EBITDA we would be comfortable with?
Ronak Jajoo : Mr. Kamlesh , Ronak here. So, our net debt to EBITDA guidelines will be around 1.2 to 1.3. We always maintain that particular ratio and we are on that track.
Kamlesh Jain : So, that would remain in that particular range?
Ronak Jajoo : Yes.
Moderator : Thank you. The next question is from the line of Aditya Bhartia from Investec. Please go ahead.
Aditya Bhartia : Sir, my first question is also on the new large contracts that you have got from companies like Mitsubishi and Honeywell, now these have been our existing large customers ' and we have already been executing orders for them. So, just want to understand these new orders should be seen as something which is completely incremental to what we were already doing, or part of the existing business gets consummated in th e new order wins that we are speaking about, especially for Mitsubishi, given that is a fairly large order ?
Rakesh Chopdar : Yes, it is purely incremental of the wallet share increment , Aditya with existing business , what we are doing with every customer is we have limited capacity, right , the revenues what we are doing at the moment. We are going into 10 x, so there is a plan behind 10 x, why we are going 10x is because we know that these orders are on its way and as we are showing capacity , we are showing progress. They are r eleasing these orders , so this is an incremental which will be continuing . Like Vishnu mentioned , 1% to 3% to 5% to 10% wallet share , increment of wallet share from every customer. This is a classic example how wallet share is increasing.
Aditya Bhartia : And one should assume?
Rakesh Chopdar : We just now uploaded one more for Arabelle Solutions for nuclear power.
Aditya Bhartia : Right, the EDF one, correct.

Rakesh Chopdar : Yes.
Aditya Bhartia : And we should be assuming slower and gradual kind of a ramp up as capacity keeps becoming operational and fair to assume that revenues that we will be getting from some of these new contracts two years down the line will be higher than the first year, third year will be higher than second year. Is that how we should be building that?
Vishnu Malpani : Aditya, Vishnu here . So, just adding to the first question that you had asked, if you look at the way the Japanese tangentially works is they work on purchase orders and then that needs to be executed. But since the new capacity is coming up , every OEM is making efforts to sort of book our capacity for the next 4 -5 years , so that there is a clear clarity on how the ramp up is going to happen in terms of wallet share , so all the contracts that you see with our customers , with our existing customers and existing product lines are towards increasing our wallet share . So, that is how we are looking at it. And secondly, see today we are constrained by cap

acity, right , so when you see a ramp up, you will see , you should look at customers that we have been talking to that we are in production mode. So, those customers will constantly keep ramping up at a faster rate. The customers that are currently in developmental phase or qualification phase will slowly ramp up as is the nature of the industry because these are mission and life critical components.
Aditya Bhartia : But Vishnu, given that the Mitsubishi order that we spoke about is Rs. 700 crores for I think over a 5-year period , on an average it kind of works out to be Rs. 140 crores per year , let us say we build in a ramp up over there . By third year, we will be having Rs. 1 50-Rs. 170 crore s of possibly revenues coming from this o rder. That is a fairly substantial part of incremental growth that then we are speaking about, right and we are speaking about not one such order , but multiple such orders. Then should we think about growth possibly being faster than what we have been speaking until now ? Is it a p ossibility that with so much capacity coming on stream and with the kind of order wins that we have had instead of 25 %-30% growth, we can be at a faster growth trajectory ?
Vishnu Malpani : Definitely , Aditya, I think that is the most logical response to this question , but then for the market, we are still guiding 25 %-30%. But internally we are obviously changing higher numbers as you would know because these contracts, like you rightly said, come in with specific delivery schedules and specific timelines. So, we are ramping up quickly, right , so if you look at our addition in our capacity, it is not 25 %-30%, it is higher than 25 %-30% per annum. So, we are obviously internally targeting higher number b y guiding the market at 25 %-30%. That is how I

would like to answer it.
Aditya Bhartia : And even for FY25, this 25 %-30% guidance looks to be on the conservative side unless it is a
scenario that we are facing big capacity constraints until the time new capacity comes on stream ,
it is difficult to further expand because we are now already doing Rs. 100 odd crores per quarter

even if we assume, let us say , 3%-4% sequential growth every quarter for the next two quarters,
we are speaking about hitting the upper end of the guidance . And historically , we have done a
sharper sequential growth than that. So, is it that just we are just being conservative or are we
facing capacity constraints at this stage?
Vishnu Malpani : So, first point is there is definitely capacity constraint, right . So, in the current facilities that we
have, we are goin g to be busting our capacity very soon and that is why you see our endeavor,
or our a ttempt is to start productionizing the new facility as soon as possible. So, today, while
the 25 %-30% guidance like we said, we have hit Rs. 100 crore revenue per quarter , so we are
looking at delivering at the upper end of the guidance for sure . Trying to manage our capacity
internally , since the new plan comes up, I think the growth can be much higher. So, there is
definitely capacity constraint for the current year, but we are still managing with 25%-30% and
we should be at the upper end of the guidance.
Aditya Bhartia : And just last question from my side, obviously this capacity expansion that we are undertaking ,
there is the capacity that we have to set up in Saudi Arabia, any breakup of CAPEX that you can
provide at this stage , about how we should be thinking about the CAPEX numbers for next 2 or
3 years and how much CAPEX we would have already incurred in the FY25 in respect of the
new capacity that will be coming on stream?
Vishnu Malpani : Aditya, for this conversation, I woul d like to take you back to a couple years behind where we
were like say, Rs. 100 c rores per annum . So, we build capacity of 4 x and today we reached a

point where we reached Rs. 100 crores per quarter, right? So, we do have a plan of ramping up
in a pragmatic way until FY27-28 and we internally have also started planning our business
beyond F Y27-28 onwards to much higher number as well. So, the capacity planning, the CAPEX
planning is underway, and I think today , we do more the capacity addition that we need to do
till F Y27-28. We are working towards going from FY27-28 to say FY32. So, we are in the
process of doing the last around the CAPEX deployment , but in all likelihood , you understand
the asset turns that we h ave in our business . You understand the kind of potential that we are
looking at. It will be a fair assumption to look at that and make a good guess, but from our
perspective, I think it is going to take us maybe a couple more months to come out with more
concrete exact numbers for capital deployment .
Moderator : Thank you. The next question is from the line of Sanjay Shah from Pranishta . Please go ahead.
Sanjay Shah : Actually, most of the questions have been answered. So, I don't have any questions left. I do
want to take this opportunity since I am on the line to congratulate you, I don't think we have a
better exponent of manufacturing excellence in the country than you. So, all the best , but all my
questions have been answered .
Rakesh Chopdar : So, nice of you. Thankyou Mr Sanjay

Moderator : Thank you. The next question is from the line of Rajesh Vora from J ainmay Ventures. Please go
ahead.
Rajesh Vora : You mentioned in your opening remarks that first quarter of next financial year, you are going
to start the Phase 1 of the expansion. So, what percentage of 95,000 square meters of facility one
will be ready in first quarter?
Rakesh Chopdar : It doesn't come back like that, Mr . Rajesh, it doesn't go like that. It is every OEM has their own
requirements, right ? So, we can't compare that with space occupancy. We have to compare it
with the capacity what we are trying to add in that space. That could be ideal thing to explain to
you. And it is too technical to give you the number of machines and all that. So, you are also
most welcome to visit Aza d. So, I can give you more detailed presentation on this.
Rajesh Vora : No, I understand. I have already met you and visited your plant. Thank you so much for that.
What all of us are trying to understand, Mr. Rakesh ji, is that there is a 10x capacity expansion
being planned which is, t here is a soaring order book which is also very commend able. What
we are trying to get our arms around is what percentage of that is going to be ready out of that
10x is 1x going to be ready in first Quarter 2 6 when you say you are going to start, how do we
spoke that ?
Rakesh Chopdar : What guidance we are giving, Mr. Rajesh is the 25 %-30% guidance is to the market, and we
have our internal targets are different, correct . So, this is where we are trying to explain you that

the growth rate, what we are saying for FY25 and FY26 onwards, the incremental as you come nearer to FY25 and as we also see how progressive we can build these facilities asap that could be an ideal situation to give you exact quarter wise , how it is going to come and increment al things.

Rajesh Vora : And wallet share target that you have set out for your Company , 5% from each customer on an average basis, will that be achieved once you have the entire 10x capacity under your belt?

Rakesh Chopdar : Every OEM has a different number, so when we say 1% to 3% to 5% to 10% is an average number .

Rajesh Vora : So, that target will be achieved once we have the 10x capacity ?

Rakesh Chopdar : Yes, 10x is now. And then there is, as earlier also another gentleman asked on the first question, Mr. Balakrishna also asked that Phase 1 is 95 ,000 square meters , then we have another 70,000 square meters facili

ty ready , so if we finish this first, we will move to that. So, this 10 x may become 12x, 1 4x, 15x hopefully. The base is the requirements, where the wallet share as it increases, we are ready.

Moderator : Thank you. The next question is from the line of Partha from Eastern Finan cier Limited. Please go ahead.

Partha : I have a couple of questions. The first one is do you have further scope of margin improvement from here onwards ?

Rakesh Chopdar : Of course , we all die for that, right. So, we will not leave anything which is not, we wi ll not let it go either way. Either it will go to the customer or it will come to us , either of it.

Partha : Next is, on working capital, I missed whether our working capital days ha ve been straight ha ve been there conserved challenges on procurement and raw materials?

Rakesh Chopdar : Yes, so this is the biggest problem of procurement of them because everything is we have to import. And now what we are doing is while we try to place an order for the raw material , all these are always we have to import major of it. We have to pay in advance and then the manufacture , then the shipping time , then it comes in as inventory , then we start manufacturing, it takes quite a time to turn out that. So, we are now , we are successful in developing few Indian mills here and these Indian m ills has just start ed right now. And if you can see very much taper of any major of the qualifications are done now. So, very soon , we will get out of this. So, this is a temporary issue. This working capital issue is a temporary issue and very soon you will see a taper off that number of the days which are coming up. So, that way you will very soon see that we will remove this problem very soon.

Moderator : Thank you, sir. The next question is from the line of Mayur from Wealth Manager India Private Limited. Please go ahead.

Mayur : Just two questions. I could actually join the call a little late because of network issues, but then I hope if you can answer me again if this has already been asked. The point I was trying to understand was, we have the customer confirmations and orders in place. We are putting up the capacities in order to execute that. We have the product approvals and validations all done . So, sir, what is the risk , I am trying to know what is the risk in theoretically trying to ramp up 3x in 2 years. Why can't i t be done?

Rakesh Chopdar : I will answer you , right. Building , constructions , people , money , everything they will do . Whatever the equipment, every equipment is all imported. The deliveries of these equipment's are not handy as construction wise some building takes 3 months . In the same building , if we add more resources, we can do it in say 2 months. We can add more people. We can train more people. We can do all sorts of things which we are in our control. But when we talk about these kind of equipment what we need to manufacture these com ponents also majorly are imported, right . This is where we sometimes have a long lea d delivery items which is not in our hands. And we cannot anticipate an order which will come after 6 months and place an order today on

the equipment. We will only place an order once we have a contract in hand, you get my point, sir.

Mayur : But sir, we already have Rs. 4,000 crore worth of orders , where is the …?

Rakesh Chopdar : Yes. So, we place equipment orders, they are just all coming in and that is the reason we are telling you , we will see an increment revenue from FY26. So, you see a shift from FY26 for sure because the capacity will be done, equipment will be in place.

Mayur : And other question was , normally when we see , what we have understood about airfoils and other parts which are there o r the other which goes into,

it is critical in nature, it is important in
nature , why is it? And we say we are among the lowest cost for most of our parts which are there, why is this advantage which is for the custom er which is it is low c ost, it is critical in nature. We have the orders in hand, why is that advantage not getting reflected in terms of our working capital cycle, which can be much lower than what normally a critical manufacturer of supplier who would normally get the benefit of , sir?

Rakesh Chopdar : Yes, of course , you are right. So, when you say qualification, this is a very continuous process. You keep qualifying, you keep your wallet share increasing, you keep your order book in the incremental phase, right. Today, if we capitalize our development costs for t he qualification part, our EBITDA is 3%-4% higher, but we expense it out. We don't show that t aking that consideration in our, w e don't capitalize that amount. If we stop doing that, we cannot do that. We cannot stop it, right . We don't w ant to stop at Rs. 4,000 crores. We are ad dressing TAM which is what products Azad is related to is around 30 billion plus. This is just a s tart. Now , when you are trying to reflect things, we need to have this facility , first and forem ost with this facility coming up. Second, the qualifications which we finish , if you can see in our working capital which is having higher number of days because of the reasons which I am sure you must have heard before in the previous question that the raw material, the qualification , as the minimum order quantity you have to qualify, you have to qualify 5 pieces. For that you need to buy 500 castings. You have to imp ort all that 500 casting which stays inventory. Once you finish the qualifications , then the inventor y slowly starts getting reducing . That means the taper off is coming. So, that is just coming out of this phase, we are just coming out of the phase and from FY26 you see a beautiful story coming up.

Mayur : So, si r, you think that so just to understand it better, at Rs. 1,000 crore turnover, you b elieve that the working capital , will it be meaningfully lower than the current working capital days?

Rakesh Chopdar : Of course . We can't survive. We are having such long working capital, right? It is not a thing, but this is a temporary phase. I am telling you, not me , anyone has to go through this. As you mentioned, we have best cost, we have good margins, we have good customer profile, that is why we are the only one in the country for certain product line. T here is no one else.

Mayur : So, this will start seeing from FY26 is what you said?

Rakesh Chopdar : Yes. Hard work is just done sir. Now , you will see, you will definitely witness. We all wish to do this right . All these years we did this struggling. Now , we have coming capacity addition.

Moderator : Thank you. The next question is from the line of Akshay from CD Integrated Service Limited. Please go ahead.

Akshay : I just want to understand the thing , I was looking for the presentation and our total addressable market for FY27, even if we consider 1% of that, then it would be around Rs. 2,500-Rs. 2,600 Cr. in all the three segments we are working. So, is it understanding right that if we can just grab the 1% share of total addressable market, we can do that turnover around FY27 -FY28?

Rakesh Chopdar : Of course, Akshay . That is the reason we are putting up 10x capacity, right? We know that as well market , we are at best for , we have qualifications and approvals are majorly done, right. So, it is only the capacity issue right now. So, that is what we are trying to say. I f the capacity issue , we get this factory asap up that is the whole intention to take the wallet share which is available and this has already started turning out. You can see these large contracts coming is noth

ing , but
our capacity increasing , correct.

Akshay : And sir, m y second question is that whatever the contracts or the agreements we are signing, or we are getting , the value of all the things, let us say if contract is for 5 years , then in 5 years it will get completed and all the revenue will be realized is my understanding right?

Rakesh Chopdar : Of course, and this i s not an end, right. This is just a start.

Moderator : Thank you. The next question is from the line of Partha from Eastern Financi er Limited. Please go ahead , sir.

Partha : Sir, I have just one question with regards to this Mitsubishi order. I think it is a repeat order ?

Rakesh Chopdar : Yes, it is incremental, correct . It is just the capacity , the higher what we are doing.

Partha : And s ir, there are no comp etitors in India?

Rakesh Chopdar : No. Just to give you one more good thing which we all should feel proud is, it i s not just India, few of their components, we are the only outside Japan in the whole world. There is no one else , either it is manufactured in Japan or made in India.

Partha : Sir, before other step in so , where there any other companies which are actually doing it another actually took over from ?

Rakesh Chopdar : Yes, of course. See, this is where Azad c ompete , Azad compete China, Europe, Korea, Japan,

and USA. And the wallet shares which is coming in from , of course in the comp etition.
Moderator : Thank you. The next question is from the line of Mr. Amit Dixit from ICICI Securities. Please go ahead, sir.
Amit Dixit : I have a few questions. The first one is on commercial aerospace. So, we are seeing that things are now improving all the Company , particularly after going quieter quarter, there is optimistic commentary from all the global majors. I just wanted to understand that whether we have anything on annual or leap engines , are we now engaging some of the parts or are we buying for that particul ar engine, which is basically as it would be fastest growing engine in the history of aviation?
Rakesh Chopdar : Yes, Mr. Amit, that is definitely when you are in this industr y of engines for us, it doesn't matter. It is d efense or it is a military engine or a commercial airline engine, right . For us, it will not matter. The customer base is the same. The only thing is we are not taking much of this because you want to get ready. We want to get ready because these are some master requirements and so that engine components are especially in the rotating components, it i s not easy to stop getting to that , but A zad has already put its foot in the door, right , so very soon you will listen to a lot of about these things.
Amit Dixit : Yes, because the question was more in light of the fact that both GE Ae rospace and Safran, who have got the collaboration, the y are our clients. So, we are just wondering that we should also have a foot in the door, at least ?
Rakesh Chopdar : Yes, we are GE Aviation , already approved suppliers , Safran, we are already approved suppliers, Rolls Royce we are already approved suppliers so that is not a problem. With this , we are getting ready to take that big chunk. As I told, the capacity is the major issues, right . So, that that is all , talks are going on and we can share more details once it comes to close up when we are about to close deals with them.
Amit Dixit : The second one is on the order that we won earlier that is for Rolls Royce , when we can see the execution of this order to begin ?
Rakesh Chopdar : Yes, the qualification is on , Mr. Amit . So, as per the contract by the calendar year 25, we should be in the middle of the qualification. And as the qualification is done, then that is done with that and the ramp up comes up from there.
Amit Dixit : So, some of the earnings that we get split incremental earnings from FY 26 maybe

?

Rakesh Chopdar : Yes, we also have a lot of hopes on FY26 which will open , of course , it will at least give a kick start, at least i f you give some small steps for the future years, if you start taking baby steps from FY26 with what we are doing currently, it will add baby steps from FY26 and then we can leap and bound and go all walk and run.
Amit Dixit : The second one is on Saudi Arabia, interesting collaboration. Now, does it give us any preference that whatever Baker Hughes, of course for our market, whatever it does, we will be getting the first opportunity in Saudi Arabia for Baker Hughes. Is it this way or how does it work? And if it is possible, can you give the broad contours of the facility size that we are looking at ?
Rakesh Chopdar : It is an interesting question, Mr. Amit. I will tell you this is very massive. It is not something in, it is all in millions and it can convert into a lot. So, when we met the Ministry of Energy, we met their clients , they took us to their clients, which is Saudi Ara mco and many more companies and they presented Azad , they are okay, t his is a Company which will come and set up a shop. So, it is their approval who has accepted that Baker Hughes got suppliers to put in a shop there because of the capabilities, right and it is not just Baker Hughes, it is in connection with the Ministry of Energy as well as their customers, where these products who is going to use these products, right. So, they also need to give the con sent. So, they also approved us, okay, Azad is the best fit, you can ahead with that , so Baker Hughes have taken in principle approval from the Ministry , in principle with their customers and then put Azad there in the front. So, it was not just one day story , we had gone there, w e have presented there , they had to really come to the, we had to match, and we will d efinitely match all the requirements and we were welcomed and we felt happy that they selected us.
Amit Dixit : Sir, when can we expect the production or the setting up of this facility ?
Rakesh Chopdar : This is at a very early stage we just agreed . Now, we are having discussions that center some package , we are evaluating , we are giving you the code basis that we need to select the equipment and we need to, we are also thinking to have our local partner there because the administration work and all that thing . We would like to make a local , set up a JV local partner there , like we are talking to few of the major companies where we can have a JV with them and we can start these activities , so that we focus on our business here and also give support to our JV. So, we are making it a smart workout. We are trying to make sure that we don't put much investments, we don't put much things and we keep measure of the things in our control and things will go very smooth .

Amit Dixit : The question is that last time in the concall you mentioned that Q2 FY 25 would be better in
terms of margin and margins have come out better to be honest in Q-o-Q and this is despite if I
look at Q-o-Q split in the revenue that energy contribution is higher compared to aerospace if I
look on Q-o-Q basis. Now, if the improvement in margin is basically because of the orders we

are executing, the nature of orders that might carry higher margins or is it that we have acquired
the two acquisitions that we have made, is it the impact of these?
Ronak Jajoo : Amit, this is a function of process improvement and the lower employee cost because we are not
adding employees and our sales are doing at 13% quarter -on-quarter basis , so this is a function
of operating leverage and the process improvement what we have done . It is not because of the
subsidiaries what we have acquired .
Amit Dixit : So, that is to follow that a

dvantage ?
Rakesh Chopdar : Yes.
Moderator : Thank you. The next question is from the line of Chirag from N eo Asset Management. Please
go ahead , sir.
Chirag : So, just want to understand that from you r commentary, if I can understand that it is a new
entrant wants to enter into business, it will not be very easy for that player to build up the kind
of capacity this year build up and there will lots of entry barriers , but at the same time if when
you are looking to increase your wallet share among the OEM, then effectively you will be
grabbing the m arket share from other suppliers based in China, Japan, US and all. So, what
difference will you be providing to these OEM's that they will be encouraged to come to you
and not to go to the other supplier who are also there in the business ?
Rakesh Chopdar : Chirag, actually , see first thing in our business is first is to break entry barriers. First you need
to through that y ou can manufacture these rotating components. W e have now won a nuclear
order , we are now making rotating components for the aircraft and you can imag ine the life
critical components . We are not talking about some armrest, or you are not talking about som e
component . It is not really directly affecting life critical component , correct. If you see it, it is
an armrest manufacturing, you go and get approval having the CNC machines , you can
manufacture armrest. Manufacturing the rotating component of the engine , you can imagine how
much barriers are there to break to come to that level of the OEM accepting rotating component
manufactured in wherever the facility is and setting up and utilizing it correct . So, definitely it
is not easy . First, the barriers are there to break , qualifications are there and then comes the price
level , right . Whoever has broken the barriers, there must be a great Company , China or J apan or
US or Korea. They must have done it in the past whenever they have started 30 , 40, 50 years
ago and Azad being a new entrance , it is very evident that it is not easy just to put technology
and we can get these orders , right. We have to break the barriers also. So, in this regard, in this
context, what we can tell you is the orders what we have is definitely, we a re completing the
world. We have the best cost. I don't use the word low cost. I say it is the best cost and give a
solution to the custome rs, right. And anything which a qualification takes for any OEM to
approve any supplier is a cost to the customer also. So, definitely , the cost is not beneficial to

them , they will not switch. It is very tedious work and it is a long journey to do the qualification .
They have to spend so much money , other than reinvest money, they also invest a lot of money
in qualification, right for years. So, that benefit if you don't pass on, why will order come to us .
Just stay in China or Japan, wherever they have done it already . So, definitely , there is a cost
advantage as well. First, it is technical capability throughout and then comes the cost.
Moderator : Thank you. Ladies and gentlemen, due to time constraints, that was the last question. I now hand
the conference over to management for closing comment. Please go ahead, sir.
Rakesh Chopdar : Thank you so much. Thank you everyone for your time and patience for coming in this call and
asking good questions. I hope we could answer all the questions . If anything is there , free to
write an e -mail to us, we can answer all the questions. basis the time constraints and that is it
from my side. Thank you so much everyone .
Vishnu Malpani : Thank you. Thank you from Azad side. We a re very happy to get on a call and address the
questions that anybody ha d and it is always a pleasure to talk about our business and to get more
clarity into the questions. And we have some very interesting set

of questions, and I hope we
have been able to bring some more clarity into how we are planning to ramp up our business
soon . Thank you so much for joining us today.

Ronak Jajoo : Thanks a lot for taking the time for the call and it was a great session that you have asked lot of insight ful questions and hope we are able to give you the color on that. Thank you.
Moderator : On behalf of ICI CI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

AZA D
National Stock Exchange of India Ltd.
Exchange Plaza, Plot No. C /1, G Block
Bandra-Kurla Complex, Bandra tE)May 30, 2025
To, To,
The Listing Department The Listing Department
i BSE Limited
i Department of Corporate Affairs
Phiroze Ieejeebhoy Towers, Dalal Street
; Mumbai, Maharashtra - 400 001 Mumbai, Maharashtra - 400 051
Dear Sir/Ma'am,
subiect : Transcript of Analyst/rnvestor Earnings conference call.
Reference : ISIN - INE02IJ0103s; scrip td-s44o6t; scrip code-AZAD
Pursuant to Regulation 30(2) of SEBI flisting Obligations and Disclosure Requirements)Regulations,20tS, and in continuation to our intimation dated May Z!,2OZS we heieby informyou that the Company has hosted Earnings Conference call for analysts and investors on Monday,May 26,2025, at 1'2:00 P.M. IST which was concluded on Monday, llay 26, ZOZS,at 01:00 p.M. ISTto discuss on the financials results of the Company for the 4th quartei and year ended March 31,2025.
We are enclosing herewith the Transcript of Analyst/lnvestor Earnings Conference call.
Please take the information on record.
Thanking you,
Yours truly,
For Azad Engineering Limited
Ful Kumar Gautam
(company secretary & comptiance jfficer)
Membership No.: A49SS0
AZAD ENGINEERING LIMITEDRegistered Office Address: 90/C,gO/D, phase-1, I.D.A.
feedimetla, Hyderabad, Telangana-s00 0SS, India.
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"Azad Engineering Limited Q4 FY-25 E,arnings
Conference Call"
May 26,2025
E&OE: This transcript is edited for factual errors.
uploaded on the stock exchange on May 26,2025.In case of discrepancy, the ar-rdio recordings
will prevail.
MnxeGEMENT:
MOngRAToR:lctcl Securities
Mn. RnrosH Cuopnln - CualRnaaN AND CHrnr ExECUTTvE OFFrcoR, AaAD ENctNEERTNc Lrntttso
Mn. MuRlt t KntsHNl BHuparrna;u - MlNlcrNG DIRECToR, AzAD ENGTNEERTNc Lrn,Irrsn
MR. VrsHNu MalplNr - WHoLB-T|ME DTRECToR, AZAD ENclne onrNc Llnrrrno
MR. RoNAK JAJoo - CHrBr FTNANCTAL OnFrcER, ALAD ENGTNEERTNc Lrmlrro
Mn. AuIr DIXIT _ ICICI SncuRTuBs
Page 1 of 20AZA
Moderato r:
Amit Dixit:
Rakesh Chopdar:Azad Engineering Limited
May 26, 2025
Ladies and gentlemen, good day, and welcome to Azad Engineering Lirnited Q4 FY'25 Earnings Conference Call. hosted by ICICI Securities.
This conf'erence call may contain florward-looking statoments about the company, which ars based on the beliefs. opinions and expectations ofthe company as on date ofthis call. These statements are not the guarantees of futr.rre performance and involve risks and r,rncertainties that are difficult to predict.
As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistancc during the conference call. please signal an operator by pressing '8' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conf-erence over to Mr. Amit Dixit from ICICI Securities. Thank you, and over to you. Mr. Dixit.
Yes. Good afternoon. everyone. On behalf of ICICI Securities, I rvelcome all the pafticipants Ibr today's call. At the outset. I would like to thank the Management fbr giving us an oppoftunity to host the call. From the Management today, we have with us Mr. Rakesh Chopdar - Chairman and CEO; Mr. Vishnu Malpani - Whole-T'ime Director; and Mr. Ronak .lajoo - Chief Financial Officer.
It has been a glorious year for Azad, where we have seen consistently robust perf-ormance through the quarter. We will have brief Opening Remarks fiom the Management. Post, we will

open the f'loor for an interactive Q&A.
Without much ado, I would hand over the call to Mr. Chopdar to take this forward. Over to you.
Thank you, Amit. Thank you so much. Good afternoon. Good afternoon. everyone. Welcome. and thank you lbr joining us today for our Q4 and FY '25 Earnings Call.
Joining us on this call are Mr. Murali Krishna- our Managing l)irector: Mr. Vishnu Malpani - Whole-Time Director: and Mr. Ronak .la.ioo - CFO.
We are also joined by our lnve

stor Retationship partners fiom SGA. Our Results and
Presentations have been uploaded on the Stock Exchanges and thc Cornpany Website. We hope you have had a chance to review them.
On the Q4 Performance Highlights:

We are pleased to report a strong close to the fiscal year. Stand-alone revenue filr the quarter grew to INR 125 crores, representing a34.2o/n increase year-on-year. EBITDA fbr the quarter stood at INR 45 crores, with margin improving fiom 33.8% to 36.5% (Clarification: Reported EBITDA margin). driven by operating leverage and enhanced product mix. Net profit grew liom INR 15 crores in Q4.FY '24 to INR 26 crores in Q4 FY '25. marking an impressive 74.4o/o growtl"t.
On the full-year FY '25 highlights:
FY '25 has been a defining year for us, one marked by momentum and meaninglul progress across all fionts. Revenue fiom operations grew by 32.9% year-on-year to INR 453 crores, underscoring the strength of our core business and the growing global demand Ibr our specialized capabilities. Our EBITDA margin expandedto 36.3oh (Clarification: Adj EBI'|DA margin), and we delivered a PAT of INR 89 crores. a significant milestonc. ref)ecting both scalc and execution discipline.
On the strategic wins and market position:
This quarter, we secured new orders from global OFIMs such as Cll Vernova" Mitsubishi. Baker Hughes and Rolls-Royce Defense as well as Civil, a clear endorsement of our engineeling capabilities and reliability as a strategic supplier. Thesc wins fbllow rigorous global evaluations and ref'lect Azad's growing prominence in the global supply chain. Beyond these nrarquee wins. we also added multiple new orders across the year. taking our current orcler book over INR 6.000 crores.
On the capacity expansion and execution focus:
We have taken bold steps to expand capacity and align with longterm demand. Our new i-acility in Hyderabad became operational in Ql FY'26. marking a pivotal moment in our grorvtlr joumey. These facilities are part of our mega-fhctory vision with dedicated spaces fbr key clients. this approach enables deeper collaboration and greater agilitl, in meeting demand. We are already seeing strong interest from global OEMs to secure multiyear oapacity, reinfbrcing our belief in the direction we are headed.
On the outlook and growth ambitions:
In previous years, our grorvth was constrained by capacity. With our new infiastructule. which is coming online, we now see significant headroom to scale. We are confident in achieving approximately 3O%-plus revenue growth in FY '26, supported by a robust order pipeline. operational readiness and a sharp strategic focus. Looking ahead, our aspiralion is anchored in innovation, reliability and global partnerships. Our strategy is sirnple but fbcused. scale with precision. invest with intent and grorv with agility.

Befbre I hand over the call to Mr. Murali Krishna Bhupatiraju - our Managing Director" let me take a moment to introduce him:
Murali brings over 25 years of rich experience in operations management. corporate t'inance and metal fbrming. Previously, he held leadership roles at Bharat Forge America. Dyson Corporation America, Gerdau Macsteel America. He also holds advanced degree in industrial engineering from Ohio State Management and computer science fiom Georgia'fech. His passion and holistic approach accompanied by strong leadership qualities will drive our growth in the coming years. Over to you, Murali. Thank you.
Thank you. Mr. Chopdar, for ptoviding this opportunity. Azad has an impressive joumey and has built strong credibility in the industry r,vith its niche offering customized to clients requirements. This has been a truly incredible growth story. 'l'o support this grorvth. we have strengthened our balance sheet with a QIP of INR 700 crores in February. I would like to thank all the investors fbr believing in our growth story an

d shorving confidence in our business.
In the last few months. we reached a maior milestone lvith the inauguration ol our first lean

manufacturing facility dedicated to Mitsubishi lJeavy lndustries. Covering an area of 7,200 square meters. this facility marks a crucial milestone in our joumey to increase production capacity tenfold. This achievement was made even more memorable as MIll honored us 1br our decade-long collaboration by awarding us the prestigious2024 Paftner ofthe Year.
This was followed by a second state-of-the-art plant for our dedicated customer, GE Vernova, spanning 7,600 square nreters, this advanced facility is designed to manulacture complex airfoils for GE's next-generation turbine engines. Our subsidiaries. Azacl Prime and Azad V'lC have been a great addition to our capabilities in special processes.
These capabilities help us reduce our dependence on our outsicle vendors and also save on the cost. We expect these subsidiaries to starl contributing this flnancial vear. As we enter the nerv growth phase, our focus is to build on the success and execute the long-term growth tra.jectory. We will continue to set new benchmarks and redeflne what is possible.
Now I hand over the call to Mr. Vishnu Malpani. our Whole-l'ime Director, to take this conversation f-urther. Thank vou.
Thank you, Mr. Murali Krishna. FY '25 has been a defining year fbr us. a year where we didn't just grow in numbers. we grew in capability. direction and ambition. We have rnade meaningful progress across allthe 5 pillars of ourgrowth strategy. whether it's Capacity. Capabilitl,, Capital. Customers or Contracts. Our progress has been well grounded and has set the stage fbl the next chapter of Azad's journey.Vishnu Malpani:

Let me begin with a quick look at our Q4 nutrbers:
Our Energy and Oil and Gas segment remained dominant oontributor" generating INR 97 crores or 77.7%o of our Q4 revenue. The Aerospace and Defense segment scaled beautifully contributed to about INR 25 crores or 19.8% ofthe quarter's revenue.
Stepping back and reflecting on the full year. it was a year ofbroad-based growth. Revenue grerv significantly across vedicals, supported by strong execution, customer relationships ancl deeper engagement with all stakeholders.
We expanded not.iust our production capacity, but also our engineering capability this year, which is evident from some of the prestigious awards that we have received fl'om our cllstomers in India and abroad. We strengthened our capital position with the QIP. and we continue to reinvest in our infiastructure. people and innovation.
One of the most strategic shifts that happened this year has been our diversification. While energy has provided scale and stability. aerospace and def'ense represents our next big leap. These sectors reward us with technical strength. reliability and trust of our customers that play to our core strengths.
To support this growth. we have invested in our most valuable asset. our people. Over the past year, we have onboarded senior leaders across every major function- giving us the experience and leadership depth needed fbr the future.
Today, we are fully staffed, structurally ready to take the opportunities that come ahead. Looking atFY'26" we are entering the year r.vith confidence and with momentlrm. We have built the base. the teams are in place, the capacity is live and the oppoftunity is clear. We are excited about what lies ahead.
And with that now, I would like to invite Mr. Ronak .lajoo. our Chief Financial Offlcer. to walk us through the financials. Thank you.
Thank you, Vishnu. I will first talk about the stand-alone tlnancial highlights fbr quarter 4 FY '25. Let me take you through the revenue. Revenue for quarter 4 FY '25 stood at INR 124.5 crores, a significant increase of 34.2o/o compared to the last quarter of FY '24. which ref'lect our strong business growth.
EBITDA for the quarter rvas INR 45.4 crores

with an EBITDA margin of 36.50%. this make an
impressive 44.9%o (Clarification: Reported EBITDA YOY) growth over quarter 4 FY '24.

PAT for quarter 4 FY'25 was INR 26 crores with PAT margin of 20.3%o(Cluification:20.9o/o) representing a robust growth of 7 4.4%o y ear-on-year basi s.
Let me now take you through the full-year financials of FY '25;
Revenue from operitions:
The company recorded a revenue of INR 452.9 crores in FY '25, up from INR 340.7 crores in FY '24, this represent a robust growth of 32.9%o, driven by strong operational performance ofthe company.
On segmental diversifi cation :
In the Aero and Defense segment, our revenue has rose to INR 80.7 crores compared to INR 43.8 crores inFY'24, highlighting a successful diversification story, which we have told you

over the last 2 earnings calls.
Other income:
lnFY'24 include one-time other income of INR 27.3 crores. And if you normalize that parlicular thing. this year, our other income increased by INR 6.9 crores. which primly driven by interest on flxed deposit and fbreign clrmency restatement as per IndAS guidelines.
Our EBITDA for FY'25 was INR l6l crores with an EBITDA margin of 35.5%. the highest ever EBITDA margin which company has achieved in firll flnancial year. This margin expansion was supported by improved employee cost efficiencies ancl operating leverage and business excellence reach.
Our profit stood at INR 88.5 crores in FY'25 with a PAT margin of 19.5Yo. showing a strong growth of 51.5% (Clarification:5l.l) compared toFY'24. 'lhe operating cash flows o1'thc company has tumed positive this year with INR 63 crores of operating cash flow positive, which ref'lects our healthy profitability and the cash flow management.
Our debt position:
Gross debt for FY'25 was around INR 243 crores, which is approximately l.5x of EBITDA. which our long term guidance. But if you take the net debt position. which is gross debt minus cash and bank balance, is still negative INR 412 crores. and we have a strong Iiquidity sl,stem of around INR 656 crores, because of QIP raised in the last quarter. And this give us the confidence to get into a great quafter next year and the full financial year of FY '26.

Moderator:
Kamlesh Bagmar:
Vishnu Malpani:
Kam lesh Bagmar:
Vishnu Malpani:
Kam lesh Bagmar:
Vishnu Malpani:
Kamlesh Bagmar:
Vishnu Malpan i:
Moderator:Azad Engineering Limited
May 26, 2025
Now the floor is open for question-and-answers. 1'hank you.
Thank you. We will norv begin the question-and-answer session. The first question comes from the line of Kamlesh Bagmar with Lotus Asset Managers.
Yes. Thanks for the opportunity and congrats Rakeshii. tbr the excellent delivery and successful QIP. Sir, first question on the order book. So what is the order book as on date or cluarter end'?
Yes. Thank you, I(amlesh.li. for the question. Our order book currently stands at upwards of INR 6,000 crores.
And secondly, like we have commissioned the capacity. So roughly around 95,000 square meters have been there. So this Phase-2. rvhen do we expect that parlicular commissionin-q?
So fbr the first phase, Mr. Bagmar, we are building 95,000 square meters. And as you rvould have heard in the call. we are doing I facility after another. So we have inaugurated 2 lean factories for 2 ofour customers, which have happened respectively. in the last financial year. And now we are going to be getting them online. So those fbctories rvould start generating revenues while we start focusing on the rest of the tactories. which rvill come up cluring the course ofthe year and next. So it will be a staggered approach.
And slowly, we will have all olthese factories contributing to revenue I after the other. We are not waiting fbr the entire plant to be open. We are going after every factoly, one afler the other and working on it. So that's our strategy.
And lastly, do we have any clarity like how much CAPEX would be there over the next 3. 4 ye

ars? Like this year, we have spent roughly around INR 270-odd crores fbr like next year and next after that?
Yes. So Mr. Bagmar, we did a QIP of INR 700 crores. Now the reason the QIP was done to foster the growth of the company, right? So this capital that we raised will be deployed towards building our infrastructure and also capacity, and in a staggered way over the next few years. So this is exactly what we are planning to do.
Thanks a lot.
You are welcome. Thank you.
Thank you. Next question comes from the line of Kinial with Shah & Savla. Please go ahead.

Mu lesh Savla:
Vishnu Malpani:
Mu lesh Savla:
Vishnu Malpani:
Mulesh Savla:

Vishnu Malpani:Azad Engineering Limited
May 26, 2025
This is Mulesh here. Thanks for taking my question. Hearteous congratulations on the great set of numbers, and we welcome Mr. Murali and also happy to note that we are increasing our bandwidth at all the levels.
So now my first question is. sir. we have commissioned 2 dedicated f'acilities lbr Mitsubishi and GE Vernova. So how is the ramping up happening there? When can wc reach the optimum capacity there? And at the optimum level. what can be the revenue generation liom those 2 facilities? That is my first question.
Okay. Thank you so much for the question. I think this is also slightly related to the last question that I answered. So we did inaugurate 2 facilities. 2 lean facilities fbr our customers. So the way this will happen is the facilities are now live. So this is not a transition that will happen ovemight. I think it will take us a few quarters, and it will get better quarter-on-quafter.
So this year, FY '26. we are obviously generating revenue out of the nerv facility. Any incremental that revenue comes out over FY '25 will come out of the new tacilities. But you will see that progressive development happening quarter-on-quafter. And I think towards the end of this year, we should be able to reach a full capacity in terms of those lean f'acilities in terms of output.
So then what can be the revenue expected at the optimLrm level from both these facilities?
Yes. So the way to think about this would be the revenue guidance that we are looking at. So il you looked at what Mr. Chopdar had said during his speech" he said that rve are anticipating a revenue growth of upwards of 30%o for this financial year. Ancl this growth that is coming up will be coming out of the newer factories.
Yes. Creat. Great. And hor.r' many further dedicated facilities do you think we r.vill be able to inaugurate in the current financial year? And are there any new customers or nerv products being developed and being targeted this year?
Yes. So thank you tbr this question. I think there are a few f'actories that are lined up in pipeline. We won't be able to disclose too much infbnnation about it. But yes, there are I'actories that will get inaugurated during the course of this year. And slowty like we did for the current 2 f'actories. those also will come in line and starl producing results. So that is there.
And obviously, ifyou have seen our customer roster, you would have known that our order book and our customers are backing us and trying and looking at blocking us lbr a longer period by signing long-term contracts rvith us. So we are seeing great demand across each ofour verticals and very confident ofdelivering on the execution time lines that we have.

Mod erato r:
Rajesh Vora:

FY '26 should be a year of stabilization fbr us in consolidation lbr the next level of growth.
Thank you.
Next question comes from the line of Raiesh Vora rvith Jainmay Ventures. Please go ahead.
Good afternoon, gentlemen. Congrats on good set ofnumbers. So. see. I wanted to understand your Company under your able leadership has done great on the energy side, and now issuing strong texts towards your laith and descent.
With the Contribution this year increasing qr-rite significantly fiom around l37o

to l8% ol
revenues, how are you seeing this panning out over the next 3 to 5 years? And how will that change the trajectory of margins for the cornpany?
Yes. So thank you for the question. So we are very bullish on each ofour verticals and each of those are growing at a certain rate. Ifyou look at our business'trajectory for the last 4 years or 5 years, we have grown at a compounded grorvth rate of about 40oh. Our EBII'DA CAGR has been higher than 40o/o.
Our PAT CAGR has been higher than 40o/o. So the business is looking at continuing the growth momentum. When you look at our businesses growth across verticals, you would see that some of our verticals, fbr exarnple, it's a testament to the fact that we kept talking about diversiflcation. And this is the first year where one of our verticals other than energy has demonstrated reasonable numbers. So we closed aerospace with INR 80 crores segmental revenue. up from about INR 43 crores last year. which demonstrates the fact that our qualifications have been completed.
If you look at our other vertical. which is oil and gas, last year. we delivered about INR 4.4 crores. And this year, FY '25, we have been able to deliver about INR l3 crores. Now when you look at the growth of these verticals in the coming year, FY '26, you urill see that these verticals are ramping up very. very quickly. because from the business perspective. we fbcused on qualification. we have built capacity and now we are ramping up.
So each ofthese vefticals will grow at a faster rate than the blended growth rate ofthe business.

So you will see that oil and gas will grow multifbld because the base is smaller today. Aerospace also will grow upwards of the blended growth rate that I talked about. So this is how we are seeing the business evolve over time.
Okay. Any goalpost lbr the energy as a percent oFrevenue? Rajesh Vora:

Vishnu Malpani:
Rajesh Vora:
Vishnu Malpani:
Rajesh Vora:
Vishnu Malpani:

Yes. I understand. So ideally, we want the business to be lairly diversified. So we anticipate in the next few years, the business would reach about 55%o.60%o energy. and the balance 35yo. 40yo will be contributed by aerospace and defense and oil and gas.
So it does not mean that any vertical is growing. So we have a lot of headroom cvcn in energy. but we anticipate that the grorvth rates of the business witl get us to a point where 55Yo,60%o will be contributed by energy, and the balance between the other 2 verticals in the next f-ew years.
That's useful, Vishnu. And my second question is on. given the massive opportunity, and'fAM fbr the company in each ol'the verticals. and given that we are taking significant leaps in capacity expansion, with 15.000 square feet already booked up of95.000 square meters. in the earlier question you mentioned that it will be a sorl of staggered utilization and ramp-up. So, is it f-air to say that we will have with the entire 95,000 square meters to be booked in the next year or so? How much time are we looking at?
I would like to answer this 2 ways. If you look at r.vhat we have delivered. we have delivered INR 453-odd crores ofrevenue last year. Ifyou look at our order book. which I said was upwarcls of INR 6,000 crores, you knorv that the order book to sales ratio is extremely big. So for r.rs. we are looking at progressively adding manufacturing facilities with capacity.
And see, this is ayear of stabilization for us. We are trying to build an eoosystem where we are building newer plants, l0x higher capacity and all ofthat. So we intend the business to grow at upwards of30o/o while ensuring that each ofthese things are properly scaled up. So you will see that 95,000 square meters will be completed over the next 12 to 18 months in terms ol construction and we will slowly open it up lbr capacity.
And then we will move into our Phase-2 of expansion, which is the next leg fbr us. But right now, our fbcus is to look at FY '26

. deliver on the comrnitments that rve have for customers and
to our shareholders. So tve are looking at that right now.
Great. Thank you. Vishnu. And wish you all the best Rakesh ji and the team.
Thank you. Thank you so much for your question.
Thank You. Next question comes fi'om the line of Kireet Atluri with Jetha Clobal. Please go ahead.
Yes sir, it's Karan here on for Kireet. So.iust 2 clarilying cluestions. What should we assume is the asset turnover on the incremental CAPEX spend over the next 3 years like directionally'?Karan Danthi:

Vishnu Malpani:
Karan Danthi:
Vishnu Malpani:
Karan Danthi:
Vishnu Malpani:

So the incremental asset tumover fbr the next year will be 2, blended across verticals
2, right? So on any incremental CAPEX spend, the asset tumover should end up being about2, I would think, right?
Yes, that's correct. That's correct.
So and maybe this speaks to the conservatism ofthe guidance. I guess ifyou consider that yor,r are going to spend INR 150 crores at the minimum in CAPE,X this year. I fbrget the exact number. You are actually only assuming 30% growth. which rvould equate to INR 120 crores of incremental revenue. So if you simply keep extrapolating that. you are not getting anywhere close to 2. you are close to I . So there is a big discrepancy between what you are saying is your revenue growth guidance for the next couple ofyears, and the asset tumover of2. So I.just want to reconcile those 2 nurnbers?
Yes. So Karan thank you for the question. I think for us, this year, so we are not looking at getting our capacity line. We are looking at consolidation as a thing. And the asset turn that you are saying, incremental asset turn of 2 will happen over time, because now the deployment of

capital is also towards infrastructure. towards capacity. So by the tirne we are investing and returning, you would see that towards the end or quarterly progressively. you'll be able to see the ramp-up moving fiom ,l.0 to 2.0 of incremental asset turn.
And it will be demonstrated over our progress that you see fbl this business. And our strategic priority fbr this year is to get all our manufacturing facilities up, constructed. filled with capacity. So we do not have any challenge in terms of capacity for the years that we are looking fbrward, because order book is already there. This is how we are looking at30o/o, because even on a base of INR 140 crores, we are looking at growing this and any incrernental revenue that you are seeing from INR 450 crores and upwards is going to come out of the new facility.
So for us, so where the investment is done. right? So we are going through that cycle of stabilizing it. consolidating and then rapidly growing fiom there. So the QIP money will be deployed shortly. It's with us in the...
Yes. Okay. Sorry. Maybe I will .lust squeeze in.just one. The question was fbr the 2 facilities that have already ramped or are in the process of ramping, have we already sourcecl all the equipment that is needed for those facilities or are they still in transit?
Yes. So the sourcing has been done. I think a few ofthe machines have already arrived. And so out of the 2 manulhcturing plants. one of the manufacturing plants, about 70%:o of the machines have arrived and have started production already. But the balance machines are on the way. Ancl fbr the other plant, it's happening. So it will happen over the next I or 2 quarters for us to be ableVishnu Malpani:

Moderator:
Amit Dixit:
Rakesh Chopdar:
Amit Dixit:
Rakesh Chopdar:
to ramp this up. But the machines orders have been placed. And so everything is pretty much done fiom our side. We are just waiting fbr it to be delivered to us and then r.ve get them operational.
Next question comes from the line of Amit Dixit with ICICI Securities. Please go ahead.
Ili. Good afternoon, and thanks for taking my cluestions. A f-ew questions from my

side. The
first one is on the advanced gas turbine engines that these are limited production partners with GTRE. So as per my understanding. the first engine was to be delivered by the last quarter of FY '26 or maybe first quarter of FY '26. So I just r,vanted to understand where we are on this? And what kind of market you see considering that the recent lndo-Pak conflict was basically drone-based, and these engines are supposed to go in drones and [,RSAM, which are the flavor of the town now. So just wanted to get a brief on where we are on this development and what kind of use case you see for these engines?
Okay. Thanks. Amit. First of all, on this engine, the -iet engine. so it is in production at the moment, and very soon, we are going to deliver the first 2 engines. And looking at the market, if you ask me. it's not really defined to us. because this is utilized in multi platforrns. It's used in the UAVs, it is used in anti-ship missiles and it has a mass, quite a few platforms where this engine will be used.
So this engine is a very strategic decision. right? So this is just a key to the bigger door. lt's a small key. And if you see this capability development. lve will be the flrst one to manuf-acture this engine in India. And this is more lol the country. So this is a need of power, and our fbcus is f'ulty on to develop this engine and delivel to the governrrent MOD as soon as possible.
Okay. The second one is on there was an MOU that we executed in Saudi under the meet in Kingdom and used by the Kingdom kind of scheme with Baker Hughes. So just wanted to understand the progress on that. Are there any milestones that we have crossed when we expect contracts to be signed, et cetera?
Yes, Amit, so the MOU was signed fbr sure. yes. And we also have this intent to do it. So we are having multiple discussions with the government of Saudi Arabia as well as our customers. And we are making a proper strategy to set up a shop there. And you are aware that it's not so easy to get out oflndia. setting up the shop. A lot ofwork is involved in there. So that's ongoing at the moment. So maybe we can update you by the next quarter. we can tell you what exactly the status would be. But still, the discussions are going on. and we are very active in that.
Great. lf I can squeeze one more and then I will re.join the queue. On working capital. I mean pretty pleasant to see that in aerospace and defense actually the working capital days have comeAmit Dixit:

Rakesh Chopdar:
Am it Dixit:
down. Inventory days have come down particularly. in a veD,steep manner, 246 to 155. iI'I compare FY '24 versus FY'25.

And even the receivable days have come up. However, we see a little bit of increase in invenkrry days in energy vertical. So I just wanted to understand frorn FY '26. is it the peak working capital days that we will see? And what kind of sustainable rvorking capital days can we assume fbr both the verticals?
Yes. So Amit, there is a small catch in this. Look, there's one way we are looking to reduce all the working capital, as I mentioned in the last call as well. that most of the qualifications are now done and the inventory which is sitting is now getting off'. And not long in a f-ew quarters, you will see declining the number of days. And very soon. yoLr will witness that.
On the other hand, we are seeing these contracts which we are signing, where we need to really showcase the customers that we need to hold some kind of inventory for showing the raw material because these contracts are bourrd orr the OTDs what we do. the deliveries is what we really have to demonstrate that, look, we are holding the raw material fbr you.
So there are 2 aspects going on. One. is the past which we finished middle of the qualifications and now you will see next quarters a declining working capital cycle. And it's not far away, okay? A few quarters only you start seeing the decline thing. And other part i

s on few ofthe
contracts, which requires mandatory that. okay. rve need to have some inventory fbr some short of time where we have this regularized, as the contract is very new, right? So the cycle starts and even that also can be controlled verv well.
Yes. The question was more on what we saw that aerospace and defense. where fbcus is the wrong rvord, basically, we saw increase in revenue significantly from there. However, on the inventory front. we saw a decline.
On receivables, we saw a decline. which is very pleasant to see. So.iust wanted to understand the genesis of that, and you mentioned thatthis will continue. So this decline is actually quite welcome. So I just wanted to understand more that what lies ahead as we go for more qualifications, whether this number will increase and then decrease or we will see this remaining at this particular level, parlicularly for aerospace and def'ense?
Yes. So Amit, as a strategy, we signed something. say. 2 years. 3 years back, and we have committed to the customers. And you are very well aware on the raw materials, which are having massive lead times, 3 months, 6 months, 9 months, sometimes l2 months also fbr the deliveries. right? And this is one time.Rakesh Chopdar:

Amit Dixit:
Moderator:
Sarang Joglekar:
Vishnu Malpani:
Sarang Joglekar:
Vishnu Malpani:
Sarang Joglekar:
Vishnu Malpani:
Moderator:
One time we took these contracts, we got the orders. we bought the rnaterials lying and we finished the qualification. The entire cycle. it.lust looks like a contract to the qualification. But ifyou actually see the cycle times for the entire.journey. right fiom receiving the contract till you finish the qualification and till then you wrll not see any movement in the inventory change. You will only see the inventory change as you start producing in the production orders, right? That has started.
So going forward, the best part is we have taken up the entire qualifications, and we don't see any more contracts of this new kind of where we have to invest massively in the large inventory for finishing the qualification. Malority is over. So we have not signed. We don't have anything which is sitting, which needs to be having a big inventory with us. So that way, I think that's the reason I am telling in a few coming quarters. you will see the decline.
Great sir. Thank you so much. and all the best.
Thank you. Next question comes from the line of Sarang Joglekar with Vimana Capital. Please go ahead.
Yes, hi can you hear me. So on the order book. first of all- wanted to understand the INR 6.000 crore order book over how many years it will be completed?
Thank you for your question. So our order book is split over multiple years. So there are 3 years, 5 years, 6 years contracts that we have.
Got it. And on the product side, do you lool< at in the future. developing more complex, more value-added products? Or will you be scaling up with whatever you are producing right now'?
Yes, we are doing that. In fact. ifyou look at our orders that we bagged in the last flnancial year. we have also looked at some very strategic orders where we are increasing our value-additions. So from a component manufacturing! we are moving into" say, end-to-end assembly of a complete gas turbine engine for Indian defense. right.So Mr. Chopdar talked about it briel'ly. So

we are increasing our capability by going up the value chain in terms of the manufhctLrring industry. So frorr a component manufacturing. we today are building capability and skill set around end-to-end manufacturing as well. So, that is happening fbr our customers.
Got it. Yes. That's it.
Thank you.
Thank you. Next question comes from the line of Aditya Bharlia rvith Investec. Please go ahead.

Aditya Bhartia:
Rakesh Chopdar:
Vishnu Malpani:
Hi, good afternoon. sir. My first question is on the revenue guidance that you have given. [-ast year al

so. we had started off with roughly 25o/o to 307o grorvth. and we ended up delivering almost like 35% growth. Do you think that you are being a bit conservative" given that we are expanding our capacity quite sharply? And is it a case that this year, as you are calling it to be a year of consolidation. next year growth can be even significantlv fhster?
Hi Aditya. So this, again. it's a mixed answer fbr whatever. Vishnu, myself and what we spoke. As I told you. these facilities which are coming up. they are massive. right? And the equipment. what we are buying, they are not really available off the shelf'. We have to import a lot of machines. right? And the questions which are coming is when the revenues will coming up. when the factories will come up. and what is the guidance we are looking at. So FY '26 is very crucial to us to set up these facilities, get the equipment. So the equipment which has arrived. say example" GE Vernova, this rvas not ordered today. This was ordered quite long back. And that's the reason the machines comes in. installs, we comrnission them, we start doing the qualification again, and then we start producing the par1s. So there is a cycle which we have to follow, correct?
So whatever we have done before the QIP what we raised money and before these equipments, whatever was ordered long back. Sirnilarly. from now, what rve are planning to fill up these fhctories up. right? So the equipments have been ordered. So as this comes, so we need to give some time fbr them to stabilize. So FY '26 is what we look to stabilize first.
So maybe in coming quarters. we can let you know on this question how exactly we are going to give a guidance more. So at the moment, we hold this because it's termed as conservative or aggressive. That's dif'ficult to say at the moment. So we are just waiting for all these f'acilities to come up and make sure that first the commitments what have been given to the customers to show the facility is up, that's where the focus is at the moment.
Anything you want to add, Vishnu?
So Aditya, just adding to r,vhat Mr. Chopdar said. I think if you have seen how we have given quarter guidance and annual guidance in the past also. we have been very accurate about r,vhere we want to go, and in all cases. we have over-delivered on our guidance. This is our estimate of what we will be able to do by achieving various aspects of growth in the organization about stabilization" ordering of machines. newer contracts, new team members, all of that. And30o/o on a basis like this is a pretty good number to look forward to in my view.
Absolutely. Absolutely. My second question is on the working capital side, wherein you did speak about likelihood of working capital coming down. Anything more that you can share on that? What kind of traiectory should wc look at, maybe not from the perspective of this year. butAditya Bhartia:

over a slightly longer period of tirne also. where
be settling?
is it that you would like the w'orking capitzrl to
So I think, Aditya. Mr. Chopdar had attenpted to answer this in the previous one. bLrt still.just to give you a broad contours of where we want to head to. So we believe that we want to get to by the end of this financial year, we want to get to about I 70 to I 80 days of cash-to-cash conversion cycle. And if you remember why and how this working cycle is getting trimmed, you will see our vertical scaling up revenues. right?Vishnu Malpani:
Aditya Bhartia:
Vishnu Malpani:
Moderator:
Vignesh lyer:
Vishnu Malpani:So our Aero business trom INR 40 crores ntoved to INR
Oil and gas, which is currently about INR l3 crores. \\ill
would see all of this trimming towards the end of it.
Progressively. yes, overall, quafter-on-quafter, you rn ight
then by the end of this year, we should be at a range of 170.
cycle.80 crores and will continue to grow.

signilicantly grow this year. So you
be able to see smaller changes. And
180 days of

cash-to-cash conversion
Perfect. That's great to hear. Thanks Rakesh, Thanks Vishnu.
You are welcome. Thanks Aditya.
Thank you. Next question comes from the line of Vignesh Iyer with Sequent Investment. Please go ahead.
Hello sir. Thank you for the opportunity. One question from my side. So what I was observing over the last 3 quarters is, there is some movement on part of the employee expenses moving on the higher side. And I heard your comments earlier where you said, we are entirely staffed for the requirement in relation to the new facilities that have opened up. So is it fair to say that the expenses already showcased the additional salaries that is required for the upcoming7,2O0 and, 7,400 square meter facility?
Okay. So Vignesh, just to go back to rvhat I meant when I was talking about it. So over the last 1 year, Azad has hired a lot ofsenior management resources across various business posts that we had. Now this was created for the future, right? So each ofour business verticals todal, neecl business leaders that are focusing on how we are going to be ramping up in each of these vefticals, whether it's energy, aerospace and defense and oil and gas, because the way we havc to scale up ftom this point is very different from 5 years ago.
So that is why the senior management positions have been manned. So in terms of the manpower cost, yes, you can say to an extent, we do have the people that we needed. But the ideal manpower cost for our business is significantly lorver than where we anticipated it to be today. So today.

Vignesh lyer:
Vishnu Malpani:
Vignesh lyer:
Vishnu Malpani:
Vignesh lyer:
Vishnu Malpani:
Moderator:
Jatin Jadhav:
Vishnu Malpani:we are at about 20oh, zloh of ntanpower cost right now
cost to over time, normalize to about 15%. 16%. 17%.
years.
Understand. I mean that leverage 'uvill pla,v out rnore...
fbr the business. but we anticipate this
But this r,vill happen over the next f-ew
As a high-growth company this is the capital that needs to be deployed. So we are not looking at it from a cost perspective. We think this is an investment fbr the f-uture. Today. our order book to sales is about I 0x, I I x. For us to be able to cater that, we need senior leaders fbcusing on each ofthe growth engines and scaling the business rapidly. So that is our view on the business. And you will see employee cost. tapering of'f over the next f'ew years.
Perfect. And sorry if I missed it earlier, could you tell me what is our EBITDA margin guidance? Will it remain at the same level as FY '25 going ahead?
Yes. So our EBITDA guidance will be consistent. So we would maintain the EBITDA guidance that we have done. For the last financial year. whatever we have delivered. we would want to continue at the same rate.
Perfect. Perfect. Thank you. That's all from my side. And all the best sir.
Perfect. Thanks.
Next question comes from the line of .latin Jadhav with Sahasrar Capital.
So sir rny tirst question was regarding how many more dedicated t'acilities are we targeting to manufacture or cater to future clients or existing clients? And sir, my second question was regarding the gas turbine engine, which we have made. What are the f'uture prospects? Or are we looking to deploy them in any near time soon in any products? Or what is the overall development over there?
Yes. So thank you for your question. I will start by answering the first one. So yes. we are looking at putting up more dedicated factories, and I think we are working on it as well. Over the course of this financial year. you would be able to see some updates regarding that. It will be dif'ficult to share some insights on to it now, because we are bome by some conlidentiality norms. But during the course of these years. you will see a couple of more manufacturing facilities going live for our customers. So that's one.
On the second front, which is gas turbine engine that we spoke about, see" Mr. Chopdar brought abo

ut the f'act that this is our entry into something really big. fbr us to move fiom a component manufacturing into a cornplete engine manufacturing. And this is a strategic path fbr us, right?

Jatin Jad hav:
Vishnu Malpani:
Jatin Jadhav:
Vishnu Malpani:
Moderator:
Vishal Dudhwala:
Vishnu Malpani:
Moderator:
Divy Agrawal:
Vishnu Malpani:
Divy Agrawal:

So this is the first step towards a major development that is happening towards the def'ense ecosystem in India, and we are doing it for the first time. And India is also rnaking engines fbr the first time, and this is their first step. So we are very confident of it. The developments internally, the results look promising. And we hope that this continues. And this step that we are taking will lead us to bigger and more bigger engines in the future.

Sir, just a follow-up on the engine. So currently the design phase is complete? Are we testing it?

So the design is with GTRE, we are looking at end-to-end manuf'acturing and supply of it. So the design is already achieved, and we are in the process ofnranuthcturing. And then testing will be happening at DRDO, once the manr''rfacturing is cornpleted at our end.

Correct. That's pretty much from my side. Thank you so much and all the best.

Thank you. You are welconre.

Thank You. Next question comes fronr the line of Vishal Dudhwala with Trinetra Asset Managers. Please go ahead.

So llrst of all, thank you for taking my question. Congratulations fbr good set of numbers. As my couple of questions already answered, and I have left with one question. I will be squeezing a little bit more on EBITDA margin. At least. tell me your EBITDA margins have expanded to 36.3Voin FY'25 as we have known that the mix evolves with more aerospace and defense work, which may be more engineering and intensive. So do you fbresee any risk to rnargins or could this lead to f'urther operating leverage in the upcoming years?

So our margin guidance is consistent with what we have delivered in FY '25, and we anticipate that we will grow the business at 309/o. sustaining our EBII-DA rnargins and PAT margins.

Okay. Thank you for that. Next question comes fionr the line of Divy Agrawal with Ficom Family Office. Please go ahead.

So a few questions fiorn my side. I actually wanted to know what was the capacity utilization for the old 20.000 square meters facility and the 2 new facilities that came up?

I am sorry, can you please repeat your question, slowly?

So I just wanted to know the capacity utilization for the old facility that was around 20,000 square meters and the 2 new facilities that came up recently.

Vishnu Malpani:
Divy Agrawal:
Vishnu Malpani:
Divy Agrawal:
Vishnu Malpani:
Divy Agrawal:
Vishnu Malpani:
Divy Agrawal:
Vishnu Malpani:
Divy Agrawal:
Vishnu Malpani:

So for the existing facility, we operate at an average of about 84%, 85%. And the new facilities that are coming up online, we are in the process of getting all equipment setting it up. etc. But our aim towards the end of this year we should be able to reach an optimum utilization of 70-plus percent by this year.

Got it. sir. And regarding the 2 new facilities that you have set up. so approximately how much was the CAPEX that you have incurred 1'or that?

So fbr us, we would not want to share numbers at a unit level. but our investment in the business will be to the tune of INR 700 crores, which will happen over time. And this will be invested in infrastructure and capacity building across all our dedicated units.

Got it. This would include that 95,000 square meters as Sangareddy capacity. right?

Yes, this correct. So this includes the 95,000 square meters only.

Okay. And just a clarifrcation on the Sangareddy f'acility, in the last PP-l Q3 PPT mentioned the capacity would be around 75.000. But in this current presentation is around 67.000. So can you help me with that? What's the final number for that?
Y

es. Sorry, can you please repeat? Your voice is breaking. Can you please repeat the same again?
Sure. So I iust wanted a clarification regarding the Sangareddy facility. So in the last PPT ofthe Q3, the capacity that was mentioned was around 75,000 square meters. But in this current PPT. the capacity is mentioned as around 67.000. So there's a deviation between the 2 numbers. So can you help me with that?
Yes. So the way to think about this is, so we are constantly improving our capacity, right? So if you look at a few years ago. we were talking about 20"000 square meters of manufacturing capacity available with us and then roughly about l0x more comin-e up. right? Now the I0x more coming up was across 2 manufacturing plants. One was about 95,000 square meters and the other one is about 70,000 - 75,000 square meters.
Currently, what we are developing is Phase I of it. which is 95.000 square meters. So all the investments that you are seeing are going in the 95.000 square meters, and this is coming up one-by-one. As soon as this entire 95.000 square meters, all the plants in it come and get completed, we will move on to the second phase, which is 75.000 square meters.
Okay. So it's 75,000 square meters, right?
Second one. Yes, second facility is about 70,000 - 75,000 square meters.

Divy Agrawal:
Moderator:
Amit Dixit:
Rakesh Chopdar:
Moderator:
Because in the presentation, it's mentioned 67.000 square meters. So I got confused between that, but thanks for the clarification" sir.
Ladies and gentlemen. due to time constraints, we have reached the end ofquestion-and-answer session. I would now like to hand the conference over to Amit Dixit for closing comments.
Yes. I would like to thank everyone for attending the call and fruitful discussion that we had today. I would now like to hand over the call to Mr. Chopdar for any closing comments. Over to you, sir.
Thank you. Amit. Thank you, SGA team. Thank you, everyone, for your time and patience fbr this call. I have nothing much to add, and I think we are good. Thanks a lot.
Thank you. On behalf of Azad Engineering Limited, that concludes this conference. Thank yor.r for joining us. You may now disconnect your lines.

Call: Aug 2025

AZA D
lo,
The Listing Department
BSE Limited
Department of Corporate Affairs
: Phiroze Jeejeebhoy Towers, Dalal Street
, Mumba!, Maharashtra - 400 001August L2,2025
To,
The Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, Plot No. C/1,,G Block
Bandra-Kurla Complex, Bandra [E)
Mumbai, Maharashtra : 400 051
Dear Sir/Ma'am,
Subject : Transcript of Analyst/lnvestor Earnings Conference call.
Reference : ISIN - INE02ll01035; Scrip ld-544061; Scrip Code-AZAD
Pursuant to Regulation 30[2) of SEBI (Listing Obligations and Disclosure Requirements)
Regufations, 2015, and in continuation to our intimation dated fuly 31-, 2025, we hereby inform
you that the Company has hosted Earnings Conference call for analysts and investors on Tuesday,
August 05,2025, at 11:00 A.M. IST which was concluded on Tuesday, August 05,2025,at12:00
P.M. IST to discuss on the financials results of the Company for the 1.t quarter ended June 30, 2025.
We are enclosing herewith the Transcript of Analyst/lnvestor Earnings Conference call.
Please take the information on record.
Thanking you,
Yours truly,
For Azad Engineering Limited
Ful Kumar Gautam
(Company Secretary & Compliance)fficer)
Membership No.: FL36BB
AZAD ENGINEERING LIMITEDRegistered Office Address: 90/C, 90/D, Phase-1, I.D.A.
feedimetla, Hyderabad, Telangana-SO0 055, India.
CIN NO: L7 421,OT G1,9AZPLCOO4 132 I Tel: 040-2 3 0 97 OO7
GSTIN: 36AAE CA}4SIHLZI I nmail, cs@azad.in
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i-. aE^.4 atn lwebsite: www.azad.inuJ = 4JUa - 1:J /
" Azad Engineering Limited
Q 1 FY'26 Earnings Conference Call"
August 05 ,2025
E&OE: This transcript is edited for factual errors. ln case of discrepancy, the audio recordings
uploaded on the stock exchange on August 05,2025, will prevail.
MaNacTMENT: MR. Rq.rnsH Cnopo,tR -- CHAIRMAN AND Cnmr
Exrcuuvn OFFTcER -- Azl't ENcrNrnRrNG Lrnarmn
MR. Munau KnrsHN,q. Bnup,tuRAJU -- M,q.NA.GING
DrRBcron -- Az,qo ENcTNEERTNG Lrvrrrro
MR. VrsnNu Mar,pANt -- Wnor,B Trur DmncroR --
Az ro ENcrNrrRrNG Lrnnrrpo
MR. RoNax J,q*roo -- Cnmr FINlNcLq.l OrrIcER --
Aza,p ENcTNBnRTNG Lrvrrrru

Moderator:
Rakesh Chopdar:Azad Engineering Lim itecl
August 05, 2025
Ladies and gentlemen, good day. arrd welcorne to thc Azad llngineering Limited Ql IrY'26
Earnings Conl'erence Call.'l'his conf'erence call nray contain forward-looking statcrncnts about
the cornpany, which arc based on bclicls, opinions and expectations ofthe company as on thc
datc ol'this call. These stalements are not the guarantees of future pcrl'ormance and involve risks
and uncertainties that are difficult to predict.
As a remindcr, all pafticipant lines will be in the listen-only modc, and there rvill bc an
opportunity for 1,ou to ask questions alter the presentation concludes. Should you need assistance
during the conf'erence call, please signal an operator by pressing star then zoro on your touchtone
phone. I'lease note that this conl'elence is being recorded.
I now hand thc conference over to Mr. I{akesh Chopdar, Chairnran and Chiel'l-]xecutivc Ol'fioer.
-l-hank you. and over to you. sir.
'l'hank you so much. (iood rnorning to everyone. Welcome, and thanks lbr.joining us today on
the Ql FY '26 earnings call. On this call, we are .joined by Mr. Murali Krishna. Managing

Director; Mr. Vishnu Malpani. Whole-['ime Director; and Mr. Ronak.la.joo. CFO; and SGA. our Investor I{elations Advisor. Results and prcsentations are uploaded on thc slock exchangc and the company website. I hope everybody had a chance to look at it.
l'm glad to update that we startcd the year on a prornising note with our best-ever linancial perlormance and deliverecl stand-alone revenues of INRl35 crores, looking at a year-on-year growth ol' 36.7%o. 'l'his robust growth was acconlpanied by margin irnprovement in both Fllll'lDA and PAT. EBITDA margin grew fi'om 33.6% in Ql IrY '25 to 36.1% Ql F-Y '26. Similarly, PAT margin rose lrom lT.4oh irr Ql FY '25 to 22.3%o in Ql FY '26. 'lhis glor'vth rellects oul conlinucd ellorts across rnu

ltiple areas, including capacity expansion in thc new
plant, qualifications of new components across business verticals and operational excellence among other initiativcs. With a vcry strong order book position of INI{6.000 crorcs plus, we arc confident that wc will continue to nraintain this trajectory.
'l'hc energy sector, rvhich is our oldest business segment constitutes the largest parl of our bclok of approxirrately around $400 rnillion, that's around INR3.400 crores. And this is lollowcd by the Aerospace and Def-ense at $200 million. That's around INRl,700 crores. And then oil and gas at approximately Xil00 million. That's around tNR850 crores. This order book providcs us with slrong revenue visibility across all business segments.
In anticipation o1'this growing demand, we are gearing up with our new manufacturing lacilitics. As you are well aware. we havc alrcady inaugurated two of our dedicated lcan lactories in March and April 2025. Overall. in the ncxt l2 to l8 months, we plan lo havc a total 8 dcdicatecl lean

Murali K. Bhupatiraju:

manufacturing lacilities. including onc state-ol-art world-class forging plant at 1'uniki Bollaran.r, Hyderabad.
[lowever, it has been challenging to match the growing demand with our l'acility ramp up. 'l'he team at Azad has done a great.job handling thc situation. including. bLrt not linritcd to. facility readiness, equipment order, deployment and cerliflcations. Workfbrce hiring and training, all of this while ensuring customer deliveries and output of the company are on target. So it's not easy, of course. it's challenging, but team Azad is doing a great.job.
We anticipate to similarly address these challenges to continue fbr a couple of upcorning quarters. Towards this expansion, we plan to deploy a capex ol tNIl.450 crorcs during FY '26. Also very happy to share the two subsidiaries that we acquired Iast year are now IIBITDA neutral and should contribute to growth and profitability from FY '26.
Guidance, we arc progressing with our strategy of positioning the comparry lor sustainablc differe ntiated growth and reiterating our top line growth guidan ce ol- 25oh,30% cluring FY '26. Now I hand ovel the call to Mr. Murali Krishna Bhupatira.ju, our Managing Director. 'l'hank you.
'lhank you, Mr. Rakesh Chopdar. It is heartening 1o see broad-based groivth across all scclors. While we remain focused on scaling operations, we're equally cornrnitted to dliving greater efficiency across our value chain. which is reflected in our growing nrargin profile. Azad being a key supplier in global supply chain fbr the OlrMs, we see a sizable market opportunity fiom our end-use industrics.
IJnergy OEMs are making unprecedented investrnents with the need for reliable porvcr. infi'astructure and decarbonizalion. We also sce a demand for turbines in industrial applications as well as a replacement market.
Likewise, the Aerospace and Defensc segment is also witnessing strong dcmand. lvhich is driven by increased commercial ait'craft orders. fleet modcrnization programs and heightened def'ensc spending. Our existing ordcr book resonates with these growing opportunities. Wc are actively working with existing and neu, customers to enhance our wallet slrare in this spacc.
Now I hand over the call to Mr. Vishnu Malpani, our Whole-Time Director, to take this l'urther.
Thank you. Mr. Murali Krishna. The growth tra-iectory demonstrated by Azad thus lar echocs out comnritment to high growth while achieving operational excellence.
Focusing on our stand-alone segment-rvise busincss performance this quarler. let rne share with you the contribution from Energy and Oil and Gas segment lor us in Ql F'Y'26 is at INI(109 crores, contributing to approximately 81.2% of the total revenuc. 'fhis growth represents a healthy 47.7o/o year-on-yeal inclease, which is largely on account of'capacity addition. With

Rona

significant values of orders in hand that was shared by Mr. Chopdar, we continue to see a healthy

growlh fiom here in thc years to come.
'I'alking about the Aerospace and the Defense segment. This segrnent contributed to 17.lo/o of our revenue during quarler I of IrY'26 at tNR23 crores of revenue, representinga26.3Yoycar-on-year growth. We arc upbcat about the growth in this segment with the recent ol'der wins, capacity expansion plans and also the fact that we are moving from component manulacturing to assenrblies and subassemblies in thc future as well.
We are conlldent about the upcoming quarters by taking srnall steady steps now, rve can build rnomentum in FY '26. These effofts will lay the lbundation for a signilicant l'uturc -- growth in the future, allowing us to progress fi'orn small steps to larger leaps and eventually ar:hicving great strides.
Lastly, I woulcl also like to updatc that our credit ratings have now been updated frort A- to A by CARE Ratings. We view this performance ol' quarter as a strong endorsement lor our operational resilience. commitment to excellence, and it positions us well as we continue to scale new heights.
Further'. I now hand the call over to our CFO, Mr. Ronak Jajoo, to lurther talk about our financial perforrnance. Thank you.
Thank you, Vishnu. I would like to begin by sharing our stand-alone f inancial performance fbr quarter I FY '26. I-et me take you through revenue from operations. Revenue lrorn opcrations stood at lNRl35 crores. reflectinga36.7oh year-ol.)-year growth compared to quarler I of'I-'Y '25 and 80% grorvth over quarter 4 of FY'25.'l'his growth was primarily driven by thc GLISPS plant. which was operationalized in quarter 4 of PY '25 and started contributing to rcvenue fl'orn this quarter.
On the consumption side, our gross margins has improved by 3.4Y, on a year-on-year basis and rernained stable oompared to Iast quader largely due to product and segment mix. Ernployee cost has increased by 60 bps during this particular quarter. This is attributable towards the onboarding ofkey personncl as we prepare the organizalion for the next phase ofgrowth.
l'hc FIBITDA IbT the quartcr came at [NR48.5 crores, rnaking a46.8o/o growth year-on-year basis from INIt33 crores in cluarter I IrY '25. Our EBI'I'DA margin guidance remain continue to bc in the range of 33Yo to 35oh depending upon ploduct and segment mix.
We arc pleased to announce that wc have operationalized the lirst licility at'l'uniltibollaram plant with 3 additional units scheduled to go live during FY '26. As a result, we expect our depreciation to step up and pro.iecting to be INR48 crores in depreciation lor the full year FY '26. Other ir.rcome saw an increase during the quafter, primarily from the treasury irtcornc

Moderator:
Amit Dixit:
Rakesh Chopdar:
Amit Dixit:
because o1'unutilized QIl'] lirnds. T'his is expected to taper down in corning quartel'as these lirnds are dcployed lor capacitl crparrsion.
Profit after tax lbr the quarter stood at INI{30 crores with a PAT margin of 20.88%. Llere, I'm taking denourinator as a total inconre 1br caloulating the PAT margin. up from 17 .3Yo in quarler I of FY'25 and20.29o/o in quafter 4 FY'25. Lastly, I'rn happy to share that both Azad Prime and Azad V'lC has lurned EBI'I-DA neutral within just a ferv quarters of operations, and rvc arc confidcnt they will become I)A'l'positive by quarter 4 of FY'26.
With this, we conclude oul prcserrtation and open the floor for question and answers. '[.hank you.
We have first question lrom the line of Amit Dixit Ii'orn Goldman Sachs.
Congratulations for a very good sct of numbers. I have a couple ol'questions.'l'hc llrst onc is esscntially on the domestic aerospace and def-ense segmel'rt. Il we scc thc focus of the governnlent is now for thc indigenization o1'the engine that would be probably fitted on

AMCA,
thc co-production of "l'ejas Mark 2 and there have been funds allocated fbr Kaveri as well. So in light of these deve lopmcnts, I.iust wanted to get your thoughts on thc potential that Azad sees in the dornestio rrrarket, particularly aerospace and defbnse. That is my first question.
Okay. Amit, thank you so much. On the Indian defense, as Azad's lbcus is mainly on thc nichc components o1'thc engines. And you're right, our lbcus is only on the conrponents rvherc we can value add, and that's the first engine what we are manufacturing for DIiDO. So our fbcus wish to stay here because we havo to deliver 2 engines in FY '26. And once they are delivercd, and that opens the big door for all the programs which arc live going on in lhe Indian def'ense as this will be the first jet engine to be manufaotured, right. lor this -- in India for this capacity.
And thafs definitely going to open doors, and we arc confident once we deliver these cngines and the def'ense MoD will recognize Azad for its efforts, and we look forward and fingcrs crossed.
Okay. 'l'he second one is essentially on anothel'segment of energy, nuclear power. A lot ol-your

custolrers ancl peers havc been quite vooal aboul the potential ollhis space. Now Azad, as we understancl, is the only con')pany in lndia, which is accrcdited by EDF. So just wanted to gct your thoughts on the potential that we see in both global and local rnarket from nuclear cnergy segment.
Yes, Arnit, like thc maior worldwide EDIr controls the nuclear power and there arc stringent approvals you need to get fi'om llDF and which wc broke all the qualifications and we could really get thele, and we arc now qualificd by EDF as an approved supplier globally, notjust lbr I pro.lect or 2 projects. And that has helped us get recognized worldwide wherevcr nuclear plants arc coming up.Rakesh Chopdar:

Moderator:
Karan:
Rakesh Chopdar:
And sirnilarly. in India. it's NPCI[,. And so EDtt and NPCIL work very closely. And definitely, therc is a nrassive big opportunity coming up fbr the nuclear. Whatever power demand comcs up, nuclear power pro.iect comes up, '"ve rvill be the first choice. And we are the only choice. tct be honest, today.
We havc our next question frorr, the line of Karan fi'om .letha Global.
Congratulations again on great results. I.just wanted to address, obviously, thc topic du.iour, which is tarills. We don't know how this is going to play out for sure. But if you can hclp contextualizc lor us, lct's say, thc 25% holds, how would that, if in any way. irrpact your business?
And then I guess the seconcl question would bejust, I guess, more generally, on thc order book, we've obviously started executing against a very large order book. But what woulcl also bc interesting to see is that order book grorving and doubling and tripling I'rorn here. So as you think about the drivers of what may -- I think you mentioned the domestic def'ense side .
I think youjust -- wejust talked through nuclear, those could be drivers ofthe order book growth. Are there any other drivers that you would like to kind of call out or tease out that could manil'est over the next l2 to l8 rnonths?
Yes. Karan, Iirst thing, thank you so much fbr the question. I would like to clarily on this tarilT thing. It's a big question rnark fbr everyone in lndia, what's going to happen, right? So let rne be very specific on this part. Onc thing is very sure is if we have got this business now or bcfbre, right? Delinitely, it's beforc. So wc have competed someone and got this business. And the ncxt corrpetition to us is China.
So if you talk about the Azad's competition. it's in China. Europe, Japan, America ancl Korea. right?'l'hesc are our competitions. Now ilthe business has come, so I can givc you an idea flom China, rvc are 20oh.25oh cor-npetitive. lirom liurope, and Japan, we are around -- l-]]urope, wc arc around 307o, 35Yo. Japar''t. we are 407o, 45Yoand similar to the glob

al levels where we conrpctc
therr.
So today. if we talk about the closest competition, that's China, okay'/ Now wc are 25%o already very -- we are cornpeting them. And China has a 30o/o lariff. India has a 25% taril'l'. So thc situation doesn't change for Azad. It remains the sarne fbr the customer. So still, wc are the only option, again, no mattel'if another tariff goes up by l0%, l5%, it will not matter us, right?
So that -- and il'China is the closest and then Europe and ifyou talk about Japan or somconc, they are alrcady 40%, 50% higher than us. So definitely, it's not going to alf'ect Azad lbr its product line where we are competing the global peers, what wc have at the morrent, right'/ -['hal's one point. Sorry. Karan, I need to have your second question again. I just lost it.

Karan:
Rakesh Chopdar:
Moderator:
Aditya Bhartia:
Rakesh Chopdar:
Surc. Just in terms o1'order book growth, I just wanted to understand what the drivers of'that would be? Wc talked about nuclcar. We talked about domestic defense. What would be the olher drivers over the ncxt l2 to l8 rnonths?
Yes. So look, our lbcus is like wc -- what the facilities which are coming up, there is -- there are already we have order books in our hand and already corlnritments arc being given, contracts have been signed, and we are committed fbr next 4 to 5 years l'or the ccrtain contracls we have signed and the preparations are going wcll accordingly. Wc arc setting up the plants corring up. However, thcre are many more opportunities which we are discussing. And rvc will .just pick them up as we got the right time up, right? So current focus is what wc have in hand. the conversion of -- the setting up the plant. lt's not easy to set up one massive facility. right? And

such 8 are going on in parallel.
So you can imagine how tough thc situation is lbr thc team to handle the grorvth, to handle thc day-to-day comrritments, to handle the new facility coming up, the certilications, thc nrachincs coming in. So I think next 2 qualters is what we assume that we have to just stay calm and fbcLrs on rvhat we are doing at the moment, set this up.
Oppofiunities are dclinitely lined up, and we are not going to stop here sornervhere. So there is a r.nassive opportunity lining up before Azad. So rve'll take it at the appropriate time. We'll not lose it.
We have our next question from thc line of Aditya Bhartia from Investec.
My first question is on the capacity acldition that we have already underlaken. With this kincl of capacity addition, what would be the revenue potential that we can achieve? Ilow rnuch more can we kind of generatc frorn the existing capacity that we are already having? And il I heard you correctly. you spoke about roughly INR450-odd crores o1'capex lbr this year. So what kind offurther addition would we see once that kind ofcapex number gets concluded?
Ycs. Thanks, Aditya. So sec, again. I would like to again get the same answer what I gave in the previous queslion, what I answered, is the setup is still going on, right? We are talking aboul a massive facility. We're not talking of adding a few machines or we are not adding -- we are not seeing the capacity just buying the machines and putting, there's a whole factory is corning up. right? So it's a very -- it's a very, very big challenge to marlage everything.
IIowever, the growth trajectory, what wc are seeing is thc guidance what we are giving,25%o, 30%, definitely, that's going to be maintained, right? And wc have to have these facilities conring up, which wc see in l'Y'26, we stabilize ivith almost all the facilities coming up in the ncxl l2 rnonlhs.

Aditya Bhartia:
Rakesh Chopdar:
Aditya Bhartia:
Rakesh Chopdar:
Aditya Bhartia:
Rakesh Chopdar:
Aditya Bhartia:
Rakesh Chopdar:
Vishnu Malpani:Azad Engineering Limited
August 05, 2025
And then we can definitely see an upside once the factories are up, right? So this is where I could answer on the

capacity and the growth. So we should give at least 2, 3 quarters more to stabilize everything, keeping the growth 25%,30% together, which goes in parallel.
Sure, sure, sure. Rakesh, the way we were kind of thinking about it earlier is that these are modular facilities. We'll keep kind of making one operational after the other, ramp them up and then go for the other expansion. Has there been a change in that thought process wherein we want to be making operational a few more manufacturing facilities at tandem? And is it a reflection of the confidence that you're driving from the order book? And in that context, can this growth be much, much higher than 25o/o to 30yo that we are speaking about?
I agree with you, Aditya. That's why I mentioned the25yo,30%o is coming from the existing orders and as we are adding machines, as we're adding capacity. And definitely, once it is up, definitely, we expect a shift, yes.
So from the perspective of next year. would you be anticipating a much stronger growth than this25%o,30%? And...
Yes, we expect that, Aditya.
Sure. And even for this year, Rakesh, like we have started the year at a good rate, and you also mentioned that you expect this kind of momentum to be continuing. But for the year as a whole, we are retaining the guidance. So is it that we're just being conservative and we actually -- from our internal targets, we are looking at more like a 35o/o, 40o/o growth, but speaking of 25%, 30%o only?
Yes. Look, I have to be a little conservative, right? I should have -- once the facilities are up because it's -- again, I mentioned it's not a small thing what is happening here in Azad, right? And managing altogether and25%;o,30% is what we look forward. But definitely, we all know once the factory is up, once things stabilize, we'll definitely see a shift for sure.
Understood. And one just last kind of follow-up on the same aspect. We have spoken about, let's say, fixed asset tums of over lx, closer to like 1.5x. Now that we are doing INR450 crores of capex, does that mean that we have the additional lever of doing maybe somewhere around INR500 crores, INR600-odd crores of revenues over and above what we are already doing?
Is that the magnitude of investment that we are undertaking? And consequently, growth over the next couple of years can be significantly faster, not by a magnitude of l0%o, 20o/o, but significantly faster than what we've seen in the past?

Vishnu, would you like to take this? Yes.
Aditya. thanks lbr thc qucstion. Ycs. So Aditya, r.ve are looking at a dcploymcnt ol'roughly INR450 crores. And this deployrnent would happen towards three bload areas. One is

Aditya Bhartia:
Vishnu Malpani:
Moderator:
Vikash Singh:
Rakesh Chopdar:
infrastructure, one is towards plant and rnachinery, and wc arc also investing in somc strategic assets like lbrging harrrmers, et cetera.
So if you look at the overall deployment, we should be deploying anywhere between lNR250 crores to INR300 crores towards cleating capacity. Now lvhen you look at a INI{300 crorc investment, I would suggest that with an asset turn of roughly about 1.8, we should be able to generate INR550 crores of incremental rcvenue, right? Now wc had already delivered INI{450 crores. So this should be good to go to take us to about lNRl,000 crores. That's how -- that's thc right rvay to look at it.
lJnderstood. And frorn that perspective, this year possibly is the peak capcx ycar and fl'om next year, capex drops rneaningfully...
So we rvill efficiently deploy capex tooking at the demand that we are having, looking at the capacity that is needed to achieve thc numbers that we have comrrritted to our custorncrs. So it takes us back to the guidance where we are pretty confident of delivering 25Yo lo 30% that Mr. Chopdar said in the coming yeals.
We havc our next cluestion from thc line of Vikash Singh from ICICI Securities.
Congratulatiorls on a very good set of number

s. Sir, coming back to the tarill again, you
explained about the orders. We arc cheaper than most of the countries. But what about thc existing orders? Is there any clauses, which protects us for the existing orders, any tarill'changes and doesn't impact our margins?
Yes, thank you fbr the question. Now this is what I'm trying to say is we have already competed and got these contracts. It's already done. It's nothing that there is going to be efl'ective more from this. 1'his is already -- wc are compcting thcm alrcady. Wc are compcting with the rvhole world, right? So we are the best cost.
'l'he other -- the next competition to us is around 207o, 25o/o, they are expensive than us. So example -- I'll give you an exaurple like exarnple, China is l 00 for a component A. At-ad is 7 5 for the same cornponent for tl.re customer, right? And China has got 30%olo 40%o tarill. Now lndia, they have put 25%o Lariff . Still rve compcte. We still compete.
So where I'm ooming lionr, so we have. lct's say, conrpeted and got thc ordcrs already. And post tha1, there isa25oh tariff rvhich has been irrposed. We have exposure to [J.S. as well. So is thc additional tarifl'would be borne by the buyer that is in the clock because ifyou have to bear that, then your margins witl get eroded. That's what...
Okay. I'll give you another -- again, I'll take back you to 100. So 100 plus, say exarrple,307, China is the tarifl'. So it becomes 130 frorn China.75%op|us25Yo tarifl'. Still we compete. right? Okay. So wc are still at 93.Rakesh Chopdar:
Vikash Singh:
N
AZA D\Y
Vikash Singh:
Rakesh Chopdar:
Vikash Singh:
Vishnu Malpani:
Rakesh Chopdar:
Vikash Singh:
Rakesh Chopdar:
Vishnu Malpani:
Moderator:
Pratik Dharmshi:
Understood, sir. Understood.
Got my point?
Yes, I got your point.
Just adding to Mr. Chopdar's point, also, it's important to note that our scope of production or manufacturing is FOB Hyderabad, right? So it works, and so that's why it does not impact us to that extent. And also, see, we need to understand that this is an ever-evolving situation for all parties in this ecosystem, right? So, so far, I think our deliveries are lined up perfectly for the

next few months and quarters, and we don't see any impact as of now.
No, there is no impact...
Noted, sir. Sir, my second question pertains to the Aero and Defense segment. Now that we have already 29Yoin the order book, you have a long-term plan oftaking itto 40yo. Sojust from the margin perspective, would aero and defense incremental share in the revenue will have a positive impact on the overall margin in the longer term? And how should we look this segment increasing on our working capital requirement as well?
Yes. So first of all, the product line what Azad is very differentiated. We don't do what this -- we do only the niche, right? As we spoke - I spoke earlier on the engineering. So we are the only company. We are the only company in India who's producing those engines. There's no competition to us today. It's 100% awarded to us. right?
So we don't go in such segments where we see a lot of competition or we participate in this kind of programs where we need to look at sometimes like if you talk about the Indian MoD, Ministry of Defense requirements coming up, we don't participate every, We parlicipate where we can value add, right? The engine is a nationwide project. It's a need of the hour. And we are contributing to such projects.
It's really, really appreciable for us to be there and keeping the growth in A&D in total. Likewise, in MOD, what we are doing in India is also in the global scale. We have only chosen the products which -- where we can really have a value add. So we are very secured in whatever margins we are adding while we take our orders. So that's also secured.
So I would just want to echo Mr. Chopdar's thoughts that the way we are estimating these components across sectors, we ensure that these are not margin dilutive i

n nature and the blended
margins of the business will remain consistent at 32o/o to 360/o.
We have our next question from the line of Pratik Dharmshi from Union Mutual Fund.
Many congratulations, Rakesh and tear.r.r. for a splendid set of numbers. A couple of clucstions fronr rrry side. On the product side, do we see in terms of new product introduction, is thcrc a

Rakesh Chopdar:
Pratik Dharmshi:

material scopc lor improving the wallct share and introducing a lot morc products lirr our custolrers whcre we can do more of R&D and get through with highcr sharo of thc wallet of thc cuslomers l'rom here? Or is winning new clients our goal basically? l-[ow should onc see it fl'om a slighf ly rnccliurn-tcrm poirrt olvicw?
Yes. Yes, good question. So as the products where Azad plays in are vel'y niche. okay? '['hat's very clear that it's very, vcry nichc and it's not easy tojust produce thcse cornponents. right? So it takes massive time to get the qualifications approval per product, pel I'amily, right? So if you talk about the wallet shale, firs1 ol all. rve are on average around 2oh -- l.5yo to 2olo o1' every cuslomer's r.vallet share Azad is holding today for the product line which we have already qualified and approved.
So one rvay, it's going to increase the wallet share from lo/oto2o/oto3ohto 5%, okay?'l'hat's one way in which the lacility is conring up. 'lhe other way to look at it is to what to add more to add more families in qualification and all. That's the second activity parallelly which is going on. rvhioh r.ve're just waiting for -- like that is a continuous process. That will never stop. 'l'hal's keep on going.
Only thing is to ramp up -- once you get approvals, you have to ramp up immediately. So that's why these facilities are coming up. So rve're very curious and very excited to close all the growth -- I mean, to close all the upcoming facilities to start the production ASAP
Got it. And when we hear likes of Boeing, Airbus talking about a lot of opportunities corning 1o our side of the world in terrns of their older backlog is completely full. 'I'hey want to rnove thc value chain outside the Western side. Considering the Iarge opportunity rvhich lies ahead o1'us in terms of catering the global clients as well, rnargin tra.jectory frorn what wc havc been guiding. lhat32%oto 35yo,36% band, as more and more niche and morc and morc aerospacc-rclated stull' would come through. trajectory-wise -- I'm not lalking about the next l or 2 years. but trajectory-wise, ideally, this band should go up. Is my understanding right? Or horv should onc see it?
Yes, yes. Prirnarily, again, Az.ad is conrponent rnanul'acturcrs lor the engines, components and assemhlies, right? Boeing and Airbus doesn't manufaclure engines. 'l'hey buy engines Iiom Rolls-Royce, {iom GE,, fi'om Pratt & Whitrrcy, from Safian. So our main focus is thesc companies. Also. we want to do a lot olbusiness with Boeing and Airbus. but not all. right?
Not all. and we would like to entcr in the niche segments also in Airbus and Boeing olgetting into the landing gear systems or something, which is again nichc. So again, thc primc focus stays with the engines where rve have already comrnitted, rve lrave already taken the responsibility ol' committing -- completing a lot ol'pro.jects in this coming next 2.3 quarters. And definitcly. as you rightly said, the massivc growth opportunity is already there. and we'll be going step by step.

We have our nexl qucstion lrom the line ol'Jayesh Shah fi'om Ohm Portfolio EqLri llescarch. Moderator:

Jayesh Shah:
Rakesh Chopdar:
Jayesh Shah:
Rakesh Chopdar:
Jayesh Shah:
Rakesh Chopdar:

My question is to Rakesh. And again, it's on the similar lines as the previous question. Based on your answer, do I really come to a conclusion that Azad will continue to operate in niche areas and perhaps ove

r time, will cap the customer wallet share to 4%o,5Yo to protect the margins?
Or Azad has ambitions to really grow with each customer and perhaps become a system integrator where the long-term margins may come up to 20%,25%. So I mean, at what point would you choose growth versus margins? And when would the trajectory change? Is that 5 years, l0 years down the line? Or what is it?
Okay. On a lighter note, what if we have both? Growth as well as...
That's an ideal scenario. We will be very happy to go wrong here.
So just for information, the contracts which are signed have already covered these both aspects, right? Here, we are saying 25%,30% growth, consistent growth with high margins, right? So these are already captured, covered, signed off. So that's a good news for everyone, right?
Right. Right. But when we have seen companies like -- global companies like Apple, Airbus, Boeing beyond a point, they do end up checking your bill ofmaterials and do really negotiate and come to some kind of a cost plus understanding because they become as meaningful for you as you become as meaningful for them.
Okay. So I'll tell you one thing. Now Mitsubishi, like -- okay, I'll not name a customer, but I'll say Japanese customer is placing an order. We know we arc 40%o to 50Yo cheaper, right? If they're spending $100 in Japan, we are at $40 to $50, right? We are -. while maintaining our EBITDA.
Would -- and I know -- and they know that we know they're paying $100, okay? Will they come and ask us, okay, reduce further? Rather, we can say, okay, you want me to increase the prices further.
So again, this is again on a lighter note, right? So I don't see any challenges. That's the transparency Azad maintains with all and enjoys the customers' attention that we are very transparent. They know everything about us. We know everything about them. So we don't -- I don't think we'il see any kind of such kind of thing of having this price thing. They may not challenge us or something like that, though everything is open.
And I think just adding to Mr. Chopdar's point, I think it's really about a balance that we are trying to strike. We do not want to compromise on our growth or our margins. We're trying to balance both of them simultaneously. If you look at our growth for the last 5 years between FY '21 to'25, we've grown at a CAGR of about 40%.
But if you look at our CAGR in terms of EBITDA, we have grown at upwards of 45%. If you look at our CAGR in PAT, we've grown at a CAGR of 600/o. So ultimately, for us, I think the

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Moderator:
Rakesh Roy:
Vishnu Malpani:
Rakesh Roy:
Vishnu Malpani:
Rakesh Roy:
Vishnu Malpani:
Rakesh Roy:
Vishnu Malpani:
Rakesh Roy:

focus has been to scale the business by improving our wallet share and keeping our margins intact or attempting to further improve margins. So we are on the same path.
We have our next question from the line of Rakesh Roy from Boring AMC.
Sir, I missed, sir. Sir, how much is our order book, sir, currently?
Sir, our order book is approximately INR6,000 crores.
Okay, INR6,000 crores. Sir, my next question regarding, sir, now oil and gas prices is coming down, do you see any decline in the future order inflow in oil and gas?

No, we don't. We see no impact because we -- yes, so we focus on a very niche segment, which is mission-critical and life critical. So these are essential components for the segment, and we don't see a demand drop there.
Okay. And defense business, we are mostly focused on aerospace. Do you see any new product addition for other like Army or Navy in near future, sir?
So I'd just like to slightly correct you. So we're not just an aerospace company, we are an energy, aerospace, defense, oil and gas. So we focus on each ofthese sectors equally. So that one, and we are adding a lot of products. So if you look at the way we are diversifring our business in product, 4 years ago, 90% of our product was airfoils in

energy.
So today, that business is about 75%. 25% in energy, we have diversified. Aerospace and defense, we are adding a lot of new products. Components, like we said in our previous call, we are also working on nation-pride contracts where we are looking at manufacturing and engine end-to-end. So a lot ofproducts have been added to our portfolio,
Okay. And sir, last question, sir, you have guiding for 25%o to 30yo revenue growth. So this growth will come from energy same like Ql, energy and oil and gas?
Sorry. Can you please repeat that question again?
Sir, for FY '26, you have guided 25%o to 307o revenue growth. So this growth will be supported by, again, like in Ql energy and oil and gas sector?
No, no. I think we are anticipating aerospace. So all of our segments shoutd be delivering one of the best performance in their history. So we anticipate aerospace also to grow significantly this year, including our energy and oil and gas business also. So each ofthese verticals will be contributing to phenomenal growth. And I think we should towards the end of this year, have record performance in each ofthese business segments.
We have our next question from the line of Manish Ostwal from Nirmal Bang Securities. Moderator:

Manish Ostwal:
Rakesh Chopdar:
Manish Ostwal:
Vishnu Malpani:
Manish Ostwal:
Vishnu Malpani:
Cood set of numbers. My question on your slide nurnber 25, where you meutioned that thc company has signed MOL.I with the -- for cxpansion into Saudi Arabia. So what are thc plans 1br that rnarket? What we have clonc so far? And in the rredium term. what wc can anticipate fitm...
Yes. So yes, this MOIJ was signed with Saudi government. 'l'his is fiom our custorr.)ers tvho arc already spending massive money there to do a localization program. And as I mentioned. our I'ocus right norv is tn come up with our orvn laoilities herc. And so those discussiotts arc going on, but we have put it in thc sccond priority fbr that. But definitely, we'll go there. but our primc focus is right norv to build all the factories hcre in this F-Y'26 currently in l.lyderabad here.
Okay.'lhe second question, sir. on the -- in terms oltechnical capability with respect to human resources, so how is the attrilion rate, how -- in the cornpany? And secondly, on a yearly basis, how rnuch money we are spending on R&D and the h'aining stufl'to increase the capability and improve the efficiency for the delivery ofour products?
Yes. So human capital, Ithink ilyou've noticecl the commcnlaly that Mr. Ronak.la.joo shared. we'vc added a lot ol'key lcaders irr our business. So today, our business is fully manned. I1'you arc looking at the key management people. all the senior management pcople thal wc'vc hired. We've onboardcd business leaders for each business segment as well. So last year, wc had senior lcaders from Mahindra, who had.joined us.
Senior leader ltom T'ata. who had.joined us, senior leader from another aorospacc olganization that has come on board. Mr. Murali Raju. he came on board from another largc precision manufacturing company. And this process is a continuous process fol' us. We are also hiring a lot of people in the middle management and lower management, and there is a dedicatcd training and development progran.r wherc cach of these indivicluals arc put to in-housc ancl then they arc cventually dcploycd on thc real proiccts.
So this is what we're doing from a lruman capital perspective. We don't spend a lot of money on R&l) because we are a build-to-print company. We have a leam which locuses on new product dcvelopmcnt, but we wouldn't call thern as R&D but NPD.
Okay. And the last poinl..just a small clarification. Is it right the compally was not taking orders because of capacity constraint. Now with the 8 facilities, we -- our order book will I'urther grow in a faster way. That is the right way 10...
No. I think that's a wrong statement because if we were not ta

king orders, we wouldn't -- our
order book to sales wouldn't bc 8 to 9x rvhat it is today. right? So we've always becn pro at taking

orders. But at the samc time, this is an industry where our comrnitrnent is valued. So we do nol go ahead and do it if we see challenges in terms of delivery. So rve've always been supportive ol'taking newer ordcrs, grorving in newel segments with our customers.
We have our next question fi'orn the line of Jainis Chheda fi'om Kernfln Fanrily Office. Moderator:

Jainis Chheda:
Vishnu Malpani:
Jainis Chheda:
Vishnu Malpani:
Moderator:
Maitri Shah:
Vishnu Malpani:
Maitri Shah:
Vishnu Malpani:
Moderator:
Kamlesh Bagmar:Azad Engineering Lim ited
August 05, 2025
Congrats on the great set of numbers. Sir. one question from my side in tcrrns of client addition. Il'you can give us what were the clients that rvere there as olMarch'25 -- as of Junc'25? And what are the new clients that rve are likely to add going forrvard considering the order book -- clarity that we have?
Yes. So we won't be ablc to shale a lot o1'customers that we would be adding, but I can tell you that we are in advanccd conversations with some ofthe sector leaders in each ofthese busincss segments thal we operate in. And in the next coming quarters, you should be able to see announcements that will give you rnore info on this.
I understand not naming it, bu1 can you justsharc a ballpark number, iI'that's possible'?
Sorry, we won't be able to share that.
We have our next question lrom the line of Maitri Shah from Sapphirc Capital.
Congrats on the great rcsults. And wc have a lot of capacity expansion happening. We're also introducing new products and the new pro.jects that we havc signed in. So our peak revcnuc capacity expectalion is about lNItl,000 crores. So do we expect to achieve that by FY'27? Is that a correct assumption?
Ma'am, the right way to think about this would be to take our guidance and do it because we are very confident of meeting our guidance and also delivering. You've secn our historical perfbrmance. We've always beaten the management guidancc. So we want to stick to it. But yes, we are working vely hard internally trying to push everything to beat our estirnates as wcl1.
And the INR6,000 crore order book untit what kind of tirnelines do we havc on that, il'thaf s possible?
So we are looking at developing this entire plant, and all the investments that we would do this ycar and the next couple of years. Wc anticipate all of this to get realized over the next 5 to (r years.
We have a next question from the line of Kamlesh Bagrnar from Lotus Asset Managers.
Just one question on the part of workforce. t,ike, if I see last year, we had I ,300 ernployces. And as of the quarter. it is 1,3 13. So where all we have seen these increase because it's.iust l% if I compare it year-over-year or cvcn quarter.
So thank you, Karnlesh Ji. So I think we are adding people acloss donrains. And some of'thc peoplc -- employees that get onboarded fbr us, which are on the lowest leg, so thel, 31c a parl ol the contract workcrs initiatly sometimes. And then once they are trained and ready to be deployed, then they move into a skilled workforce that we have. So that is generally thc model.Vishnu Malpani:

Kamlesh Bagmar:
Vishnu Malpani:
Moderator:
Balasubram anian:
Vishnu Malpani:
Balasu bramania n:
Vishnu Malpani:Azad Engineering Limited
August 05, 2025
But if you look at the top heads for us, all the positions are perfectly manned with respect to SBUs. So that's something that's happening, yes.
And lastly, like I believe 80-odd percent or you are not providing that how much is the U.S. share in our revenue. So if I assunre like roughly around 75-odd percent would be going to U.S. So how are we navigating rvith this tariff imposition? So is it like entirely it is taken up by the custorrcr? Or how are we procccding on thal? I'low are we navigating that particular issuc'/
Ycs. So Kamlesh Ji, I think trvo things. Our e

xposurc to LJ.S. is not70o/o. Por thc last 2 years.
it's been consistent at about approximately 40%. So one point is that. Second point, I think Rakesh Ji in his previous questions, tried to explain this. See, lor us, I think as o1'now. wo arc not secing any impact in our business. We are good to go. Our deliveries for thc next couplc ol months and quarters are lined up with absolutely no change in the way wo are doing business.
We have our next cluestion from the line of Balasubramanian fiom Arihant Capital Markets.
Congratulations lbr a good set ol'numbers. Sir, on the order book side, we have INR6,000 crores kind of order book. What's the mix of long-term contracts versus short-cycle orders?
So our order book is all in tenns of long-term contracts, et cetera, because our long-tcrnr contracts convert into purchase orders, right? So every purchase order that we have is a Iunction -- is corning out of the long-term contracts only. So if you want to know the split of long-terrr contracts, Rakcsh Ji mentioned it, but I will repeat it. It's about $400 million tbr encrgy. $200 million lbr aerospace and defense and about $100 million for approximately 1or oil and gas.
Okay, sir. Sir, ws are moving components to f'ull engine assemblies, especially 1'or G'l'ltlJ, gas turbinc engine projects. What's the margin implications and the scalabilily challengcs?
So we are not saying that we are moving. Wc are building capabitities in that department. See. thc current market fbr us in component manuflacturing, where we're doing mission and lif'e critical parts is extrenrely huge.
But for us to build a layer of capability in component manufucturing to assemblies and subassemblies is sornething that we are doing toclay. Because the moment rve cnter thal space. it enters -- it irr-rproves our targot addressable market to a really large extenl. So that is what rvc'rc doing, but that is molc fi'orn a capability development perspective today. tlut thc malket is significantly large on the component manufacturing piece that rve are today doing. So we want to keep lbcusing on that and improving our wallet share, while al the samc time. we kccp building capabilities in moving up the value chain for manufacturing.
Okay, sir. Sir, on that export sidc, we have more than 90oZ of revenue and the segment sidc also like energy gas, these things are more than 807o ofrevcnuc. IIow do you look at thc cxports and the segrnent side, whether we 'll rraintain same kind of share? Or like is there any plans to re ducc it to focus on other sectors?Balasubraman ian:

Vishnu Malpani:
Moderator:
Nitiksha:
Rakesh Chopdar:
Nitiksha:
Rakesh Chopdar:
Nitiksha:
Rakesh Chopdar:
Moderator:
Tejas:
Rakesh Chopdar:
So I think we are not looking at reduction fiom any perspectivc. I think our busincss modcl is prctty slraightfbrward because wc work with largely global OE,Ms, that's why our busincss is export oriented, and that should continue fbr the longcr period.
We have our next question from the line of Nitiksha from Anvil Capital.
Congratulations, sir, on a great set ofnumbers. Ijust wanted to unclerstand, sir, as you ntentiorrccl, we are a build-to-print cornpany. ln general, we havc seen that build-to-print companies have lower margins, sometimes like lorv single digits. So how do wc distinguish ourselves for a B'l-P company to havc such good set ofmargins, sir?
Cood question. But again, what we have been telling is we operate in niche. So that's exactly when we say it's niche, everything is mission backed, right? And when we say we are thc only one company for maior of the components r-nanufacturing in the counlry, that means there is nothing called rvhat evely -- it's not a normal business. 'fhey are 3D components, 3-dimensional components, right? So it's not easy to manufacture thern. And it's more of a process errgincering what we do on the 11oor, and this is where we generate the rnargins from.
Okay. So the technology i

s provided by the customers, right?
No, no, rra'am. No. it's all in-house. It's the teanrwork what we do here.
Okay. Because generally BTP, the technology and everything is provided by thc customers. that's why the margins are lower. And in build-to-spec, it is more the process is innovatcd lrom our end. So then where do we fit in actuallv?
Correct, ma'am. It's a very long story. I request yoLr -- I invite you to the facility herc. You would -- I would like to demonstrate how rve do this. It's a very long story.
We have our next question lronr the line of T'e-jas Mehta fi'om Norwest.
Congratulations on a great set of numbers. One quick question. Between Q4 FY '25 and Ql FY '26, lhe aero revenue just had a slight dip. What would you attribute this to? Would this rnainly

bc cyclicality that you see along the quarters?
Yes. See, the first thing what I would like to rnention is we have a lot of families of cornponents per OEM, per segment, per paft rrumber, right? So there is a cycle o1'qualillcations and there's a cycle of -- after you quali|, you get approvals and then you add capacity and then you start doing the revenue. So it's definitely -- there ale not one farrily. There are many farnilies of many OE,Ms, which are falling in the pipeline, in the queue, right?
So unless you don't qualil'y. don't get approvals, you can't generate much revenue. So that's thc cycle. 1-hal's the process. So this is not that rve have declined somewhere or it's not that we havc

Vishnu Malpani:
Tejas Mehta:
Moderator:
Rakesh Chopdar:
Vishnu Malpani:
Murali K. Bhupatiraju:
Moderator:
not grown in that. Definitely, there is a lot of qualification parts on the floor there. That's very understood. However, the capacities what we are increasing is not just for one segment, right? So we are going in energy, we are going in aero, we are going in defense, we are going in oil and gas. So all the four simultaneous capacities are getting increased. So definitely, I would say that there is - there are a lot of parts which are under qualifications and qualifications don't generate much revenue. And if you don't qualiff, don't get approval, you may not generate revenue. So it's a cycle.
Yes. Having said that, just to add to Mr. Chopdar's point. So there's no -- so I wouldn't call it decline if the number has gone down by a few crores, I wouldn't call it decline. I think the right way to look at the segment, which is aerospace and defense, I would suggest please look at, say, our overall number, when you look at it over a period, when you look at our numbers for, say, Hl or when you look at our numbers for the full financial year, you will see that this vertical would demonstrate one of the best growth segments for this year. We don't see any challenge from that perspective.
Appreciate the robust growth demonstrated in the past.
This will be the last question for today. And I now hand the conference over to the management for closing comments.
Well, thank you so much. Thank you, everyone, for the time you guys have spent over the last I hour, and we appreciate your suppol't, and we appreciate your insightful feedback. And they're most welcome. Please keep giving us feedback so that we can deliver -- we can perform much better. Thank you so much.
Thank you. Thanks, everyone. Thanks, everyone, for your support.
Thanks a lot for your support.
Thank you. On behalfofAzad Engineering Limited, that concludes this conference. Thank you forjoining us, and you may now disconnect your lines.

Call: Nov 2025

November 8, 202 5

To,
The Listing Department
BSE Limited
Department of Corporate Affairs
Phiroze Jeejeebhoy Towers, Dalal Street
Mumbai, Maharashtra - 400 001 To,
The Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, Plot No. C/1, G Block
Bandra -Kurla Complex, Bandra (E)
Mumbai, Maharashtra - 400 051

Dear Sir/Ma dam,

Subject : Transcript of the Earnings conference call organized on November 3, 2025 .
Reference : ISIN - INE02IJ01035; Scrip Id -544061; Scrip Code -AZAD

Referring to our letter dated November 3 , 2025, we are enclosing herewith the Transcript of the Earnings Conference Call organized on November 3 , 2025, post declaration of the Unaudited Financial Results of the Company for the 2nd quarter and half year ended September 30, 2025 .

Please take the information on record.

Thanking you,

Yours truly,

For Azad Engineering Limited

Ful Kumar Gautam
Company Secretary & Compliance Officer
Membership No.: F13688

Encl.: As above

"Azad Engineering Limited
Q2 H1 FY'2 6 Earnings Conference Call"
November 03, 202 5

E&OE: This transcript is edited for factual errors. ln case of discrepancy, the audio recordings uploaded on the stock exchange on November 03, 2025, will prevail.

MANAGEMENT : MR. RAKESH CHOPDAR – CHAIRMAN AND CHIEF EXECUTIVE OFFICER – AZAD ENGINEERING LIMITED
MR. MURALI KRISHNA BHUPATIRAJU – MANAGING DIRECTOR – AZAD ENGINEERING LIMITED
MR. VISHNU MALPANI – WHOLE -TIME DIRECTOR -- AZAD ENGINEERING LIMITED
MR. RONAK JAJOO – CHIEF FINANCIAL OFFICER -- AZAD ENGINEERING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Azad Engineering Limited Q2 and H1FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should

you need assistance during the conference call, please signal an operator by pressing star then 0 on your touch -tone phone. Please note, this conference is being recorded.
Before we begin, a brief disclaimer. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. The statements are not the guarantees of the future performance and involve ris ks and uncertainties that are difficult to predict.
I now hand the conference over to Mr. Rakesh Chopdar, Chairman and Chief Executive Officer. Thank you, and over to you, sir.
Rakesh Chopdar: Thank you. Good morning and seasons greeting to everyone. Welcome, and thank you for joining us today for the Q2 and H1 FY '26 earnings call. On this call, we are joined by Mr. Murali Krishna, Managing Director; Mr. Vishnu Malpani, Whole -Time Director; Mr. Ronak Jajoo, CFO; and SGA, our Investor Relations Advis or.
The results and presentations are uploaded on the stock exchange and on the company's website. I hope everybody had a chance to look at it.
In Q2 and H1 FY '26, our performance has been financially assertive and strategically pivotal, driven by robust order inflows and progress on our planned capex , setting a strong foundation for sustained growth and long -term value creation.
Financially, this has been our best ever quarterly and half -yearly performance with Q2 FY '26 revenues reaching to INR143 crores, up year -on-year by 28.1%. Our reported EBITDA margins improved from 35.7% in Q2 FY '25 to 36% in Q2 FY '26, while the PAT margin increased from 18.9% to 23.1% during the same period last year.
Looking at our half -yearly performance, we reported a revenue of INR277 crores in H1 FY '26 compared to INR210 crores in H1 FY '25. Reported EBITDA margin was 36 .0%, while PAT margin was 22.7%. On the business front, we are steadily advancing with our capex plans.
We recently inaugurated one of a new lean manufacturing facility for Siemens at our Hyderabad plant. This state -of-the-art facility will support and supply of highly engineered complex rotating and stationary airfoils , along with critical components of assemblies and assemblies for advanced gas, industrial and thermal float turbine engines.
Through this expansion, we aim to meet Siemens Energy's global demand in the power generation and essential industrial sectors. With this, we now have three dedicated lean factories inaugurated at the new site.
Our plant expansion is underpinned by a robust order book, reflecting the deep trust our customers place in us and reaffirming the consistent value we deliver through precision engineering and innovation. Looking ahead, we see opportunities emerging within the

indigenous engine manufacturing ecosystem as a key part of the global supply chain serving major engine manufacturers.
We are well-positioned to capitalize on the government's push for indigenization, particularly through co -production and co -development programs for engines powering the other platforms.
With production at our new facilities steadily ramping up, we anticipate a significantly str onger performance in the second half of FY '26 and remain confident in achieving as projected 25% to 30% top line growth for the year.
Now I hand over the call to Mr. Murali Krishna Bhupatiraju, our Managing Director.
Murali Krishna B.: Thank you, Mr. Rakesh Chopdar.
Over the years, our strength in engineering, innovation and advanced manufacturing processes has enabled us to build deep and long -lasting partnerships with our key customers.
These partnerships have transformed into repeat business, long -t

erm contracts and strong
revenue visibility, reflecting the confidence of our customers place in Azad's capabilities. Our success is deeply rooted in the trust and collaboration we share with our OEM partners.
This quarter, we achieved several important milestones. First, with Mitsubishi, we received a Phase 2 of the contract to supply highly engineered complex rotating and stationary airfoils for advanced gas and thermal power turbine engines. With this expansi on, the combined contract value with MHI now stands at INR1,387 crores, a strong testament to our technical excellence, our growing strategic relationship with the company.
Second, we inaugurated a dedicated facility for our client, as pointed out by Mr. Chopdar. Third, among others, we signed a memorandum of understanding with Safran Aircraft Engines, making our first long -term collaboration with this global leader.

This agreement sets the framework for cooperation in developing critical rotating engine components for strategic defence platforms. This is an important step forward in strengthening India's aerospace ecosystem and reinforcing our position as a trusted partner in global supply chains.
Our long -standing client relationships, deep industry insight and expanding manufacturing capabilities continue to drive both repeat business and new orders.
With that, I now hand the call over to Mr. Vishnu Malpani, our whole -time Director, to discuss.
Vishnu Malpani: Thank you. Mr. Murali Krishna, for the update. Good day, everyone. My name is Vishnu Malpani, and I will share some operational insights and business insights about the recent quarter.

This quarter has been a defining one for Azad. We've delivered our highest ever half -yearly and quarterly performance , setting new benchmarks, not just in growth, but profitability and execution excellence as well. Our focus remains very, very clear. We want to build a future - ready Azad across all business segments that we are operating in, energy, aerospace and defence and oil and gas.
Each one of our segments is seeing strong tailwinds and Azad is positioned not just to participate , but to lead our journey in these sectors. In energy, like Mr. Murali Krishna mentioned about the recent contracts that we've signed with our global OEMs, we continue to strengthen our partnerships and scale our capabilities to meet rising demand.
In aerospace and defence , along with the other initiatives, we've recently signed an MOU with Safran, which also gives the business opportunity to grow on the engine manufacturing side and affirms our credibility on the global stage. And in oil and gas, our precision components a nd qualifications continue to play a vital role for our growth of the future.
Now I will take a moment to zoom into our stand -alone segment -wise business performance.
The Energy and Oil and Gas segment contributed INR117 crores in quarter 2 of FY '26, accounting for 81%of our overall revenues.
On a half -yearly basis, the contribution to revenue from Energy and Oil and Gas reported 81.5% . With a strong order book from major OEMs, Mitsubishi, GE, Siemens, we remain optimistic about the growth of this segment for the longer term.
Turning to our Aerospace and Defence segment. This segment contributed 16.9% of our revenues for Q2 FY '26 at INR24 crores approximately, representing a 34% year -on-year growth. Our half -yearly performance reported an increase of about 30% as compared to H1 of FY '25. We anticipate healthy sustained growth in this segment in the years ahead.
I'm also pleased to share that Azad VTC Private Limited, our subsidiary has achieved NADCAP accreditation for coatings. This prestigious certification validates our commitment to meet the aerospace and defence industry's most stringent quality standards and positions Azad and its subsidiaries on the qualif

ied manufacturers list.
We are gearing up to capture opportunities across our business segments by setting a strong foundation for the next phase of innovation with our upcoming center of excellence. We are investing in technology, talent and capacity, the foundations that will d efine the next phase of Azad's journey. Azad's story is one of precision performance and purpose, and we are just getting started.
Thank you. I will now hand the call to Mr. Ronak Jajoo, our Chief Financial Officer, to talk about our financial performance in detail. Thank you.

Ronak Jajoo: Thank you, Vishnu. We are pleased to present the outstanding performance for quarter 2 FY '26 and first half of FY '26, making a record breakthrough quarter and H1. Let me take you through the quarterly highlights for quarter 2 FY '26.
On revenue side, we have achieved the highest ever quarterly revenue of INR142.67 crores, reflecting a robust market demand and successful execution of our growth road map. On EBITDA and EBITDA margin side, EBITDA stood at INR51.36 crores with EBITDA margin of 36.02%.
The margin stabilized indicates effective cost control and amid operational expenses. Taking you a bit deep into the cost dynamics. Raw material consumption has reduced during this particular quarter because of onboarding of domestic suppliers and enhancing our supply chain excellence.

Employee cost experienced a slight uptick driven by ongoing expansion efforts and the strengthening of our management team.

Other income increased mainly due to interest income on fixed deposits from the unspent QIP funds contributing positively to the bottom line. Profitability, net profit stood at INR33 crores, showcasing a 57% increase compared to INR21 crores in quarter 2 FY '25, this emphasis our improved operational efficiency and revenue growth.

Let me take you through half yearly numbers. In H1 FY '26 revenue growth. The revenue from operation rose to INR277 crores, making a 32.1% increase over H1 FY '25. Profitability enhancement. EBITDA margin it has improved to 36% from 34.71% in H1 FY '25, driven by better cost management and optimized consumption.

PAT growth, a remarkable 65%, underscoring our financial strength and capacity to scale. On the working capital side, receivable and inventory level are in line with FY '25 based on annualized data. Let me take you through our last discussion on working ca pital initiative.

On the supply chain side, we are progressing well on establishing a robust supply chain to facilitate raw material sourcing via our distribution network. The initiative aims to resolve the minimum order quantity challenge, improve procurement agility and e nsure timely availability of raw materials with lower inventory cycle. This should be start from quarter 4 of this particular year, and we will update more once we move during the quarter 3 FY '26.

This is all from my side now, and would like to open the floor for question -and-answers. Thanks a lot.

Moderator: The first question is from the line of Amit Dixit from Goldman.

Amit Dixit: So, first of all, congratulations for a good set of numbers and sustained good performance. A couple of questions from my side. The first one is on -- if I look at the gross margin, so

consumption expenses as a percentage of revenue have been going down quarter -on-quarter, year-on-year.

In prepared remarks, you have mentioned that due to the efficient cost, I mean, negotiations and domestic suppliers, this ha s gone down. So just wanted to understand, a, if you can explain a little bit more on domestic sourcing and price negotiation. Also, how much of it is sustainable? I mean, whether we will see it further going down or this is pretty much at the level that we are seeing now? So that is my first que

stion.

Vishnu Malpani: Right. So thank you, Amitji, for the question. The response to this question is, this is our efforts to indigenize the supply chain. So , if you look at our working capital cycle, we have been constantly working because most of the raw material gets imported across our verticals. So there was an attempt that we were trying to do to work with our customers to indigenize raw material supply c hain in India.

And over the last few years, we've been able to do that with energy. So we've gotten Sunflag and Star Wire approved for a few grades, qualified for a few grades. And this reduction that you see is primarily a result of this. So this will only ensure us that we have a better control on the supply chain, and this should sustain for us.

Amit Dixit: Okay. Just a follow -up on this. Now since we are also seeing some of the companies coming up with aerospace -grade titanium and they are also getting qualified or in the process of getting qualified with the same set of suppliers. So do we expect that in ae rospace as well due to the indigenous procurement, we can see this further coming down in future?

Rakesh Chopdar: Hello Amitji, Rakesh this side. So the question on the super alloys, right? This is something quite tricky. Unless and otherwise, our OEMs agree to take that task of qualifying the supplier, we would love to buy the material domestic, but we are bound to g o through the process.

The OEM -- we should have a clearance from our OEM that we can buy the material from the local -- the indigenous material. So we are in talks with our OEMs so that we can propose these Indian mills and then we can see that. We look forward to it. We have f ull support. We would like to support that.

Amit Dixit: Great. The second one is essentially on Safran MOU, again, a big step, I would say. So does it mean that now we are qualified with all the -- sorry, I mean, we have an MOU/ contract with almost all the global manufacturers because I believe only Safran was missing from that list that you had.

So what does it mean for us in terms of domestic ecosystem? If we look at it, Safran is getting quite active procuring material for both the LEAP -1A, LEAP -1B engines. Also, Safran is one of the front runners for AMCA engine program. So how do we see this g oing forward with Safran?

And the part B of the question is that with AMCA now getting in traction, do you see our parts getting supplied over there? I mean, basically, your involvement in the domestic engine ecosystem?
Rakesh Chopdar: Okay. So on the Safran, yes, this is the first relationship kicked off with Safran. And as everyone is aware, Amitji, that Azad is specialized in the finish of the engines, the rotating and stationary components. And if you try to see getting the recogniti on from these large OEMs, so the first OEM which we could break in was the Rolls -Royce.
We got into both commercial as well as the defence engine programs. And that thing, we initiated the discussion initially. We had an assessment. We signed MOU, then we -- technical assessment happened and then we got into the contract. So this is a basic step which everyone has to follow.
So with Safran, this is the second step. The assessment is done and MOU is signed. And definitely, this is one of big breakthrough, which is going to get ultimately turned into a contract. Right? That's with Safran.
And there's one more OEM, which we are expecting very soon for a similar part, the pattern which we would like to get into. So as you rightly said, all the major OEMs, we should have it very shortly.
Amit Dixit: Okay. And the involvement in the domestic engine ecosystem?
Rakesh Chopdar: Sorry, yes. So yes, you're right. We are in discussions with a couple of OEMs for sure, for particularly the project you mentioned. And we are having very advanced discuss

ions, which we
are very hopeful to get into -- we are already engaged with them, to b e honest with you, we already engaged with them.
And I think the way it will go because it's not really sure, it's the engine with AMCA has gone to Safran or Rolls -Royce or we are not sure. And either ways, all the OEMs are with us. It doesn't matter wherever it goes for Azad's prospective for AMCA, whet her it's Safran or Rolls -Royce or anyone else, we are there in the race with all the 4 OEMs.
Amit Dixit: Great. That's nice to know. Just a follow -up on this, sir. This Safran MOU, you mentioned that the assessment has happened. So typically, how much time it will take for you to get the final contract?
Rakesh Chopdar: Very soon, Amitji, very soon, not only with Safran, other OEMs also, you will come to know very soon about more details as this is a defence application program. So I cannot speak much on this.
Moderator: The next question is from the line of Jai Chauhan from Trinetra Asset Managers.

Jai Chauhan: So, sir, I have a question regarding the growth strategy and the ramp -up of the new facilities. Like in the FY '24 earnings call, management has guided that FY '26 would be a big shift and an inflection point for revenue growth.
And more recently, in the Q4 FY '25 and Q1 FY '26 calls, the commentary has shifted to describing FY '26 as years of stabilization, consolidation. So with the ramp -up being -- and with the ramp -up being challenging and shift expected after this stabilization is complete. So could you help us reconcile this change?
Rakesh Chopdar: Yes. Jai, I think we are very consistent in the guidance what we are giving, and we are very consistent in the achievements what we are achieving versus the guidance. And if you see the last not one, two, you can see many quarters. And the guidance versus the achievements are definitely matching.
Now coming to the growth trajectory, it's just December '23 is we have done the IPO. And technically, it's been hardly 17, 18 months, we have the fund and the amount of what's been happening on trying to build these facilities, okay, the facilities which w e are building are massive. They are not something small like we add 5 machines, 10 machine or 50 machines. That facility is coming what we are, to be honest, is 10x what we are in.
So, if we try to just build the infrastructure of 500,000 to 600,000 square feet, that itself takes not less than -- if you go super speed, not less than 2 to 3 years. But we appreciate -- I appreciate my team, which is parallelly taking care of the existing growth, parallelly taking care of the machines and planning, parallelly taking care of the constructions of the facilities. And this is a huge amount of work which happens.
And if I talk about the time line, I think the team has done a great job in such a short time, they inaugurated three facilities and stabilizing them, getting the machines inside, arranging the manpower. And we are not talking about two-digit things. We're all talking three digit.
If you talk about manpower or square feet or the construction or the machines and everything is an important stuff where we have to find the logistics, the 5 -axis machines, the training program.

And it's not -- it's a big marathon task, which is happening.
So in this context, we would say we are struggling at the moment to manage the growth, to manage the facilities, to manage the customers, to manage the contracts, quite a job. That's the reason we mentioned that the team is doing a great, great, great job.
So the stabilization means all these activities as these are all -- it doesn't continue all long. Once for all the factories will be done, once for all the machines will come and then we finish up and then we go ahead with the productions and then we call, okay, we are now stabilized.

Jai Chauhan: Understood, sir. Makes sense. So is it fair to say that full nonlinear growth impact from the new capacity is now more of an FY '27 story with FY '26 being, year focused on commissioning of this new dedicated lean factories?
Rakesh Chopdar: Yes. So , Jai, this is not -- again, this is a parallel activity going on. Whatever value -add creation happens, it's just supporting -- it's just supporting the stresses, which is being made within the team where we all are working 24/7 to stabilize the new facilit y, to stabilize the existing growth, to stabilize the existing facility here, right? So everything is going in parallel.
That's a beautiful planning happened in Azad. In such a short time, I request you to please visit us and then you can imagine the amount of work being done, and it is substantially great. We are building one of the world's best Best factory, the most innovation center you can see highly -- you will see some great technology under the roof built in such a short time, which is really, really remarkable. So I request you to please visit our new facility. You will have an idea what I'm speaking.
Jai Chauhan: Sure, sir. We'll definitely try to set it up after this call. And sir, I have one more question on the contract part. So you have mentioned the margins are largely stable due to long -term contracts and fixed pricing with customers, but you have some exposu re like to high -value alloys and foreign exchange fluctuations. So how does the company mitigate this raw material price volatility and currency risk? And is there any clauses or hedging mechanisms in place to protect.
Rakesh Chopdar: So if you notice Azad's exports are 95% -- 94%, 95% and so hence, we have a natural hedge, okay? The inflows and outflows are natural hedge. And it's been years we have been working in this and 90% plus was always Azad's revenue was exports, right, from in ception. So today, we can say 93.9%, to be precise, is exports. So the risk of that factory is always covered and it is covered.
Jai Chauhan: So sir, this is for foreign exchange fluctuations.
Rakesh Chopdar: Yes.
Jai Chauhan: But for the fluctuation in the raw material prices, do we have any clause for the sale?
Rakesh Chopdar: Yes, we have. We have. So as I mentioned to Amitji also, he was the last question that we have approved sources from our OEMs. So we are only supposed to buy raw material from their approved sources. So when the price agreement happens, it is a tri -party price agreement, right? So we have no choice. We have to go to the only supplier they send us, correct? So they can dictate terms.
So what we show is, okay, this is, say example, $10 or $1 a kilo price is fixed and the contracts are long term and we see a 5 year, 7 years contract. So what we do is we have a cap of 5% fluctuation. A 5% fluctuation, we write them, we tell them Azad is g oing to bear the 5%, absorb

5% fluctuation plus or minus, we'll do it. Above that, either you increase the price or ask your supplier to reduce the price. So that's also covered.
Jai Chauhan: Understood, sir. Understood. And sir, also, like since you have long -term contracts with global OEMs, do these contracts include any termination or cancellation clauses as we invest a lot in our capex and we have a huge risk there. So is there any safeguard or lock -in mechanisms?
Rakesh Chopdar: Every contract has that. Every contract has you know, that we can cancel. So if you don't perform, definitely, they can cancel the contract, right? Yes. So these are very standard contracts, which are favouring both of them.
It's a win -win situation for both. And we are talking with the large OEMs. There are some companies which we see every day, okay? We -- if you see our customer base, they are like very reputed com

panies, right? So , they honor and we also honor what they do to an extent. It's not new to us now, right? So we have some history with every OEM, and they have their own

experience.
Jai Chauhan: Understood, sir. And sir, one on the product side. We are mostly in the compressor airfoils, you would say, right? And the company is part of --.
Rakesh Chopdar: Not exactly. We started with that. Now we have expanded our portfolio in and around the entire engine. So compressor, combustion, exhaust, we are there everywhere.
Jai Chauhan: So because I think we are not in single crystal blades, right, which is in the Stage 1 of the...
Rakesh Chopdar: No, not yet
Moderator: The next question is from the line of Vikash Singh from ICICI Securities.
Vikash Singh: Congrat ulations on a good set of number. Sir, now that we have now three dedicated plant to our three biggest clients, I just wanted to under how much more business opportunities we can actually get from them considering our existing production portfolio and as well as -- or we need to increase the approval process for the more number of parts to get the b usiness higher from them on a steady state annual basis perspective, I'm talking about.
Vishnu Malpani: Yes. Thank you, Vikashji, for the question. So if you look at our wallet share with respect to our customer spend, whether it is energy, aerospace and defence and oil and gas, we are at about 1%, 1.5% of where if we could be. So our wallet share is only about 1.5%. So the headroom for growth is definitely massive which is also visible in the contracts that we're signing, right? So if you look at Mitsubishi, we signed Phase 1 of the contract in November 2024. and then we inaugurated the facility in March 2025. And then now just a few weeks ago, we signed Phase 2 of that contract. This is a clear sign that the demand for the produc ts that Azad is making is very, very high, and this should continue for a longer period.

So when we talk about our growth guidance and when our Chairman spoke about growth guidance of 25% to 30%, that is taking into account the massive demand that we see across each of our customers. And one of the reasons we are building dedicated plants is b ecause each of these customers can take us to the consolidated revenues that we are delivering as a business over time.
Vikash Singh: Noted. And sir, the se plants that you have commissioned right now, so can you just give us the peak utilization time lines for the already existing commissioned plant and the next three or four sheds which are -- would be coming?
Vishnu Malpani: So this is something that's happening in parallel, right? So while the existing facilities that have been inaugurated are getting operational and the facility that has been operational is ramping up production. So our sense is that over the next about 12 m onths, we would want to finish the entire plant in terms of construction, including move our manpower base to there. We are building a housing colony for our employees so that we are able to stabilize operations there. So in about 12 months, infrastructure should be up and running. And then slowly after that, you will see each of the plant reaching its max capacity, right? But this should happen progressively.
Vikash Singh: So should we take 18 to 24 months as a peak utilization for the new plant?
Vishnu Malpani: I would urge you to look at it from a revenue guidance perspective and not from a utilization perspective. So I would urge you to think of our business from that and look at 30% -- 25% to 30% growth year -on-year across our segments and then you'll be able to derive it, which is very, very good, right? So -- and we've maintained the guidance. We've beaten our guidance. So don't look at it from a utilization of capacity perspective, look at it from this perspective, otherwise,

because we are working on different product lines, different machines. So if you look at it from a utilization perspective, it may not give you the correct direction, but look at it from a revenue guidance that we've shared with you.
Vikash Singh: Noted. And any update on this for -- your forging plant basically?
Vishnu Malpani: I'm sorry, can you repeat that again?
Vikash Singh: Any update on that forging plant basically?
Vishnu Malpani: So yes. So out of the sheds that we've inaugurated factories that we've inaugurated for customers, there were 3 factories, one for Siemens, Mitsubishi and one for GE Steam. We've also had our forging plant, which is already in operation partly. So we are s etting that up. And while the other plants get operational, this should also come up.

So there are a few equipment that have been installed, deployed and are running and the others are work -in-progress. See, we are trying to -- it is important that everybody appreciates that this

is a very complex project management exercise, right? Mr. Cho pdar touched upon it. We are building factories which are 10x the size.
We are deploying machines which are equivalent to what we have. We are hiring people, training them, ensuring that our machines are not idle. And all of this have to move parallelly while we have to grow at 30%, 35%, we have to not compromise on our margins. So this was a pretty complex project management, and I think we should credit Azad's vision and execution for it.
So I would say that we are on target to achieve all the operational milestones that we have for the business. And this is massive, right? You've seen the facility firsthand to see the scale that we are looking at.
Moderator: The next question is from the line of Rakesh Roy from Boring AMC , Omkara Capital.
Rakesh Roy: My first question is regarding your Siemens plant. This is the Siemens plant that you have already completed .
Moderator: Sorry to interrupt, sir. Your voice is cracking.
Rakesh Roy: My first question is related to the Siemens plant. As you mentioned, your Siemens plant is already completed. So can we expect number from Q4 or Q1 next year?
Vishnu Malpani: Thank you for your question. I think we attempted to address it in the last call as well -- in the last question as well. See, we are inaugurating plants, deploying machines and slowly ramping up production. So obviously, in the H2 of this year, there will be contribution that you will see.
But to what extent we'll be only able to talk about it in the next quarter, right?
Because the machines have -- are in the process of getting deployed and employees are being deployed in that. But we will hit our revenue guidance that we've spoken about. We've already delivered INR277 crores, and we are on -- if you look at our ARR, we are on an ARR of about INR577 crores today. So we should look at it, whether it comes out of the Siemens facility or the other dedicated facilities, we should hit our revenue guidance.
Rakesh Roy: Okay. Right. And regarding , sir, your Safran MOU, as you said, this is the first relationship with your company. So in what product we are going to make and how much time to take to validate our product?
Vishnu Malpani: Can you repeat that question again?
Rakesh Roy: Regarding Safran MOU, what product we are going to make and how much time it takes to validate the product from the Safran side?

Rakesh Chopdar: Actually, Safran is a defence division. So we can't reveal any more details on the -- as it's a defence project for Safran, it is a defence military engine. So we can't -- we are not supposed to speak to anything like that .
Rakesh Roy: Okay. And how much is time take to validate the product or same thing. Is it titanium or superalloy product , s

ir?
Rakesh Chopdar: We can't reveal anything. Sorry for this, but it is a defence thing, and we have signed an NDA with them.
Vishnu Malpani: See, I think the point -- so Mr. Rakesh, I think the point that you need to look at is, I think from an opportunity perspective, Azad today has relationship with all the engine -- aero engine manufacturers globally, right? And so that is important. And we are also, like we said, we operate in highly engineered and critical parts, which are mission and life critical. So we are going to be making critical parts for their platform.
So this is an opportunity that will obviously convert from MOU to contract, qualification, production and then ramp up. So this is the normal cycle of how every OEM's journey happens with a supplier like Azad. So it should follow the same thing.
Rakesh Chopdar: Another point I would like to add, please make a note on these engines. These engines are not an easy subject. These engines are the heart of an aircraft, whether it's a military or a civil. If these giants are signing up with Azad, definitely, it's a big validation. That's the key. That's the key.
Once these validations, it's a big validation of companies like Safran or Rolls -Royce coming in , working with Azad for these life critical components, it's one of a big thing. It's one of a big thing. And definitely, they find value in that. Definitely, they find the capability. That's the reason we are there in the picture.
So when we talk initially what you signed up and how much time it takes, this is not -- this is the point where this takes a lot of time -- it takes a lot of time to get these products in the engine. It doesn't just -- we have a contract and we just start supplying the parts like that because this business is different. They have a lot of qualifications in it. There are a lot of approvals involved in this. So it takes its own time.
So I request you, gentlemen, so please visit us, and we can show you more in detail.
Rakesh Roy: The last question, Mitsubishi second contract, as you said the total value is now INR1,387 crores.

So how much time to take this, complete this order? And any outlook for our figures.
Rakesh Chopdar: Right. It's a 5 -year contract. We have to finish this in 5 years.
Rakesh Roy: It's 5 -year contract. Or any idea to get third phase also from Mitsubishi?

Rakesh Chopdar: As we ramp up capacity, we are always open. As my colleague Vishnu mentioned, we are increasing our market share and this is evident that we are increasing our market share.
Moderator: The next question is from the line of Pratik from Union Mutual Funds.
Pratik: Many congratulations, Rakesh and the team for a stellar set of numbers. A couple of questions from my end. As we start commercializing our new capacities going ahead, maybe from next year onwards, do you reckon there can be a step -up to the revenue growth momentum, which we have already seen of 25%, 30%, which we have been guiding. Already first half has been north of 30%. With new capacities getting commercialized, do we sense a leg up in the revenue growth momentum going ahead?
Rakesh Chopdar: Yes, I think this is exactly -- thank you for your question. This is exactly we are telling. It's not a small thing we're attempting. It's evident of having a 10x capacity in less than 16 months. We can't expect that we can jump from day 1.
So that's the reason in the last con call also, I sa id and even in this, I say that FY '26 is key for stabilization. We need to stabilize first. We need to put things in place. We have signed up contracts. We have committed the customers.
So our focus should be more in stabilizing the factories, stabilizing the manpower machines, process because this is not something a normal 2 -axis, 3 -axis a lat he machine or something that we put up in somewhere. It's a 5 -a

xis machine, high technology and there are many, many processes involved.
As I mentioned every time that these products are not easy, they're life critical. So everything related to that stands to be very critical, right? We have to be very cautious in going ahead. So my humble request is FY '26 is where I can see that we will s tabilize. And I tell you, FY '26 stabilization is a great marathon task achieved in a very, very, very challenging short time. I can assure you that. It's not easy. Yes.
Pratik: Fair, fair. Totally agree with you. But once the things get stabilized, maybe a year down the line, there is a lot of scope, right, to accelerate our growth journey from being 25 %, 30% because the opportunities are humongous across sectors. Aerospace, defence in itself can grow materially over time. Or you would be comfortable with this 25%, 30% range over a medium term?
Vishnu Malpani: So, -- Vishnu Malpani here. So we'd urge to stick to the guidance that we're sharing, which is 25% to 30%. Like we have always done, we strive internally to beat our guidance. And internally, we are chasing higher numbers. But for everybody, I think 25% to 30% is the guidance that we'd want to stick to the near-term and medium -term.
Pratik: Got it. And on the margins front, as you mentioned, more and more indigenous stuff, which we are trying to do, which is helping our margins trajectory. Is there room further for margins to improve from here on or the...

Vishnu Malpani: No, we are already delivering 36% margin. So -- and I think we want to sustain that. And over time, I think as operational excellence kicks in, we'll have operating leverage that could further improve our EBITDA margin. See, one -off qualification cycle in our business is not capitalized. We expense out the qualification cycle. So we expect to improve our margins in the future. But right now, our focus is to sustain it and grow at 25% to 30%.
Moderator: The next question is from the line of Vishal from Bandhan AMC.
Vishal: A couple of questions. So could you update on the status of the engine development contract with GTRE DRDO?
Rakesh Chopdar: Thanks for asking a very nice question. Super excited. I would say first thing on your question, more than the deliveries, we all are super excited to get this first jet engine of India and being a very prestigious one, and we all are -- especially my full attention is on that. And I would tell you that we are going to deliver it very soon, in a couple of months more. We are going with stable on that, and we are on track to deliver that engine.
Vishal: Okay. Could we -- how have the trials been? I mean some of the milestones that you guys would have determined, are we meeting those milestones?
Rakesh Chopdar: No. The trial, the first two engines what we're delivering trial will happen within DRDO, okay? Post that, post -- because they will also have to stabilize, being the first engine, they will do their

trials in -house. And after that trials and everything is done, then we will shift the test bed in Azad.
Vishal: Okay. Okay. And...
Rakesh Chopdar: That’s what I -- that is what we are guessing. I think that is the process. However, once we will know from MOD only. We will not know now. So that's what we presume. This is what we are thinking that going forward, we may also have to do the testing. But let's see., let's first deliver the first two engines and then that's more key.
Vishal: Sure. So in terms of the milestones or the performance of the engine in terms of the thrust and other parameters that you would be monitoring. So is the -- at this stage, is the engine meeting those parameters, those milestones?
Rakesh Chopdar: No, no, no. It's too early, Vishal. That's all going to happen in DRDO, not here.
Vishal: Fair enough. Fair enough. And my other question is on working c

apital side. So when we say that we should see improvement in the second half, what will lead to this improvement in the second half?
Rakesh Chopdar: I think as mentioned previously also on the working capital, we -- again, we also include that in stabilizing for FY '26. That is also one of the key. And we have been telling right from the IPO

stage that this working capital is a point which we all need to address. And there are specific reasons behind that working capital, which we are addressing, and we are quite successful in solving a few of the issues. And FY '26, I think this also is going to be stabilized, and we are on track on that.
Vishal: Okay. And what are your capex plans for the next couple of years? How does that capex pan out '26, '27, '28?
Rakesh Chopdar: I think we are good with the fundraise what we have done and on track unless we see some more massive opportunity coming, every opportunity is massive here in Azad, right? So what we all -- I urge every investor, I urge every person like please allow FY '2 6 to go in a manner which we are very confident and we are on track, and I believe that we'll see some very nice journey going ahead.
Vishal: Okay. But in case you have specific plans in terms of if you can quantify the capex plans for this year and the next year, it will be helpful to me.
Rakesh Chopdar: At the moment, I think it's very difficult to quantify because we have we have already for FY '26, FY '27, the capex has already been ordered. And FY '28 also partially we have ordered. And going forward, the company will generate its own good enough cash so that we can balance the other requirements.
Moderator: Next question is from the line of Koushik from Ashika Group.
Koushik: Sir, I just wanted to -- on the follow -up question of the last previous question only. I just wanted to understand till date how much capex have we deployed and how much capex have we invested? So -- and with that investment, then what kind of the top line that we are able to see?
Vishnu Malpani: So thank you for the question. So I think if you look at the deployment in capex , we've deployed roughly about INR213 crores so far that has been deployed. But if you want to understand what is the kind of revenue potential that you will see basis the deployment, so you should look at our QIP raise of INR700 crores and look at the incremental asset turn that we are building for this business, which should be in the range of 1.7 to 1.8, right, and progressively taking it towards 2. So if you look at that deployment over the next few years, you should be able to understand what is the kind of revenue potential that the business would have with this deployment.
Koushik: Sir, please correct me. Am I right by assuming that 2,500 will be the total top line that we can achieve with the total capex that we are into?
Vishnu Malpani: I mean I would urge you to do the math yourself at 25% to 30% growth year -on-year from here and look at the asset turn deployment of INR700 crores at 1.7 x, 1.8x, and you will get the number. So I would not want to talk about what is the number because we are not giving any other guidance, but 25% to 30%, and you should be able to get your answer there.

Koushik: Got it.. Thanks for that. And second thing, sir, like also, there was another question on that, the GTRE engine part. So once we have this engine completely coming into our existence, what kind of orders that we can see or like what is this specifically mean to India as a country a nd what Azad will be getting benefit out of it completely?
Vishnu Malpani: Sir, this is a strategic defence contract.

Rakesh Chopdar: The first question, the answer I would give to this is I will feel very proud for the country, not for Azad bec

ause this is the need of hour -- of the country, of the jet engine, and we all should be happy. You all should feel proud once these engines get successful. And rest follows because it's a massive, massive breakthrough.
And we can't even quantify or imagine what could be the volume or what is the platform because these are all defence strategic platforms, which no one will know. But one thing is that we all should be happy and proud that we will develop our first jet engine.
Koushik: And then sir, post developing it, completely the production will happen in our own factory in Hyderabad?
Rakesh Chopdar: Own country in Azad.
Koushik: And how much value addition will be done?
Rakesh Chopdar: I think it's too early questions you're asking. As I mentioned, let's first test the engine and we all wait for the engine to successful, right? However, these numbers are not projected in our projections. So don't worry on that.
Moderator: The next question is from the line of Jainis Chheda from Kemfin Family Office.
Jainis Chheda: Congrats on the good set of numbers. Am I audible?
Moderator: Yes, sir.
Jainis Chheda: Yes. I just wanted to ask in terms of tariffs, if you can throw some light as to how are they affecting you, if at all? And what are the countermeasures that you are taking?
Vishnu Malpani: So, thank you for the question. I think we've addressed this before. Tariffs as a situation has been ever evolving either for both for our customers and for us. We haven't seen any impact or proactive communications that is changing any -- that is changing the way we are doing business today. Our deliveries have been lined up for the next 6 to 8 months and purchase orders are with us.
So, we are not seeing any change from that perspective, right? And you anyway know our price differential between Azad and the country. So we only compete with China, Japan, U.S. and other suppliers, and we are maintaining a very healthy pricing delta from that perspective, right?

And our product line is also very, very niche. So it's amongst the most critical components that are a part of these. So it's very difficult for an OEM that has spent the last 10, 15 years building the supply chain, getting products qualified to just move it because of some cost impact.
The decisions that OEMs take on these mission and life critical parts are not based on cost. It is important to note that. It's based on our ability to supply these or manufacture these parts. So we are not seeing any impact there, and we believe -- and th at's why we are very confident about the guidance, whether it is our revenue or margins, right? So we'll stick to that.
Jainis Chheda: We understand that. I think the same thing in the previous calls, you've said the same thing. My question was more to do with like , will it impact in terms of deliveries uncertain that it is very critical and will it impact margins in any sense ?
Vishnu Malpani: No it will not.
Jainis Chheda: It will not, right.
Vishnu Malpani: That's what I said. No, we don't see any impact on our deliveries or margins.
Jainis Chheda: Understood. And secondly, in terms of the upcoming lines, when are we expected to get more dedicated lines to get commercial?
Vishnu Malpani: I'm sorry, can you repeat that again?
Jainis Chheda: So there are 10 dedicated lines that you are developing, right? If my understanding is correct?
Vishnu Malpani: Sorry, no. So when you say dedicated lines, do you mean factories?
Jainis Chheda: Yes.
Vishnu Malpani: Yes. So we are building independent factories for our customers depending on the demand that we see for each one of them. So right now, we have done three , and you will see a few more coming up in the next few quarters.
Jainis Chheda: If you can give some ballpark numbers of how much -- how many more are we expecting?
Vishnu Mal

pani: I'm sorry, we won't be able to share that. But I can tell you that we see a few coming in the coming quarters.
Moderator: The next question is from the line of Nishant A garwal from Kohinoor Investments.
Nishant Agarwal : Sir, first, congratulations on a good set of numbers. And my question is that have we started the construction for the Phase 2 of our facility that is the second unit?

Vishnu Malpani: So Phase 2, we have not. So we want to complete Phase 1, then start building Phase 2. So this is in pipeline, right? So this is already lined up, but we would want to first finish the construction in the current boundary that we have, move it and then slowly move to Phase 2.
Nishant Agarwal : Okay. So the first phase we would be completing in the next 12 months?
Vishnu Malpani: Sorry?
Nishant Agarwal : The first phase...
Vishnu Malpani: Yes. So we will be complete -- so over the next 12 months, we should be completing Phase 1, right? And then post which Phase 2 will start. But any revenue guidance that we're giving over the next 3 to 4 years is not dependent on the second facility coming in.
Nishant Agarwal : Okay. Understood sir.
Vishnu Malpani: Yes. We are doing that because we see a massive demand, and that's why we'll be moving to Phase 2, but we don't see any impact on revenues with respect to Phase 2.
Nishant Agarwal : Okay. And the second contract that we have signed with Mitsubishi, the contract is also for 5 years. We have to complete it in 5 years ?
Vishnu Malpani: Yes.
Nishant Agarwal : Okay. And how are we on the Rolls -Royce aircraft engine component, what the order that we have got. So when are we going to start production for that?
Vishnu Malpani: So we are in the process of qualification. Next financial year, we'll start some deliveries.
Nishant Agarwal : Okay. Next financial year.
Vishnu Malpani: Yes.
Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question. I now hand over the conference over to the management for the closing comments.
Vishnu Malpani: So I'd like to thank everyone for joining the call and giving us your time. We're very happy to share that we've had a stunning quarter and half -yearly numbers and happy that we've addressed most of the queries that came in. Thank you so much. We are looki ng for an exciting H2 ahead. And we would -- in the next coming quarters, we would be talking more about how we are building and deploying capex and how we are able to talk about the newer contracts and execution. So we'll talk about that in Q3 as well. Thank you so much for joining.
Rakesh Chopdar: Thank you. Thanks everyone for joining.

Moderator: On behalf of Azad Engineering Limited, thank you for joining us, and you may now disconnect your line s.

Call: Feb 2026

AZAD
February 20,2026
To,
The Lishng Department
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Department of Corpolate Affairs
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Mumbai, Maharashtra - 400 001
Scrip Id-544061
Deal Sir/Madarn,
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aforesaid on youl lecord.
This is for your information and r.ecord.
Thanking you.
Youls truly,
For Azad Engineering Limited
G. Praneeth Abhishek
Company Secretary, Compliance Officer and Head Legal
Membership No.: A35583
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Scrip Code-AZAD
Subject: Transcript of the earnings conference call organized on February 14,2026.
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulatio,s, 2015 please fincl enclosed the transcript of the ealnings conference call con<lucted on Satuiclay,T4tr, February 2026 at 11:00 a.m. (IST).
The transcript of theearnings conference call is alsoavailable on website of
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"Azad Engineering Limited
Q3 FY '2 6 Earnings Conference Call"
February 14, 202 6
E&OE: This transcript is edited for factual errors. ln case of discrepancy, the audio recordings uploaded on the stock exchange on February 14 , 202 6, will prevail.

MANAGEMENT : MR. RAKESH CHOPDAR – CHAIRMAN AND CHIEF EXECUTIVE OFFICER – AZAD ENGINEERING LIMITED
MR. VISHNU MALPANI – WHOLE TIME DIRECTOR – AZAD ENGINEERING LIMITED
MR. RONAK JAJOO – CHIEF FINANCIAL OFFICER – AZAD ENGINEERING LIMITED
SGA, INVESTOR RELATIONS – AZAD ENGINEERING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Azad Engineering Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.
Before we begin, a brief disclaimer. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance, and it may involve risks and uncertainties that are difficult to predict.
I now hand the conference over to Mr. Rakesh Chopdar, Chief Executive Officer and Chairman. Thank you, and over to you, sir.
Rakesh Chopdar : Thank you. Good morning, everyone, and thank you for joining us for the Q3 and 9month FY '26 earnings call. I'm Rakesh Chopdar, Chairman and CEO of Azad Engineering Limited. On the call with me today are Mr. Vishnu Malpani, Whole -Time Director; and Mr. Ron ak Jajoo, our CFO. The results and investor presentations have been uploaded on the stock exchange and the company website. I hope everyone had the opportunity to review them.
Let me begin by saying that this quarter reflects disciplined execution across all fronts, revenue growth margin stability, new customer onboarding, contract expansion and steady progress on our capacity creation road map.
Let me talk about the performance overview. For Q3 FY '26, we reported revenue of INR155.8 crores, registering growth of over 31% year -on-year. EBITDA for the quarter stood at INR60.1 crores, registering growth of over 40.7% year -on-year. Profit after tax was INR34 crores, registering growth of over 40.1% year -on-year. Despite expansion -related costs and ongoing ramp up activities, margin remained strong and stable. This reflects operating discipline, product mix strength and execution consistency.
For 9 months FY '26, revenue has grown nearly 32% year -on-year. EBITDA and PAT have shown significant growth over last year. Importantly, our 9 -month profitability has already exceeded the full year of FY '25 level. This demonstrates the structural strengt h of our business model.
Our focus continues to remain on profit growth. We are not chasing scale at the cost of margins. Every growth initiative is aligned with long -term sustainability and value creation. Order book and customer engagement. Our order book remains strong at over INR6,500 crores plus, providing multiyear revenue visibility. Since listing, we have consistently grown our order book

quarter after quarter. This reflects increasing trust from global OEMs and the expansion of wallet share across both new and existing customers.
A key highlight this quarter is our engagement and contract progression with Safran and Pratt & Whitney for highly engineered critical rotating aerospace components. These partnerships are built over years of engineering validation, qualification and perfo rmance consistency. They represent high entry barriers and deep integration stickiness into customer programs.
Energy and oil and gas continue to contribute the majority of revenues. At the same time, aerospace and defence is steadily increasing its share and will play an increasingly important role over the medium term in creating a well -diversified business mix.
On the capacity expansion, as we have stated in previous calls, FY '26 is a year of stabilization. The new plants dedicated to GE, Mitsubishi, Siemens programs have been capitalized. Each plant is currently at a different stag

e and under -stabilization, qua lification of both facility and products while scheduling the customer demand. It is important to understand that stabilization in our industry is not immediate. Aerospace and energy components require stringent validation, certification and customer audi ts before full capacity utilization is achieved.
We expect stable operating levels by FY '27 and maximum utilization starts by FY '28. The capacity we are creating is substantial. These are not incremental expansions. We are building multifold scalable infrastructure designed to support long -term growth visibility already secured through firm contracts. Managing simultaneous construction, equipment commissioning, workforce training, certifications and deliveries is complex . However, our team has executed this phase with discipline and focus.
On the growth outlook, based on plant readiness, secured order book and customer demand visibility, we remain confident of achieving 25% plus revenue growth over the coming years.
FY '26 remains a transition year where stabilization efforts continue. The l arger operating

leverage benefits will be more visible from FY '27 onwards as capacity utilization improves. We are building capacity against firm contracts and long -cycle programs. There is no speculative expansion.
With that, I will now invite Mr. Vishnu Malpani to provide operational insights. Thank you.
Vishnu Malpani : Thank you, Chairman, for an insightful discussion on the quarter results. Now I'm Vishnu Malpani, Whole -Time Director of Azad Engineering. I will take you through some additional information of our operational performance this quarter.
From an operational perspective, Q3 and the 9 -month period have been about disciplined execution, like Chairman mentioned, and structured ramp -up. This also -- this quarter also represents our highest -ever quarterly and 9 monthly performance. We've deliver ed revenue growth across all our business segments.

During this quarter, our operational efforts have been focused on strengthening execution and discipline across the organization. We have continued to embed lean principles into our newly built facilities. These manufacturing facilities that have been desi gned with absolute precision around workflow -based layouts, monitoring systems and world -class infrastructure.
As our volumes build and operating leverage comes in, we will improve through natural fixed cost absorption and cycle time optimization. At the same time, we are also strengthening our supply chain reliability. We are seeking customer approvals and progres sively improving our domestic sourcing to improve agility and reduce our lead times, also helping us manage our working capital better. However, all such initiatives remain fully aligned with OEM qualification requirements, traceability, compliance and qu ality integrity remain non -negotiable.
Equally important has been for us to build capability, scaling infrastructure without scaling human resource or people is unsustainable. We've added in this financial year, skilled engineers, machinists, quality professionals across the organizations, across levels and training still remains an important part of our entire employee journey. Aerospace and energy manufacturing demand, repeat ability, documentation discipline and audit readiness, operational capability is therefore, a structural investment and not a tactical one.
From an operational standpoint, FY '26 remains a year of calibrated ramp -up. Stabilization will continue through the year. And by FY '27, we expect these facilities to start operating at stable levels, enabling stronger operating leverage.
Our approach remains measured. We're scaling against firm contracts, long -term revenue visibility. We are maintaining quality leadership and ensuring that our growth is both disciplined and

sustainable.
With this, I will now hand over the call to Mr. Ronak Jajoo, our Chief Financial Officer, to give us a quick overview on financials. Thank you. Over to you, Ronak.
Ronak Jajoo : Thank you, Vishnu. From a financial standpoint, quarter 3 and 9month '26 reflect both strong growth momentum and margin stability even as we continue to execute one of the largest capacity expansion in the history of the company.
Let me walk you through the key highlights of the results. For quarter 3 FY '26, revenue stood at INR155.8 crores, reflecting over 31% year -on-year growth . For the 9 -month period Revenue growth remained close to 32%, supported by the strong execution across energy program and steady scaling within the aerospace segment. Importantly, this growth is broad -based. It is not dependent on single customer, geography or a segment. That di versification provides resilience and visibility.
EBITDA for quarter 3 was INR60.1 crores. On a sequential basis, this represents growth of approximately 16.9%. And for the 9 -month period, EBITDA had grown by approximately

38.4% year -on-year basis. Despite the initial ramp -up cost associated with the new facility and higher depreciation from recent capitalization of assets, margins have remained stable. This stability reflects a combination of improved product mix, pricing d iscipline across long -term contracts and better absorption of the fixed overhead and ongoing supply chain optimizations.
As utilization level improve from FY '27 onwards, we remain confident our long -term EBITDA margin profile is in the range of 33% to 35% is sustainable over a longe st period of time. Profit after tax for quarter 3 stood at INR34 crores, reflecting a strong year -on-year growth. For 9 months '26, PAT has grew by 55% year -on-year basis, significantly outpaced revenue growth.
This is primarily driven by operating leverage, stable margin and interest income from fixed

deposits of QI P profits.
Notably, our 9 -month profitability has already exceeded full year FY '25 level as Chairman has explained. This enforced the exhaustivity of our operating platform. From a capital allocation perspective, capital deployment continue in line with our expansion road map. Every major investment is directly linked to the secured order visibility and long cycle customer programs. We are not building speculative or idle capa city. Each facility has defined demand backing it. At the same time, we remain financially d isciplined.
Balance sheet prudence remain a priority even as we support long -term growth. Given the strength of our order book, plant readiness, progressive stabilization and stable margin structure, we remain confident in delivering 25% -plus revenue growth over the c oming years with a sustainable margin in range of 33% to 35% at EBITDA levels. Our financial approach remain conservative in planning while enabling ambitious and disciplined operational executions.
Thank you. Now floor is open for question and answers.
Moderator: The first question is from the line of Vikash Singh from ICICI Securities.
Vikash Singh : Good Morning Sir, Congratulations on a very good set of numbers. Sir, my first question pertains to our next 4 sheds, which we are under commissioning. Could you give us the timeline ? And is there any more dedicated shed which we have already tied up with any OEMs at this point of time?
Rakesh Chopdar : Yes. So thank you for the question. Look, the facilities which are already inaugurated, right, so that -- when we say it's inaugurated, so the building is up, machines are in . And it's ready to start the production wise. But as I mentioned, before we even start the production, though like we were doing in our existing facility here, and the new facility requires a lot of the audits, if they have to reaudit the facility, there are certifications, va

lidations, that took -- that will take some time.
And as we finished with GE, Mitsubishi and Siemens, we have -- we are in progress and almost we are in the finishing stage. So as we finish the validations, we start the production. So not all

the floor happens together. So it goes with a few machines and a few product lines. And once they are approved, then the production starts.
So that's what we mentioned like it will be done by FY '26 stabilization. And FY '27, we can see that we can -- we can stabilize the operations and maximum utilization will start by FY '28. So it's a process. It's a process that we all have to follow.
Vikash Singh : Yes. Noted, sir. So sir, second question pertains to now we have tied up with Safran and there is a huge possibility of that Indian manufacturing ecosystem for Rafale to get developed in India. How do we see our wallet size with them? Is there any clear id ea which you can give? And effectively, given our capacity constraint is the main hurdle for the higher growth, do we -- expecting to now go for that 75,000 square feet third facility simultaneously? How should we look at your growth plans fro m here onwards now?
Rakesh Chopdar : Yes. If you speak -- if you talk especially about Safran, just to remind you, any of the OEMs which Azad is working today, it's not on the offset policy we work with them. We are a global supplier, right? So if Safran or GE or Mitsubishi or any OEM are giv ing business to Azad, that's not under obligation of the offset policy. We are a global supplier. So whatever requirement comes in, it goes to the global benchmark, right? So we will not know which country is using our product line and whic h country they are selling their engines.
However, now Safran coming to India, that gives an additional boost to Azad, companies like Azad, where we have extra benefits coming in. So Azad is playing global as well as we'll benefit from the obligations what Safran must be having of doing business i n India with the domestic suppliers. So this is nothing but a bonus. So that way, I would clarify, Azad is just not a domestic supplier, it's also a global supplier.
Vikash Singh : Noted, sir. And sir, lastly, on the development of that small engine, which you were doing, any update on the same?
Rakesh Chopdar : Yes, that's still under progress. We have finished, I think, good progress. We are around 70%, 75%. We are -- as you ask me the progress scale, we are around 75% on that.
Vikash Singh : And by when you can expect the 100% ?
Rakesh Chopdar : We are planning very soon. I mean, a couple of months, I think we should be able to be positioned to deliver the engine.
Moderator: The next question is from the line of Amit Dixit from Goldman Sachs.
Amit Dixit : Good morning, everyone Congratulations for a very good set of numbers on all the fronts. A couple of questions from my side. Now if we see the overall ecosystem, I mean, Mitsubishi, GE, all are raising their guidance on energy front. Safran reported a couple of days back, again, a very good set of numbers and increase in guidance. Even some of your peers like Arrow Edge,

for example, has given -- has increased its guidance on the L EAP engine -- LEAP components delivery?

So in this context, I mean, how do you see the traction in your line of business since we are -- also now we have a foothold in most of these key accounts. So how do you see actually these foreign OEMs kind of coming to you, the engagement with them, has i t increased?

And in that sense, I just wanted to ask that this order book that we are having INR6,500 crores, how do we see the trajectory of this, let us say, in the next couple of years? I'm not expecting a quarter or a 6 -month view. It's like over a couple of years kind of view ?

Rakesh Chopdar

: Thanks, Amit. Thanks for the question. And if we talk about the engagement with the OEMs, right? So if we see -- when we started with energy, Mitsubishi or GE and Siemens or any other good, great customers we have. And in the years 2010 and '12 and '14, wh at we remember as we started engagement with these -- all these OEMs, and we were at exactly the same stage what we are with -- today with Safran or Rolls -Royce or GE or Pratt & Whitney.

So I would say as we progress, it's with the qualifications we are doing with the existing -- the customers which are in hand like we signed up with Safran, we signed up with Pratt & Whitney, we signed up with Rolls -Royce. And as we move forward with the contracts which we have signed and the product line which we have already secured, all right, but that gives us an edge that we are not new to them now.

It's not that knock, knock, here we come, we are Azad, to introduce and we start a thing. It has already started. It has already started and it has started taking a shape. Once this is established, the best part is Azad has got a beautiful track record of delivering the most complex solutions. We can -- any OEM is seeking today, they come to Azad. That's the beauty of Azad here, that we can give all kind of solutions that a customer needs. So that has been established.

So what are we waiting for is to just finish the cycle of this qualification. Once this tick in the box is there and then the door opens and it's already open for us. And we know what's coming. We know what are the pipelines they have. We know we have the visibility, what each and every OEM is looking at. As you know, that these parts are not quarter -- as you rightly said, we cannot gauge this by quarter -to-quarter.

This goes in a very long strategy, right? They -- we plan it very -- we look at a very -- look at forward -looking thing, which has to be very well managed before they even give us the production order. So all these preparations are going on well.

Amit Dixit : Great. The second one is essentially, there were a lot of, I think, concerns on the investor side on the possible tariffs by the U.S. But with now U.S. -India deal mostly done, I believe those concerns would be over. Now in that context, how do you see the opportunity for us shaping up,

both in terms of U.S. and in terms of Europe, of course, with EU -India FTA also in place. I'll give you context. I was speaking to the India Head of Pratt & Whitney the other day.

And he made a remark, which was very interesting that they are looking to increase their delivery from India by 10x. Earlier, it was 6x, by the way. But after U.S. -India trade deal, they are looking to increase it multi -fold. So how do you see the U.S. -India trade deal as an enabler for your business? Of course, in all the con -calls, you have maintained that this doesn't really matter for your kind of product. But just wanted to get your thoughts on this ?

Rakesh Chopdar : Yes. I mean, I was about to answer that, that in my previous calls also, I mentioned that these tariffs won't affect the products what Azad is holding because they are essential. They are something long, long, very long qualification products where even th e tariff goes double, it will not -- it will just not go away from Azad because it takes a lot of time to develop any other supplier.

So in that angle, there's no effect before, there is no effect after. However, the customers at ease, they are more happy that, "Okay, we don't have to pay the tariff and we are back on track with Azad." So that is where the best part what having is happy environment. That's what that has only changed. Nothing else has changed.

Amit Dixit : And in terms of cost competitiveness, now earlier, there were some lingering, I would say, doubts that, okay, with 50%, 55% tariff, maybe the cost competitiveness

of Azad could be compromised. But with now 18%, I think you should be very, very comfortable ?

Rakesh Chopdar : Yes, yes, exactly. That's what I'm saying. Customers are very happy now. Before they were like, "Okay, we are paying some tariff, but we have no choice. But now we are happy that we are back with Azad and we are happy with Azad." And we are -- nothing has -- it is back to the Golden days where how we used to work and they were more happy than working with Azad on the pricing, the quality, the deliveries. So I think it has turned around more positive.
Moderator: The next question is from the line of Manish O stwal from Nirmal Ban g Securities Private Limited. Please go ahead.
Manish Ostwal: Yes, sir. Thank you for the opportunity and good set of numbers and maintaining the extraordinary execution track. Sir, I have a slightly longer -term question on the company's growth and the capital decision making.
So I was checking like since the IPO the company have built a formidable customer profile and 39% revenue CAGR which is quite impressive. And we have raised money through QIP and the IPO almost INR940 crores and for the funding our capex program as well as the some deleveraging because of that.
As I model or visualize Azad Engineering towards a journey of INR1,800 crores to INR2,000 crores company by 2030 given our order book and the growth trajectory which we guided in the

past and the current quarter. The growth trajectory achievable without any equity dilution that is a question and the financial leverage can increase that is a question sir in the investor minds and when we interact with the investor that the question is w hen the Azad business will move from capital consuming growth model to self -sustaining growth model. And I want your comment on the management commitment on that trajectory. How we should think, how we should build our expectation for that journey for Azad ? Thank you.
Vishnu Malpani : Yes. Thank you. Thank you for your question. So let me start by saying . see we raised INR240 crores in IPO but out of that INR180 crores were towards debt reduction. And hardly any capital from IPO proceeds was used towards building capex. Right? So we started deploying capital in the newer facility only with the proceeds of -- largely through QIP where we had raised about INR700 crores.
Our guidance to the market has always been that we are investing roughly about INR200 odd crores in infrastructure, INR200 crores to INR250 crores in infrastructure and the balance INR450 odd crores to INR500 crores will be deployed towards actual plant and machinery. Right? Which will be leading towards an output.
From an asset turn perspective blended across our business, we believe that we should be able to do the journey of -- so we were already doing about INR450 crores which we delivered last year through our existing facility and through this incremental deployment of INR500 -- INR450 crores to INR500 crores in machines, we should be able to generate anywhere around 1.7 to 2 asset turn of INR500 crores.
So if you look at that, so that gives us another you know easily between INR800 crores to about INR1,000 crores sort of a visibility incremental to the INR450 crores that we delivered last year. Now if you add that, it gives you the entire roadmap from INR400 crores to say INR1,500 crores, INR1,600 crores and beyond.
Manish Ostwal : Yes. The second I think sir, I just looking the QIP proceedings notes to accounts of our filing where you mention that there is a use of general corporate expenses of INR156 crore s which is almost 34% of our revenue. So can you just brief about the nature of this expenditure, where we spend that money and how the company will benefit out of that? Can you just highlight for us?
Ronak Jaju : Yeah sure. Sir. So where as Vishnu mentioned that we are depl

oying around INR450 crores ,
INR500 crores in plant and machinery, that required around 15 % -- 10% to 15% has to be deployed toward the ancillary which required your installation cost and all those things which amount to around INR100 crores , INR150 crores . Out of INR250 crores , INR100 crores , INR150 crores has gone toward the debt to stabilization debt and balance has gone toward the long-term working capital and few of the machines which are not part of the QIP we have funded debt.

Manish Ostwal : All right. And what is the capex in nine month and the capex guidance for next couple of years for our business?
Ronak Jaj oo: So for nine month we have capitalized plant and the machinery as we have mentioned that we have capitalized MHI, GE and Siemens plant during the last nine month which amount to around

INR250 crores on the plant and machineries side. And going forward as Vi shnu mentioned that balance QIP money has to be deployed over the next one to two years going forward from here in between FY '2 7 and 28.

Manish Ostwal : All right sir. Thank you very much for answering my question. All the very best for the future execution.

Ronak Jaj oo: Thank you.

Moderator: Thank you sir. The next question is from the line of Mulesh Savla from Shah & Savla. Please go ahead.

Mulesh Savla : Thanks for taking my question. And heartiest congratulations to team for the excellent numbers especially when we are ramping up the production facilities, plant and machineries are being installed, employees and people are being hired, and there are a lot of other expenses.

Sir, this my first question is to Mr. Chopdar. We have excellent product profile. We have long standing customer relations and our manufacturing additional manufacturing facilities are being ramp up. We have already grown at about 30% plus in the past, rec ent past. Still what is restricting you to guide us for the 25% plus growth on the top line and not 30% plus? That is my first question.

Rakesh Chopdar : Good question. Thank you for the question. As I mentioned, that stable -- the stabilization is very important, right? So FY '26, I want to stabilize. We want to stabilize Azad. FY '27 is where we start the operating levels, as I mentioned in the earlier st atement also, that qualifications, audits, product qualifications, that's going to take time along with the execution and the ramp - up. And when it comes to maximum utilization for FY '28, I'll change my statement of the growth. That time, i t will be nice to give that -- this statement at that time, what do you say?

Mulesh Savla : Right, right, sir. I appreciate your conservative guidance and overdelivering, but still I feel that we are too much conservative because during all these years, we have been facing these challenges of expanding capacities and all and still we have deliver ed 30%. And with these specific dedicated facilities and other facilities coming up, I'm sure we should be able to cross 30%-plus guidance, so...

Rakesh Chopdar : This is what we expect. This is what we expect because we are struggling. What we are struggling? Building this massive facility, it's not a small facility, making a world -class factory, having these world -class customers, having the world -class product an d such thing, I should -- I'm hats off and I'm lucky to have a team what everyone is handling so beautifully.

We have a great coordination going on. So all this, we are still giving us -- we are still on the growth of what we are delivering now, which is commendable at this stage is what I would say that. And as it settles down, then there is nothing that we can b e stopped, right?

Mulesh Savla : Great. And sir, my second question again to you is that you said that our gas turbine engine is likely to be r

eady within another couple of months. So I believe it should be before the end of this financial year. So can you throw some light on kind of pote ntial that can throw up for our company

Rakesh Chopdar : Yes, I'll tell you this, this will be the first jet engine of India, it was 100% indigenous, right? And this is the first -- and the 100% engine is manufactured in Azad. So when we say it's first and when we try to -- we anticipated that we'll finish off t he deliveries in Q4 and -- Q3, Q4. However, there are certain things which are jointly done by Azad and GTRE, correct? So there are certain challenges which comes in back and forth, being the first engine, right?

So we anticipate some kind of challenges, but we don't anticipate the time lines. So these time lines are just -- we are hopeful that we should -- we are in the last leg, right, of the design phase, what GTRE is doing, and we are in the last phase of manuf acturing. So I don't see any more delays in this. But however, a couple of months, we never know if we'll see some more surprises. As this is the first engine, so we all should be very happy that we are very near to get the first -- India's first jet engi ne out.

Mulesh Savla : Correct. So that will be our nation's pride . But if you can , sir, just give rough numbers to what kind of business that it can throw up to Azad?

Rakesh Chopdar: See, right now , we are not looking at business. Right now , we are looking at to get this engine successful. That's my main focus now. I'm not concerned , because this is the need of the country and we all should be proud of it.

Mulesh Savla: Great. Great sir. I wish you all the very best. That's all from my side. If I have any question , I'll join back the queue. Thank you so much.

Rakesh Chopdar: Thanks.

Moderator: Thank you , sir. The next question is from the line of Gaurav from Avendus. Please go ahead.

Gaurav: Yeah hi. Thanks for the opportunity. First question is on the aerofoils opportunity that we have.

So given that gas turbines are in very high demand currently because of , from the data centers we have seen globally gas turbine prices have gone up considerably in last one year. So the question is that have you also seen any benefit of that gas turbine price increase as OEM passed on that benefit to you as well , which you have seen in a good margins currently? That's question number one. And second question i s that where are we in the qualification cycle , especially for the engine aerofoils and how much time you think it will take for you to get the qualifications?

Vishnu Malpani: So thank you for the question. Let me answer it in two parts. The first question , I think , see, we are definitely experiencing a lot of demand which is coming back to back from our customers directly. And because we are the only qualified partners in India, we are a direct beneficiary of this and we've been doing it . And plus with the global situation, we are seeing extremely high demands coming to us. Now it's our only -- it's only our ability to be able to build up infrastructure and execu te, which will keep growing our wallet share.
In terms of the price, we are not seeing any -- so pricing decisions are not being done . And for us, our contracts are longer term where we maintain our 33 % to 35% margins and continue to grow on that front. So we are not looking at short -term gains from this perspective. We are building a very, very robust relationship, strategic relationship with our customers which is not a supplier customer relationship but a partnership. So this is our intent to do . So we -- but we are experiencing heavy demand so as t o say. So that's part number one of your question.
The second is , we are aggressively progressing on our aerofoil qualification on the aerospace side as well. In fact , if you see , these developments t

hat are happening with our customers on
this side is a testament to the fact that there is progress that's happening and customers are recognizing it. That's why we are becoming a part of not just legacy platforms but also a lot of new engine platforms that will be driv ing the aviation for the future, r ight, and across all of our engine manufacturers.
So we've recently done a contract and finalization with Pratt & Whitney which we notified . There's been progress that Mr. Chopdar spoke about on Safran. Rolls -Royce , we started working in 2024 . We should be starting to supply something in FY '27. So all of these things are a mixed bag. But let me bring about one point , which is important to understand and I think our Chairman also touched upon it.
See, today what journey we are with Rolls -Royce, Pratt & Whitney, Safran and all of these engine manufacturers is what we were with GE, Mitsubishi and Siemens a few years ago , right? So we -- while we are ramping those up , because we finished qualifications, this will be a journey of qualification. We will build qualifications to a point and slowly this will be the next leg of growth for us in the future. But qualifications are progressing really well and you should be able to see some revenues coming out of th e aero engine department in the coming year.
Gaurav: All right. I have two more questions on the accounting side for Ronak. Ronak , number one is in this quarter have we seen the sales of services going up considerably compared to last quarter which has benefited the gross margins and EBITDA margins? That's number one. Number two , what are the inventory days and working capital days in this quarter?
Ronak Jaju: Yeah. Coming to the first question, the business is quite stable and more or less it's in the same line in the historical numbers . And as I mentioned last time also , we don't track business on that particular front like that. On the working capital side , H1 as I mentioned that we are targeting around 190 to 200 days.

We have working -- started working on that directions and the results are coming , but it will take some time to stabilize and it will take time to have. And for H2 , we are targeting around 140 to 150 days because once we completed all the things on the distribution supply chain and discounting part, we are quite confident it still will come to 140 to 150 days ' time.
Gaurav: No. But my question is have we seen inventory days going up in this quarter , given the growth that you have got?
Ronak Jaju: Not really. Yeah. This is into the WIP and we'll start reflecting this in H1 and H2 , as I mentioned . But right now , it's still on the sustainable basis what we have seen in the historical periods.
Vishnu Malpani: See, this is progressive change, right? All of these things that we're doing will start reflecting over time. Our endeavo ur was to finish this by the end of this current financial year . But I think this is -- while the complexity in our business that we spoke about we are in the ramp up phase, transition phase , all of this should -- so probably in the next about two quarters , you will see the first milestone being hit and then it will start reflecting in H2 for the second milestone , and we

should be able to do this in our H1 commentary for next year.
Gaurav: All right. Okay. Thanks a lot and best wishes for the future.
Ronak Jaju: Thank you.
Moderator: Thank you , sir. The next question is from the line of Vinayak Kariwal from Xponent Tribe .
Please go ahead.
Vinayak Kariwal: Hi. Thank you for the opportunity , sir. I just remember Mr. Vishnu Malpani posting about the hiring of at least 1,000 workers for our new plants in the next three months. And on the same post, I remember someone commenting that they hired 100 workers and that took them 12 months to hire. So I just wanted t

o understand , how is the aerospace and precision engineering workforce situation in the area where we are operating in ? And what is the progress on that hiring?
Vishnu Malpani: Sure. So I think very good question. So first of all , I think while you can manage everything else with capital, I think capability or recruitment or skill is something that will only be built over time, right? So Azad Engineering recognizes that for us to be able to achieve these goals that we are setting for ourselves, these agg ressive goals, we will need a very, very strong team to support this, right? And that's why we are onboarding talent at every level, building the skill, training them to be future ready, right?
So if you look at -- I know you're referring to my post on LinkedIn where I said I want to recruit 1,000 people over the next -- so the idea is that we do not want the business to be deprived of manpower because the cost of having employees versus the cost of not having employees is disproportionately higher in our business, right? So we've built an execution engine today where we are able to source abo ut 150 to 200 people per month.

We have created a training center internally and a program where we are able to -- in about 50 days, we're able to put a person on the training program and deploy them on the shop floor. We are running several engagement programs in the company, which are interesting, which are helping us trai n and retain employees as well.
So it's important. And I think, yes, it's not an easy thing to be cracked, but then I think we've taken enough and more measures to solve the entire piece of human resource, and we are well in control given our targets for the next few years.
Vinayak Kariwal : Sure, sure. And sir, how -- on the margins part, do you expect the margins to d ip for the next FY considering the fact that we are coming up at this facility and the utilization won't be up to the mark, which will only hit maximum utilization in FY '28. So do you expect a margin dip for the next year?
Vishnu Malpani : Sir, I'll go back to -- like on every call, we say we would want to maintain our guidance to be in the range of 33% to 35%. But even this quarter, you can look at our EBITDA margin, it's been at 38%, right? So I would want to still continue to guide 33% to 35% EBITDA margins in our business for the longer term. But there are always positive shoots that we would want to bring to the market like we did this quarter, fingers crossed.
Vinayak Kariwal : And sir, last question on the requirement from the 3 gas turbine OEMs. The data center compute is expected to get 3x every year for the next 4, 5 years. And that is a similar requirement of power that the data center in dustry expects to be ramped up.
And the front runners in the power -- on-site power generation are these 3 OEMs, which you are the only qualified in the country -- qualified player in the country. How -- what are the conversations you are having with these OEMs in the kind of ramp -up the y are expecting from you? And what is the situation, if you could give us a broad view?
Vishnu Malpani : So, I think you very correctly summarized this, that there's a lot of demand. See, the demand for electricity over the next about 15 years is going to double with what the world needs today. And the only way you can power the world's demand for electricity is by putting up these gas turbines, nuclear turbines, steam turbines and so on and so forth, right?
So this demand is being experienced by all of our OEMs aggressively, right? So if you look at their order books, if you look at their order backlog and how much orders are they taking quarter - on-quarter, there's a lot of pressure for them in delivery becau se data centers have presented this opportunity and this entire industry has chang ed structurally, right?
So our

conversations are how quickly can we ramp up on the existing product line, how quickly can we move into adjacent product lines, which are also critical and ramp up, right? So our existing Azad is today, right, holding with ou r existing 100% ramp -up, et c., we will still be doing a single -digit wallet share with our customers, right?

So if you look at -- this is going to grow, right? And giving you an example, right, if you look at Howmet Aerospace, even at $700 million worth of scale that they are doing, they're still growing at 25% year -on-year, right? This year, they have delivered a 25% growth. So this is a brillia nt time to be in this industry.
And we are constantly just looking at newer demand coming to us, newer capacity. And even the existing business is to be done over the next few years, right? So the backlog is constantly increasing for our customers and so is -- and that is just channel to us directly. And like you said, since we are the only qualified partner in the country and the only qualified partner, this -- we will b e a direct beneficiary of this.
So it is in Azad's best interest to sort of keep scaling up and improving our wallet share existing and then also enter into newer product portfolios, which we are -- which we have the opportunity today, right? So these are low -hanging fruits for Azad to g et into adjacent categories as well.
And we are also expanding, right? We are building -- while we don't talk about it in our earnings call as much, but there is a lot of capability development that we are doing that will only lead to revenues in the coming years, which is our long -term plan, right? We are entering in to combustion from compressors.
So every aspect of a turbine, right, from a compressor airfoils to really complex combustion parts also. For land, sea and air turbines, we are building capabilities. For gas, steam and nuclear turbines, we're building capabilities. So I think Azad is very beautifully present in terms of capabilities that we have and capabilities that we are building right now from our customers' perspective. So yes, these are some of the conversations.
Vinayak Kariwal : So just a clarification. So could we expect like more than like 40%, 50% growth once you stabilize the capacity with the 3 turbine OEMs for the next 4, 5 years...
Vishnu Malpani: See, demand is there, right? There is obviously a load of demand. You see our customers are signing -- so if you look at just the contract that we signed with Mitsubishi, right? So we signed roughly 100 million contract, 70 million to 80 million contract i n phase 1. And it was immediately in about 1, 1.5 -- less than a year, we were able to sign a phase 2 of the same contract of a similar value, right?
So the demand is obviously there. But our ability to execute these contracts depends on infrastructure stabilization, all the things that Mr. Chopdar mentioned, right? So all the new plants that we're building up, it's not just about building a factory, pu tting machines and starting, right? This industry does not have a very linear growth, right?
It -- all the other industries, this needs a lot of time. And then you see in Azad's case also, 2008 to 2020, we did INR100 crores. And 2020 to 2026, we are talking about a number -- like this year, we've delivered 5x of what we were and -- more than 5x of what we were. So definitely,

the opportunity to grow is there, but it relies on Azad's ability to execute, take contracts and execute at that scale. right?
While you were asking me questions on how are we also doing on manpower. So this is a complex project management, right? So you will have to manage every aspect of the business while you're managing customer expectations, you're building infrastructure, yo u're ensuring that y

our current deliveries are not impacted, also hiring, planning for the next year, quarters.
So it's a very complex, and that's why while we still grow at 25%, we say that with absolute confidence, right? And that's why we believe that there is a definitive opportunity in the future to see this demand.
Moderator: The next question is from the line of Koushik Mohan from Ashika Group.
Koushik Mohan : Sir, I just wanted to understand with the missile engines that what we are trying to do, is those also numbers being considered in the growth rates that we are talking about?
Vishnu Malpani: No, sir. Thank you for the question. But -- so see, the number projections that we've spoken about, we've only spoken about the customers what we have in hand today and not something that we have, right, which is in the future. So the engine development th at we're doing and is not a part of our revenue projections if you're asking us. But this is the capability that we are developing.
Koushik Mohan : And what can be the market size if it is possible to be told or anything, what is the market size and what can we capture over here?
Vishnu Malpani: So I think the market is huge. You should be able to understand that this is -- these are strategic defense drones. This will be used in strategic defense UAVs and drones, etcetera, single short

device from that perspective. It will be used in anti -ship mi ssiles, etcetera. And this is the first strategic jet engine that will be made out of India. So you should think about it. And I will request Mr. Chopdar to sort of give us a little more insight on this.
Rakesh Chopdar : Yes. So your question is when we can know because in Azad, whatever we say or whatever we project, we project whatever is there in hand, okay, what is confirmed and what we can deliver. Maybe in Q1, we can give you more good news on the engines, we can giv e you some projections, we can give you some revenues because as we have a practice, we just -- whatever is confirmed, whatever there is in hand, we can definitely talk about it.
This is a great moment for sure. The volumes can be substantial as this engine is currently being imported by Government of India. And this is an import substitute. So there is a massive pressure from the country to develop this engine, and we are with the same -- we are on the same page with them, and we are putting all the efforts to develop this engine. Hopefully, fingers crossed, we very soon will give you good news in Q1, and we can talk more on the projections, we can talk on the revenues, we can talk on the numbers.

Koushik Mohan : Got it. Sir, and like I just wanted to understand another thing. With the current order book that we have, the revenue growth rates that we're talking about will be successfully fulfilling its numbers. But I just wanted to understand what kind of growth ra tes that we can see in the current existing products and with the current existing clients? And what will be the market share that we can increase over next 3, 4 or 5 years down the line?
Rakesh Chopdar : It's a long -- question is good, short, but the answer is very long to this. Can I invite you to Azad and I can show you because every customer has its own product line, every customer has their own design and nothing is common within these customers. So I have a very long answer for this. So I would request you to please visit Azad so I can show you more in detail.
Koushik Mohan : Sure, sure. Post this quarter, we will definitely come.
Rakesh Chopdar : Most welcome.
Moderator: Ladies and gentlemen, in the interest of time, that was the last question for today. I would now like to hand the conference over to management for closing comments.
Vishnu Malpani: So on behalf of Azad Engineering, our Board of Directors, we would like to thank everyone for joining the call and listening to the performance updates of quarter 3 FY '26. We will -- we're very happy to share that this was an excellent quarter, and we bel ieve that we will be continuing the momentum and the guidance that we've shared with the market. Thank you.
Moderator: Thank you, sir. On behalf of Azad Engineering Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

AZAD
May 22,2026
To,
The Listing Department
BSE Limited
Department of Corporate Affairs
Phiroze Jeejeebhoy Towers, Dalal Street
Mumbai, Maharashtra - 400 001
Scrip ld-544061
Dear Sir/Madam,To,
The Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,, G Block
Banclra-Kurla Complex, Bandra (E)
Mumbai, Maharashtra - 400 051
Scrip Code-AZAD
subjecfi Transcript of the earnings conference call organized on lr-day 16,2026,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 please find enclosed the transcript of the earnings conference call conducted on Saturday, 16rh May 2026 at 11:00 a.m. (IST).
The transcript of the ealnings conference call is also available on website of the Company i.e.https: azad.in luarterly-financial-results 4earning-transcripts .You are requested to kindly take the aforesaid on your record.
This is for your information and record.
Thanking you.
Yours truly,
For Azad Engineering Limited
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Company Secretary, Compliance Officer and Head Legal
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“Azad Engineering Limited
Q4 FY '2 6 Earnings Conference Call ”
May 16, 202 6
E&OE: This transcript is edited for factual errors. ln case of discrepancy, the audio recordings uploaded on the stock exchange on May 16, 2026, will prevail.

MANAGEMENT : MR. RAKESH CHOPDAR – CHAIRMAN AND CHIEF EXECUTIVE OFFICER – AZAD ENGINEERING LIMITED
MR. VISHNU MALPANI – WHOLE -TIME DIRECTOR - AZAD ENGINEERING LIMITED
MR. RONAK JAJOO - CHIEF FINANCIAL OFFICER - AZAD ENGINEERING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Azad Engineering Limited Q4 FY '26 Earnings Conference Call. This conference call may contain forward -looking statements about the

company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance in the conference call, please signal an operator by pressing star then zero on your touchstone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rakesh Chopdar, Chairman and CEO. Thank you, and over to you, Mr. Chopdar.
Rakesh Chopdar: Thank you. Thank you very much. Good morning, everyone. Welcome, and thank you for joining us on the Q4 FY '26 earnings call. I'm joined today by Mr. Vishnu Malpani, our Whole - Time Director; Mr. Ronak Jajoo, our CFO; and SGA, our Investor Relations advis ors. The audited results and the investor presentation have been uploaded on the stock exchanges and to our company website, and I trust you have had a chance to look at them.
At the start of FY '26, we described it as a year of consolidation, a year in which we would embed newly commissioned capacity, convert the qualifications we have been earning over multiple years and put in place the human capital and the systems that the next phase of growth demands. I'm pleased to report that we have delivered on each of those commitments.
Before turning to the numbers, I want to spend a moment on what the growth you are seeing actually represents because it is important to characterize this correctly. So the nature of our business and our growth. Azad is a global supplier. We compete head on with established suppliers from U.S.A., Europe, China and Japan and on their own benchmarks for the same global OEM platforms. We have done so far for many years now, and our growth today is a cumulative payoff of that long hard work, not a function of any short -term tailwind, geographic shift or single market opportunity.
The products we manufacture, critical rotating components for gas, steam and nuclear turbines, mission and life critical aerospace and defence parts, complex precision assemblies for oil and gas are among the most demanding components made anywhere in the world. This is inside engines that operate at extreme temperatures, extreme pressures, extreme tolerances. The cost of failure is measured in lives and in billions of dollars platforms. The reason these components are made by only a handful of companies g lobally is straightforward.
The qualification cycle to even be allowed to manufacture them take years, sometimes a decade of process validation, metallurgical proof, dimensional verification, first article inspections and serial production audits. Once the supplier earns that qualif ication, the business is sticky, multiyear and high value. The growth you are now seeing in our reported numbers is the conversion of qualifications we earned over the last several years. Against the backdrop of capacity, we have deliberately built to be r eady for the next conversion.

Talking on the capacity and customer milestones. As promised on our capex road map, we have successfully inaugurated fourth dedicated lean manufacturing facilities for our marquee global customers since listing, of which 2 were commissioned during FY '26 and the most recent one just last month. In April 2026, we inaugurated a de dicated facility for Baker Hughes, a milestone in a relationship that like all our relationships, we earned through one of the

most rigorous
qualification pathways in the industry. A dedicated facility represents the deepest possible form of customer integration, and we now operate several such facilities for several global OEMs.
Mitsubishi Heavy Industries, a defining proof point. We are also pleased to share another significant milestone. Azad has been awarded a prestigious contract by Mitsubishi Heavy Industries Japan as a single -source supplier partner. And we have signed an 8 -year long contract and purchase agreement for the supply of highly engineered hot section Nozzle Vanes segments for the combustion of a gas turbine engine.
Single source qualification for hot section components of a turbine nozzle vane for an OEM of MHI stature is the strongest possible endorsement of our technical and process capabilities. This product is not just being awarded, and it is awarded by many, many audits and many, many qualifications prior to even they think of awarding such product to any c ompany.
On the financial performance snapshot, Q4 FY '26 was another strong quarter. Revenue stood at INR157 crores, a year -on-year growth of 26.4%. Reported EBITDA margin improved from 36.5% in Q4 FY '25 to 36.7% in Q4 FY '26, driven by operational efficiencies, scale benefits and improving product mix. PAT margins expanded from 20.9% to 22.3% over the same period.
For the full year, FY '26 revenue was INR590 crores against INR453 crores in FY '25, a growth of approximately 30% plus.
Reported EBITDA margin stood at 36.9% for the year and the PAT margin at 22.4%. The

consistency of growth across both revenue and profitability reflects strong execution across every business segment and an increasing contribution from advanced manufactur ing programs.

Building the organization for the next phase, this is very important. Equally important to the financial performance is the work we have done on building the organization itself. This is the work that does not show up in a quarter's print, but it is in th e work that determines what the company looks like 5 years from now.

Infrastructure build -out. A meaningful portion of management bandwidth in FY '26 went into building physical infrastructure, new facilities, specialized equipment, audits, validation cycles, qualification, delta qualification for programs. That infrastruc ture phase is now approximately 70% to 80% complete. With the heaviest part of the -- with the build -out behind us, the operating focus from here is conversion, throughput and the operating leverage that comes from running a fuller, more integrated manufac turing system.

More importantly, the organizational restructuring. We are deliberately restructuring the organization to match the scale we are growing into. We are bringing in senior professionals from the industry, leaders with deep functional and sector experience an d selectively replacing

certain functional roles internally where the role has outgrown what its currently incumbent was originally hired to do. This is a planned exercise executed with care and it is essential.

The Azad of future need a different organization architecture from Azad of today, and we are building for the company today. Systems and process, equally, we are upgrading our systems, our planning, our ERP, shop floor execution platform, our quality mana gement system and our governance frameworks. Scaling a complex precision engineering business requires us to grow across every lever, people, process, plant, partners and systems. Growing one without the other is how companies stumble at this stage of the journey. We are determined not to.

Overall outlook, looking ahead, the demand backdrop of the product we make remains strong. Global OEMs across aerospace, defense, energy and oil and gas are scaling their platforms and the supplier base capable of meeting the technical threshold we operat e at remains s

mall. We are
confident in sustaining strong business momentum and in delivering on our previously communicated top line growth of approximately 25% plus for the current year.

In line with growth outlook, we will continue to invest in capabilities, in capacity, in people, in systems and in deepening our customer partnership. The story of Azad has always been one of the patient technical qualification -led growth. We intend to co ntinue writing this story the same way.

With that, I now hand over the call to our -- Vishnu Malpani, our Whole -Time Director. Thank you.

Vishnu Malpani: Thank you, Mr. Chopdar, and good morning to everyone on the call. The year has set out where Azad stands strategically. And let me take you closer to how FY '26 was actually executed on the ground, ramp -up of the new plants and how each segment performed, the operational discipline that turns an order book into revenue and also what are our few focus areas for FY '27.

FY '26 was a year of calibrated execution for Azad Engineering. By every internal measure, it was one of our most productive years. We delivered our highest ever revenue, highest ever EBITDA and highest ever PAT. And we did it while commissioning 2 plants in this financial year, qualifying parts and adding people at record pace. With this, we now have 4 additional plants that we've built in the newer facility. We've always called FY '26 a year of calibrated ramp -up and not a rushed one. And the difference is really important to understand.

Calibrated means we lined up everything right from plant commissioning to customer qualification time lines, lined up hiring with our training and lined up raw material flow with our realities of working capital and WIP cycle. Every quarter of FY '26 was planned in detail, and we've been able to deliver close to our plan in every quarter.

In terms of segmental performance, we've been broad -based by design. Our growth of FY '26 was not dependent on any single customer or any geography or any single segment. We've had tremendous growth every segment. Energy and oil and gas remained the large st contributor for the full year '26 and continues to be one of the main engines of the business, contributing to roughly 81.5% for the full year in terms of our revenue, which is INR481 crores year -on-year,

growing at least 34%. In quarter 4, specifically, the segment generated INR128 crores in revenue, again contributing roughly about 81% of our quarterly revenues. The headline number hides the diversity inside. We've grown across multiple customers, subsegments within each vertical.

Coming to Aerospace & Defence . We've delivered another strong year and a milestone number of INR100 crores that we were able to reach for the first time. For the full year 2026, this segment contributed to INR102 crores (INR 102 crores was said erroneously. To be read as INR 101 crores), about 17.2% of our FY '26 revenue with a year -on-year growth of roughly 25%. In quarter 4 alone, this segment contributed INR28 crores. On the aerospace side, our share of qualified component categories with our key custom ers have grown materially through the entire year.

Talking about our order book. Our order book is at approximately INR6,500 crores with INR600 crores delivered in FY '26 and still remains at that level, which is about 11x, 12x our FY '26 revenue, given the forward visibility, which is very, very rare in the times today. The conversion in our order book is broadly driven by 3 things, and this is a question that we were asked the previous time that the conversion of an order book into revenue is driven by the production schedule already agreed with each of our customers, our capacity availability and ramp -up against that schedule and the qualific ation status of each and every part that is a part of a contract that we are signing with our customer

s.

As we exit FY '26, I'm very happy to share that all of these 3 are aligned for the first time at the scale. Capacity is largely in place. Qualifications are advancing across sectors and customers. Customer schedules are firm and are in place, and that's w hy we remain confident in delivering 25% plus top line trajectory, not just for FY '27, but on a multiyear basis.

Our focus for FY '27 sits on 3 to 4 priorities at large. First, ramping up our 4 new capitalized plants across GE, Siemens, Mitsubishi and Baker Hughes that we inaugurated over the last few quarters to their committed throughput. Second, commissioning the remaining plants that are still under construction or are in WIP stages by the balance of the year, FY '27, with the same discipline that we followed through FY '26. Third, deepening our existing customer relationships. Fourth, normalizing the working cap ital cycle over this period.

With that, I now hand over our call to our CFO, Mr. Ronak Jajoo. Thank you.

Ronak Jajoo: Thank you, Vishnu, and good morning, everyone. I will take you through the financials and operational highlights for the quarter and the full year of FY '26. FY '26 has been an important investment and transition year for the company. During the year, mul tiple OEM dedicated facility progress simultaneously through commissioning, qualification and stabilization phase . While the result in elevated upfront investment in plant and machinery, inventory, manpower readiness and work in progress, it has laid a strong foundation for our next stage of sustainable growth.

We now have fully prepared facility, a robust order book and a strengthened organization structure to support future scale.

Let me take you through the numbers now. For FY '26, the company reported revenue from operations is INR590 crores on a stand -alone basis and INR603 crores on a consolidated basis. This reflects a healthy year -on-year growth of over 32% despite several facilities being in ramp - up stage, qualification stage and significant part of the year. The other income stood at INR46 crores, largely comprising of foreign exchange gain and treasury income. This is expected to moderate going forward as QIP proceeds are d eployed towards the growth CapEx.

Our EBITDA margin are around 37.4% (consolidated) , reflecting strong execution discipline, supply chain efficiencies and margin benefit driven by backward integration, which reduced our outsourcing cost. Depreciation and finance cost increased due to front -ended CapEx undertaken during FY '26. During the year, we have capitalized assets worth INR392 crores and record an increased CWIP and capital advance of INR191 crores during the year. Profit after tax stood at INR132 crores on a stand -alone basis and INR134 crores on a consolidated basis, delivering a strong growth of 54.5% (54.5 % was said erroneously. To be read as 54.4%) for the year.

The balance sheet side, we continue to invest ahead of the curve. During FY '26, we have capitalized assets worth INR392 crores, as I mentioned. The company utilized incremental term funding of INR154 crores to support ongoing capacity expansions and total borrowing stood at INR457 crores on gross basis and INR272 crores on a net basis. Our treasury balance stood at INR184 crores, including INR160 crores from QIP proceeds. Receivables stood at INR309 crores, broadly in line with historical level.

Trade payables were INR87 crores, translating to approximately 51 days of sales, which was in line with historical number. We have not fully utilized receivable bill discounting facility this year given the current cost dynamics and our adequate liquidity available in the system , as I

mentioned that we have a treasury of INR184 crores.
Additionally, we have GST credit of approximately INR100 crores accumulated over the past 2 years. This is on the back of capital e

xpenditure, which we have done historically, which we expected to realize by H1 FY '28, supporting future cash flow and increase the liquidity in the system.

Let me take you through the inventory. Inventory duri ng FY '27 reflects a deliberated and strategic buildup to support the ramp -up of our newly commissioned OEM facility and ensure readiness of committed production schedules, as mentioned by Mr. Vishnu and Mr. Rakesh Chopdar in their presentations. The buildup is ali gned with capacity expansion, customer stocking requirement and upcoming order execution.

It's important to note nearly 96% of our inventory is less than 1 year old, indicating that it is primarily linked to recent investment plant ramp -up, qualification requirements and customer - driven restocking needs rather than the legacy inventory. As uti lization improved across the new facility, we expect the investment to translate into stronger revenue absorption, improved asset turn, better return ratio and strong operating cash flow in FY '27 and beyond.

In closing remarks, FY '26 was just a year -- just not a year of growth, sorry, but year of purposeful investment to build capacity, enhance capabilities and position the company for long -

term expansion. With the strong order pipeline, operational readiness across dedicated OEM facilities and disciplined financial management, we are confident of converting this investment phase into the earnings growth and improved returns in coming years.

Thank you. I would now like to open the floor for questions.

Moderator: Thank you. The first question comes from the line of Amit Dixit with Goldman Sachs. Please go ahead.

Amit Dixit: Congratulations for a good set of numbers again. A few questions, if I may. The first one is essentially, if I look at the projections or the commentary of global OEMs, including GE, Mitsubishi, Siemens, I mean, that seems to be very, very bombastic. I me an there is -- they are fully booked for next 10 years. So in this scenario, how do you see the landscape changing for Azad?

I mean the growth that we have projected 25% in revenue appears to be actually a little bit on conservative side, given the overall macro tailwinds that we are seeing. So -- and we have got, of course, relationship with all the global OEMs. So ju st wanted your thoughts on that?

Rakesh Chopdar: Amit, thanks for the question. Yes, you're right. There is massive pressure from our existing customers. And what we say 25% plus is a growth number. As during the last call and this call and a couple of calls, we have been mentioning that we are moving t o the new facility, and it's not a small facility, which is in the making.

And we could successfully come to a level of stabilization that is 70%, 80% done. But we can't see that massive jump immediately, right? Because we need capacity, we need infra, we need the orders, qualifications, redo delta qualifications. So these thing s will definitely eat up a lot of time. And this is bound to happen with any organization, right?

You must be knowing all the stringent processes these OEMs carry or the stringent products what we manufacture. You're right. Definitely, there will be a jump coming in. Maybe in coming quarters, I would definitely elaborate on the numbers of the growth w e are seeing. But we -- as we get stabilized 100%, my take is I would only give a growth number, what we are saying is conservative, you're right.

And this statement is going to change maybe just because in the coming quarter also, we see that the 70%, 80% is what we see the stabilization part done. Now the spindles are running, the material has been churning out, but the effect will not come overnight, right? So this takes at least this quarter, you will definitely see some movement of the revenues going up. But it's always nice to give a guidance and maybe in the ne xt coming

quarter, I can change my statement.

And definitely, we can see after the st abilization is done, definitely, we see a massive growth.

Amit Dixit: No, great. I mean, got it. The second one is essentially on ATGG engine. So I just wanted to understand the road map of delivery. And if I'm not mistaken, there are 18 to 20 engines that you have to deliver in maybe 1.5 years. So just wanted to understand where we are on that development process?

Rakesh Chopdar: So Amit, I would just give you an idea, it was years, years got to months, now it has come to weeks. So we are not far away. Even we are super excited, especially me, myself, I'm super excited to deliver this to the government, much needed for the country at this hour. So it's not far away.
Amit Dixit: Okay. One data bookkeeping question, if I may. Is it possible to break receivable and inventory days into segment for this year?
Rakesh Chopdar: Yes. So as we gave a statement in the last call also, '26 was something and we were consolidating a lot of things, stabilization was most important. A lot of our bandwidth of the entire management went up in trying to make these facilities up and running. That's most important priority one.
And then coming to the level where we have already WIP work in progress to cut down these inventories, as I promised in H1, you will see a drastic change coming to closer to 200 days.
And H2, we get down to 160, 170 days. That's we have already planned, and it's in execution, and we will achieve it.
Moderator: Next question comes from the line of Suraj Malu with Catamaran.
Suraj Malu: Sir, I have 2 questions. One is in Q1 FY '26, you had mentioned a plan of creating total 8 dedicated facilities over 12 to 18 months, of which 4 have been completed. So are we on track to set up 4 more new facilities over 6 months?
Rakesh Chopdar: Yes, you're right. We are on track.
Suraj Malu: Okay. And the second question is, as and when you win some long -term contracts, you mentioned some contracts are 5 years, some are 6, some are 4, right? So of the existing order backlog of around INR6,000 crores, what will be the time line over which you will need to deliver this?
Vishnu Malpani: So these contracts have specific delivery schedules. And so every contract has a schedule at a part number level agreed with the customer. And then the capacity that we are bringing online, so just coming to the same thing that we were talking about, in th e last about 18 months, we've gotten about 4 plants up, right? Now on the basis of the ramp -up plan and the customer delivery schedules, the capacity is coming online for these 4 plants. So if you look at it, over 5 to 6 years, we should be able to -- on an average, these contracts extend to over 5 to 6 years.
Suraj Malu: Got it. And last...
Vishnu Malpani: Yes. So if you just look at the guidance that we are talking about, 25% plus on the number, you will realize that over the next 5 years, we should be able to more or less consume INR6,500 crores.
Suraj Malu: Right. Understood, sir. And sir, is it possible to get a split of this INR6,000 crores order backlog by segment?

Vishnu Malpani: Sure. So this -- I mean, I can -- let me tell you broadly between our customers or let me tell you broadly between our segments. I mean, customers will be difficult for us to communicate. So today, we have over $400 million worth of orders towards Energy, approximately $200 million plus for Aerospace & Defence and about $100 million plus in Oil & Gas.
Moderator: Next question comes from the line of Gaurav with Avendus.
Gaurav: My first question is on this new contract that you've got from Mitsubishi for the nozzle and vanes for the hot section. So just want to understand a couple of things. When you said it's a single - source order, does i

t mean that these were originally manufa ctured by Mitsubishi, which is now being outsourced to you subjected to qualifications or you have won it from some other vendor? Second, how big is this opportunity, especially on the hot section for the nozzle and vanes ? And third question is more on the Aerospace, which is for the Pratt & Whitney and Rolls -Royce order, where are we in the qualification cycle?
Rakesh Chopdar: Yes, Gaurav. The first question, just remind me if I'm right. The first question you asked is was these parts manufactured by Mitsubishi or some other vendor? So it was manufactured in -house. The parts are very critical in nature, right?
So this is the combustion area. So a lot of controls and checks are required to produce this part. It's not just someone has an infra or some kind of equipment, these parts just go like that. It needs a lot of specialized infra and specialized talent to h andle these kind of components. So either they keep it in -house or they give it to the most trusted partner.
So they can't have multiple partners in this. So it's decided Mitsubishi says, hey, you have to focus completely on this, and we only dedicate this to you and same thing we expect from you. So this is the conversation because of the nature of the product. This is mandatory, it happens that way. So one, it's developing there.
Second, if you're talking about market, I would -- it's a very lengthy explanation. So what I can

tell you is you can go to the competition. Now we are going to be head on is you can study with Howmet Aerospace or PCC. So these are the companies who are t he players who are in this segment. So we have stepped ourselves in this door, right?

So that will give you more this thing. And if you can have more details because it's a very lengthy conversation, so we can come back. You can contact us after the call or something I can explain you more in detail.

Gaurav: All right. Okay. Okay. And on the Pratt & Whitney and the Rolls -Royce order book.

Rakesh Chopdar: Yes. So in this 4 engine manufacturers on the airfoil is what we started. The first one was Rolls - Royce. So we have -- in H2, we are expecting to supply the first qualification batch. And once that is approved, and I think from -- we can see some momentum coming from Q4 FY '27 or early of FY '28.

That's where the supply starts. And followed by -- as you can see, it took 2.5, 2.5 years to come to the stage, and this is normal. And we could do it in 2.5 years. It's also a great thing. It's not a

small thing to do it in 2.5 years. So same cycle will be followed. The next is Pratt & Whitney, then comes Safran and then it's followed by then.

Gaurav: All right. All right. If you allow me just one question on the numbers a bit, which is on the margins. So what I understand is that you have just commissioned the 4 plants, they are underutilized, and yet we get to see your margins going up every quarter. So is it the case that we can see more margin surprise from here on because we are yet to see any operating leverage benefits from the new plants?

Rakesh Chopdar: We always say 33% to 35% plus, and that plus can be anything. So keep expecting some kind of -- definitely a growth is always because we just don't make -- we just don't produce. We do a lot of improvements, continuous improvements on the floor. So that's our team's culture. So definitely, I wish and hope that we deliver that plus every time.

Moderator: Next question comes from the line of Bhavika Singhvi with Niveshaay.

Bhavika Singhvi: First of all, many congratulations for great set of numbers. So the first question I have is related to the utilization as currently, we are -- like we have been maintaining quite good utilization. So the upcoming facility, like the one we have already in stalled and the one is going to come in 6 months, do we expec

t the same utilization or it will defer in terms of like how much time we can expect it to come at the same level of 90% plus utilization?

Rakesh Chopdar: Yes. Bhavika, see, if any plant is inaugurated, that means brand -new building, brand -new machines. We don't wait for the shop to complete 100%. When you talk about Baker Hughes, we were around 50%, 60% of the capacity machines were inside. And when we cut the ribbon, we start producing the parts the same day.

But when you see in the numbers, it will take some time to flow of the material to come to the dispatch area, right? And that's what I was giving an answer in the -- to Amit also that the Q1 of this -- the current month quarter, which is going on, this is the churnout month. So the revenues will follow once the metal gets started dispatching. So once it's inaugurated, definitely, the spins are running and the metal starts in the flow.

Bhavika Singhvi: And the second question I have on the segment side, as we did quite good on the Energy & Oil segment. So I just want to understand what's driving the growth in the segment? Is the new addition of the customers or the new products we are adding in the port folio? If you can give the clarity on that?

Rakesh Chopdar: Yes. So in that case, I'll tell you, these requirements were always there with Azad, right, right from day 1 when we started. We just didn't have the capacity. As we are setting up the capacity, as we are inaugurating these plants, this is where we start t aking orders. It's us who were not taking orders because we didn't have capacity.

Now we are increasing the capacity, and we are opening the door to take more orders. So this is where the growth is coming in. So this requirement was not today. It was there with us from day 1.

Bhavika Singhvi: Okay. So am I understanding right that we are getting from the same products? We are not adding new products like in this segment?

Vishnu Malpani: No. So the right way to understand this is, see, I think it's not a straightforward approach, right? So every time our growth with the customer happens on multiple fronts, right? So first is you have certain parts that have been qualified. So we are rampin g up our market share on those

qualified parts over time, right? So let's say, we were doing a certain
kind of wallet share with our customer on those parts. Now because of our progressive deli veries, our wallet share on those parts will continue to grow. So most of the growth that you see today is coming out of qualifications of parts that have been done and ramp -up that is coming in.
Second lever for our growth is that we are also adding adjac ent categories or more part numbers to our overall capability. When Mr. Chopdar was talking about how -- or one of you all asked us a question about how we've signed a contract with Mitsubishi, that's an additional capability, higher entry barrier than the current product and diversified product portfolio, right, with a much higher asset turn, much higher market. So we are also adding those. And the third lever for our growth is that we are also adding other customers that have -- where we can deploy our capabilities that we have built horizontally, right?
So this industry, right, any of these industries that we are a part of by nature, have 3 or 4 major players dominating the entire industry, whether it's Energy, whether it's Aerospace & Defence & Oil & Gas. So the capabilities that Azad is building across our customers are very selectively building it so that we can horizontally deploy it and grow the business in the years to come.
So when we are committing a 25% plus growth, that is not on the back of products that we are going to qualify. That is on the back of the wallet share that we are gaining on qualified products, right? I hope that an

swers your question.
Rakesh Chopdar: This is also very important to understand by time that whatever we say the growth numbers are on the qualified products. We never have taken in consideration what is going to come, what we have to qualify, right? Let it be the engine, let it be the hot gas components, though the markets are big and all we know that we have si gned up.
We are definitely going to qualify, definitely going to increase revenues. But our culture here is what is achieved, what is qualified, what is the growth numbers coming up from them. So that's the reason we give a very decent number. And definitely, we see upside going forward, definitely.
Bhavika Singhvi: Okay, understood. And just last on the Aerospace & Defence side, like currently, it holds 70% of our total revenue. So do we see the same percentage going forward? Or we are expecting the Aerospace division getting increased in terms of share of the reven ue?
Vishnu Malpani: So let me take this up. I think we've tried to address this even in the past. See, Azad has been trying to build a well -diversified business across every sector, right? So if you look at the history, you will be able to see the demonstration of how we are lo oking at diversifying. So back in the 2020 or 2021, Azad was largely an Energy business, focusing on one product category, which was compressor airfoils, right?

And over the last 5 years, you see Azad has diversified at multiple levels, whether it is segments and then in the segments, product categories as well, right? So going forward -- so let's say, we want to look at Azad 5 years from today, you will see that Azad is a fairly diversified business where Energy will be contributing anywhere between 55% to 60% and the balance will be contributed by our other verticals, which is Aerospace & Defence and even Oil & Gas for that matter. So we expect our verticals to continue to grow because we have a lot of headroom and become balanced, diversified over the next 4, 5 years.
Bhavika Singhvi: So out of 80% of current Energy & Oil & Gas, how much is the Oil & Gas segment?
Vishnu Malpani: Oil & Gas, we are working -- we are still under qualification. Baker Hughes is one of our only customers in this segment, and we want -- we are in the process of building capabilities right now. So if you look at any revenue contribution for the current ye ar, it was not material. It was under about INR10 crores between -- because we are largely doing qualification.
But FY '27 will be the first year where you will see a ramp -up in this and you will be -- because we've just started. In fact, the last notification that we gave in April 2026, was inauguration of the facility, right? And this 1 month old. But you will be able to see how we quickly ramp up in this industry or in the sector in the current financial year. So we expect to add material numbers by our Oil & Gas segment this year.
And it will follow the same trajectory, right? It took us -- see, I mean, it's important to understand that it took us from 2008 to 2020 to get to about INR120 crores. And it took us -- we've grown 5x in the last about 5, 6 years, right? Aerospace was started in 2018, 2019. And in 5, 7 years, we've been able to deliver INR100 crores of top line in that vertical.
And similarly, Oil & Gas will not even take 5, 6 years. Oil & Gas should be able to breach that number over the next couple of years. So this is how the ramp -up would -- and this is the nature of this industry, right?
Moderator: Next question comes from the line of Pratik Dharmsh ri with Union Mutual Funds.
Pratik Dharmshri: Yes. Many congratulations for a fantastic set of numbers, Rakesh and the team. Just one question

from the risk side. Any risk are you currently observing from this Middle East geopolitical tension on supply chain or it's

business as usual for us? How are we seeing things?
Vishnu Malpani: Yes. See, we have -- if you take away the macro risks that are there in every business that is existing today, from our business perspective, I think we have derisked ourselves from majority issues that can be faced in our business, right? Our business can get impacted if we do not have demand. We have purchase orders and visibility over the next 5, 7 years. The other thing that we can have a risk on is capacity creation, which we've been able to do to a large extent. Third one was manpower, which we are today doing. So it's about our ability to be able to do all of this together. So that execution risk remains. And we today are focusing on normalizing our working capital cycle along with it as well. So we don't see -- from a risk perspective, I think we've been able to manage that because our customer relationships are structured around

qualifications, which are -- which have taken several years to do and are based on multiyear contracts. So we don't see risk from that perspective.
Pratik Dharmshri: Got it. Just a follow -up. In terms of the new theme which is emerging on energy side, which is nuclear. Do we have any scope or any opportunity which can -- we can participate or play in the nuclear opportunity?
Vishnu Malpani: So we are already a player that is working in the nuclear space. In fact, our energy segment, when we talk about it, we cater to gas turbines, nuclear turbines and thermal turbines as well. So we make critical rotating components for even nuclear turbines, and we make it for the world's largest customer, which is based out of France. It is a government -owned entity called EDF, Arabelle -- and a fully owned subsidiary of EDF, which is Arabelle Solutions. So they audited Azad for a few years.
We cleared all our qualifications. We cleared all our entry barriers, and we've been supplying nuclear for the last couple of years. So today, in fact, we are one of the most -- one of the only qualified partners in the country to be producing nuclear tur bine airfoils. So we are ready and geared up for the opportunity that we are seeing, whether in India or globally.
Moderator: Next question comes from the line of Sahil Karia with White Pine Investment Management Private Limited.
Sahil Karia: Just wanted to ask how many ATGG engines we have the order for? And what would be the delivery time lines?
Vishnu Malpani: So it will be difficult to share that information as it's a part of a coveted national defense program. And like our Chairman addressed this before, I think it's a matter of -- we are in the process of delivering it and soon we will be able to share more u pdates on it officially. But we may not be able to discuss specific numbers about it. We can tell you that, yes, there have been great advancements internally. We are very confident moving forward on this space, but sharing specific numbers around this will be difficult. Thank you.
Sahil Karia: Okay. And the next question was what was the capex number for FY '26 and the planned capex for FY '27?
Ronak Jajoo: For FY '26, I already covered in my presentation, we have done the capex of around INR392 crores capitalization during the year. And for FY '27, we are on the trajectory to ramp up the upcoming plants.
Sahil Karia: So what would be the number, if you could quantify it?
Ronak Jajoo: Sorry?
Sahil Karia: What would be the number for FY '27, if you could quantify the number for FY '26?
Vishnu Malpani: So most of the capex deployment is linked to the raise that we've done for QIP, right? So we raised INR700 crores in QIP. And if you -- our CFO covered that the balance deployment of about INR180 crores...

Ronak Jajoo: Yes, INR180 crores to INR190 crores will be coming there, which will happ

en towards...
Sahil Karia: Okay. And sir, do we have any plans in entering the heat treatment plant or the surface treatment plants? So I guess it is...
Vishnu Malpani: I'm sorry, can you repeat that? Your voice is a little muffled. Can you please repeat your question?
Sahil Karia: Do we have any plans of introducing heat treatment plants or surface treatment plants in -house?

Rakesh Chopdar: So we already have state -of-the-art heat treatment facility, both -- and we have vacuum heat treatment as well. We are NADCAP approved, by the way. We just got NADCAP approved for heat treatment. Also on the special processes, yes, that's the plan because there are some dependencies on our supply chain. So what we are doing is we are ultimately going to have every special process in Azad. However, the critical special processes are already in -house, like shot peening and coatings, all these are already in -house, but a few more left that is also going to be in-house.
Sahil Karia: Okay. And just an add on the capex . We had announced our capex in Saudi Arabia with Baker Hughes. So are we on track with the plans? Or is there some delay due to the...
Vishnu Malpani: I'm sorry, can you repeat your question? Your voice is not very clear.
Moderator: Yes, your voice is breaking. Can you just come in the range and talk?
Sahil Karia: Yes. So we had announced our capex in Saudi Arabia with Baker Hughes. So are we on track with the plans or there's some delay there due to the war?
Vishnu Malpani: No. So that is still on. From an opportunity perspective, I think we are still going ahead with that. But yes, the time lines have been shifted. We are still in discussions with our customer on how do we best take this forward given the current situation a nd priorities.
So while you see we had signed an MOU, we inaugurated a Baker Hughes plant for us in our dedicated facility. So our growth plans with our customers remain, and that is an opportunity that is there. But we will have -- our current management bandwidth is t oday focused on what is there in the current plant, and we want to get that capacity up and running.
That opportunity, which exists in the Kingdom of Saudi Arabia is available for us and will continue. But I think we want to take it up not as the most important priority today. We want to get our current plants up and do that, and then that can happen alongside. But that opportunity still lies.
Moderator: Next question comes from the line of Rishika with Goldman Sachs.
Rishika: Sir, 2 questions from my end. When are you guys planning to start civil work for the third plant? And secondly, if you could share your views on the potential benefits from upcoming engine ecosystem in the country.

Vishnu Malpani: I'm sorry, can you repeat your second question again?
Rishika: Just your views on potential benefits from the upcoming engine ecosystem in the country.
Vishnu Malpani: Okay. So the first one, Rishika, I think we are building out -- so we've already completed 4 plants, 4 lean facilities in the capex that we were deploying towards creating additional capacity and the balance 4 plants will be completed in this financial year, right? Every plant has a schedule that we are following on in terms of commissioning, how -- when are we looking at ramping it up . And obviously, as explained by our Chairman and CFO, it takes specific time before we are able to get a pl ant to a reasonable amount of utilization, right? That is a natural course.
So that is coming up. In terms of the engine ecosystem, I think I would make it broad -based even further saying that the opportunity that Azad today is sitting on, we've -- Azad has positioned itself always as a manufacturer of highly engineered critical components across these 3 segments, which are mission and life critical. With the demand for these engines goi

ng up over
time with backlogs of our customers increasing, Azad is obviously looking at a much larger opportunity in this domain and which also me ans that the ecosystem in India should be thriving.
And with indigenization plans of the government, with indigenization plans of how we are stacking up, we are moving from building capability for one engine, and we will only scale it up like from the engine that we are building, we will move from the curre nt 3.7 to 4 kiloton engine to a higher capacity going forward and eventually contribute to much larger programs. But the entire engine ecosystem, we are seeing this demand grow and capacity is being added for -- a lot of capacity being added in the countr y.
We won't be able to talk too much about the Indian program. But yes, I see -- we see that India is going through that phase where we will now start contributing meaningfully to our GDP from a precision manufacturing industry perspective.
Rishika: That's helpful. Just one more question. What about the third expansion plan of 85,000 square meter plant that you are planning? When will that civil work start?
Vishnu Malpani: So ma'am, as pointed out, this year, our focus is very clear. We want to get the current facility and the balance plants committed. And our next priority would be to ramp these up slowly. Once this is done, we will take on the next facility because today, we are creating capacity based on the schedules that we have with our customers and order book. So once this is completed, our next focus will be building the second plant up over time.
Moderator: Next question comes from the line of Manish Ostwal with Nirmal Bang Securities Private

Limited.
Manish Ostwal: Yes, sir. I joined the call a bit late because I was under the impression of 12:00. So my question might be repetitive. I just wanted to understand your thought process around the working capital management and the cash flow generation of the company. We have invested a lot of money in the capacity building, but how we are managing working capital? And what sustainable cash flow we can think of in our business?

Ronak Jajoo: Yes. If you see we have upfront invested into the inventory and all the plants are at different level of capacity ramp -up as Mr. Chopdar and Vishnu explained. So these plants are at different level of maturity, but your investment has to be upfront. That i s the reason this year, the inventory is slightly looking elevated.
Looking forward from FY '27 and onwards, we see that this inventory will be converted into the revenues and that will ease out the cash flow from that particular perspective.
Manish Ostwal: All right, sir. I'll go through the entire transcript after the call.
Moderator: Mr. Chauhan, please go ahead with the question.
Jai Chauhan : Sir, congratulations on the new contract wins and the hot section already in order. I just wanted -- I guess you gave a breakup on order book. I was just reiterating the number, it will be around INR9,000 -- INR8,500 crores around, right, INR8,500 crores. Is my understanding correct?
Vishnu Malpani: No. So we are talking about a rolling order book, right? So that is about INR6,500 crores net of what we have delivered this year.
Jai Chauhan : So my question was basically on the renewals and amendments on the long -term contracts that we had and also the new orders that we had after the Q3 that you indicated order bo ok was around INR6,500 crores?
Vishnu Malpani: Yes. So we've added contracts and some of these contracts we are -- we cannot disclose the order value, and that's why whatever can be publicly disclosed is about INR6,500 crores, but it is INR6,500 crores plus, right? That is the order book that we are looking at from a long -term perspective.
Jai Chauhan : Got it. And sir, also on the hot section nozzle vane segment, like without getting into all t

he
customer confidential details, I just wanted to understand the manufacturing processes. Is it broadly similar to existing airfoil work where you get -- you receive a near shape forged cast [inaudible 0:55:26] you perform on high precision machine finishing? Or does this require something materially different?
Vishnu Malpani: Yes. So I think, see, the process of manufacturing hot section components cannot be discussed on the call. We would -- if you're very keen, we would invite you to our company and please visit us. We'll be able to explain the manufacturing process. But I can only give you one statement that there are only 3 players around the world of precision manufacturing that have been able to crack this materially, okay?
So the complexity in manufacturing these components is very, very high. The majority of those -- yes. So the process is different than the existing manufacturing process. If you want to know more operational details, if you're keen, if you plan to visit, we'll request our SGA team to sort of arrange a plant visit and this can be addressed at the plant.
Jai Chauhan : Sure, sir, sure. And sir, basically, this question was basically around given the higher complexity and single source position, this is definitely be margin accretive, right? And how will it be during

ramp -up and mature volumes and this will obviously be above company's blended EBITDA margin band, right?
Vishnu Malpani: Sir, I mean, we won't be able to share -- see, this is a single contract and you're asking us specific information on the contract. It will be difficult to share. But once you understand the process of manufacturing, most of these questions that you're ans wering will be addressed. So I would request you to please come down and spend some time with us. We'll be able to explain.
And you can also look at to draw parallels, please look at the top 2 or 3 players that are making these kind of components and what is the kind of profitability and bottom line that they do on these segments. This is publicly available information. You ca n look it up and you'll get a sense of it as well.
Jai Chauhan : True, sir. And also one accounting clarification. I guess in the FY '25 annual report, you mentioned you -- there is capitalized on new product development program. Can you clarify what exact costs are capitalized and which balance sheet line they sit in the FY '26 quantum?

And if these costs were fully expensed, what would the EBITDA PAT margin would have been
-- would look like?
Ronak Jajoo: Yes. We generally don't capitalize any development cost in our balance sheet and we expense out as a part of our accounting policies. There can be some tools specifically designed for the customer, which are capitalized to that extent, but the general deve lopment cost or the general expenses are expensed out in the in the balance in the pre -industry .
Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of question -and-answer session. I now hand the conference over to the management for closing comments.
Vishnu Malpani: So thank you. So with this, I think I'd like to take this opportunity on behalf of Azad Engineering, our Chairman, our Board of Directors and all of us. Thank you so much for giving us this opportunity to talk about our business, present our thesis and sha re how we will be executing FY '27 and beyond. Thank you so much. We are very excited about the current phase that Azad Engineering is in, our sectors are and how our capacity is coming up online. So we are only looking at upwards and onwar ds from this point. Thank you so much.
Moderator: Thank you. On behalf of Azad Engineering Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.